

**RESTRICTIONS ON CROSS-BORDER
MARKETING AND SELLING OF
FUNDS AND INVESTMENT MANAGEMENT & ADVISORY SERVICES
INTO CANADA (ONTARIO, QUEBEC, BRITISH COLUMBIA AND ALBERTA)**

PART B

3 November 2025

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Date of Report:	The law is stated as at 3 November 2025
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1. BACKGROUND

1.1 Introduction

Please refer to the *Instructions to Counsel* that you have been sent in conjunction with this Part B of the Memorandum.

1.2 Structure of Part B

The questions in Part B of the Memorandum are set out in sections 3 to 11. These sections comprise the **Part B Memorandum Subject Matter**.

1.3 Definitions

Active Marketing	Marketing activities which extend beyond Passive Marketing.
Arranging	Making arrangements for another person to buy, sell or subscribe for a Fund or Investment Management & Advisory Services or passing execution instructions to a third party.
Closed-Ended Fund	A Fund with a fixed number of units or shares which does not offer an investor the opportunity to regularly purchase or sell its units or shares.
cross-border	Where: (a) clients, or prospective clients, are located in your jurisdiction; (b) the OFI is headquartered in a jurisdiction different to your own and either has no licensed office in your jurisdiction or is not carrying out the marketing or selling through any licensed office in your jurisdiction; and (c) employees of the OFI are based in a different jurisdiction to your own and are employed by an entity within the OFI group which is headquartered in a different jurisdiction to your own.
Execution of Orders on Behalf of Clients	Agreeing to conclude agreements to buy or sell one or more financial instruments on behalf of clients.
Fly-In Meeting	Employees of the OFI flying into your jurisdiction to carry out marketing activities.
Fly-Out Meeting	Marketing activities which take place offshore and which are directed at a person who is normally resident in your jurisdiction.
Fund	A collective investment undertaking, with or without legal personality, which raises capital from a number of investors with a view to investing it in accordance with a defined investment policy for the benefit of those investors. For the purposes of this Memorandum, local counsel have been instructed to assume that all Funds are offshore.

Investment Advice	The provision of personal recommendations to a client, either upon its request or at the initiative of the OFI, in respect of one or more transactions relating to financial instruments.
Investment Management & Advisory Services	Investment Advice, Arranging, Portfolio Management and Execution of Orders on Behalf of Clients.
OFI	A bank, asset manager or other offshore financial institution e.g. distributor, which is marketing or providing financial products or services and is headquartered in a different jurisdiction to your jurisdiction.
Open-Ended Fund	A Fund with or without legal personality which offers an investor the opportunity to regularly purchase or sell its units or shares.
Part B Memorandum Subject Matter	The contents of sections 3 to 11 of Part B of this Memorandum.
Passive Marketing	Marketing or selling following an unsolicited approach by an investor. May also be known as “reverse-enquiry” or “reverse-solicitation”.
Portfolio Management	Managing portfolios in accordance with mandates given by clients on a discretionary client-by-client basis where such portfolios include one or more financial instruments.
Segregated Managed Account	A contractual arrangement between an investment manager and investor where the investment manager makes discretionary investments into financial instruments or assets through an account owned by the investor.
Single Investor Vehicle	A vehicle, which makes investments into financial instruments or assets and which is prevented by national law, the rules or instruments of incorporation, or any other provision or arrangement of binding legal effect, from raising capital from more than one investor.
UCITS Fund	A Fund which qualifies as an undertaking for collective investment in transferable securities under the UCITS IV Directive (2009/65/EC) and which has been authorised as such in an EEA Member State.

1.4 Executive Summary

Unless specific requirements applicable to a particular province are directly referred to in this Executive Summary, the position set out below applies to each of Ontario, Quebec, British Columbia and Alberta.

Marketing/selling Funds via PPR

Active Marketing/selling of Funds will be caught by the following requirements:

Prospectus Requirement

The Prospectus Requirement will apply and the OFI will need to comply with an exemption to this requirement. The most relevant exemptions to the Prospectus Requirement are the Accredited Investor Exemption and the Minimum Investment Exemption. If the OFI is relying on an exemption to the Prospectus Requirement, it will still need to comply with the Canadian Disclosure Requirement or the Canadian Wrapper Requirement and the Exempt Distribution Report Requirement.

Dealer Registration Requirement

Where the marketing/selling of a Fund occurs with Repetition, Regularity or Continuity, the OFI will, depending on the activities to be conducted, need to consider the Dealer Registration Requirement, unless an exemption is available. The most relevant exemptions to the Dealer Registration Requirement are the International Dealer Exemption (filing requirements associated with this exemption differ between Ontario, Quebec, British Columbia and Alberta and:

- in Ontario the Ontario Capital Markets Participation Fee;
- in Alberta the Alberta Fee; and
- in British Columbia the BC Fee also apply)

and the Trades Through a Local Dealer Exemption.

Investment Fund Manager Registration Requirement

Where the marketing/selling of a Fund occurs with Repetition, Regularity or Continuity in Ontario or Quebec, the OFI will, depending on the activities to be conducted, need to consider the Investment Fund Manager Registration Requirement. In Ontario and Quebec, the exemption to the Investment Fund Manager Registration Requirement most applicable to Active Marketing/Selling is the Permitted Client Exemption. The Ontario Capital Markets Participation Fee applies in relation to this exemption.

In British Columbia and Alberta, the Investment Fund Management Registration Requirement will only apply if the OFI directs or manages the business, operations or affairs of a Fund from a Physical Place of Business/Head Office in British Columbia or Alberta. This is therefore unlikely to apply to an OFI cross-border marketing/selling into British Columbia or Alberta.

In general, registration as a dealer or Investment Fund Manager or a registration exemption will not be necessary if the marketing: (a) does not relate to a specific Fund and is more general in nature and (b) does not occur with any Repetition, Regularity or Continuity. An OFI weighing up whether to make a registration or rely on a registration exemption should consider the Costs/Timescales associated with each option. For clarity, general marketing of investment fund manager services to Canadian investment fund providers will not, in itself, trigger the Investment Fund Manager Registration Requirement.

Foreign Bank Authorisation Requirement

An OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are Not Regarded as Being Carried Out from within Canada.

Quebec French Language Requirements

Quebec French Language Requirements apply when marketing/selling to clients in Quebec unless there is Consent to Contract in English.

CASL Requirements

OFIs should also note the CASL Requirements in respect of any marketing/selling by electronic means. There are Exceptions to the CASL Requirements.

Canadian anti-spam laws applicable to the sending of electronic messages to market/sell a Fund and apply to both Passive Marketing and Active Marketing and therefore the position stated above also applies in respect of Passive Marketing.

Certain requirements vary when sending commercial electronic messages to individuals (as may be the case with retail clients) rather than businesses (i.e., institutional clients).

Unsolicited Telecommunications Rules

The Unsolicited Telecommunications Rules apply to all telemarketing calls (including to high net-worth individuals), subject to limited exemptions set out in the Exemptions to the Do Not Call List Rules under the Unsolicited Telecommunications Rules.

Marketing Funds to the public

Passive and Active Marketing/selling of Funds to retail clients in Canada is subject to the same restrictions as detailed above under “Marketing/Selling Funds via PPR”, however when marketing/selling Funds to retail clients, limited exemptions are available to the Prospectus Requirement and the Dealer Registration Requirement. For example, an OFI will not be able to rely on the Accredited Investor Exemption from the Prospectus Requirement, the International Dealer Exemption from the Dealer Registration Requirement and the Permitted Client Exemption from the Investment Fund Manager Registration Requirement. An OFI is only able to rely on the following exemptions: the Minimum Investment Exemption to the Prospectus Requirement provided that the purchaser is not an individual; and the Trades through a Local Dealer Exemption to the Dealer Registration Requirement.

In Ontario and in Quebec, no exemptions are available for marketing/selling to the public in respect of the Investment Fund Manager Registration Requirement. In British Columbia and Alberta, the Investment Fund Management Registration Requirement will only apply if the OFI directs or manages the business, operations or affairs of a Fund from a Physical Place of Business/ Head Office in British Columbia or Alberta.

Investment Management & Advisory Services (IMAS)

Passive and Active Marketing/provision of IMAS is permitted, provided that where the marketing/provision occurs with Repetition, Regularity or Continuity, the OFI must comply with the Adviser Registration Requirement in respect of Portfolio Management and Investment Advice, unless an exemption is available; and the Dealer Registration Requirement in respect of Execution of Orders on behalf of the Clients and Arranging services, unless an exemption is available. Additionally, OFIs in the business of Trading or Advising In Certain Derivatives with Canadian resident clients need to comply with the Derivatives Business Conduct Rule unless an exemption or exception is available.

The most relevant exemptions to the Adviser Registration Requirement are the International Adviser Exemption (in Ontario the Ontario Capital Markets Participation Fee applies in relation to this exemption, in Alberta there is the Alberta Fee and in British Columbia there is the BC Fee) and the International Sub-Adviser Exemption. See “Marketing/Selling Funds via PPR” above for exemptions to the Dealer Registration Requirement.

In general, registration or a registration exemption would not be necessary if the marketing: (a) does not relate to a specific IMAS and is more general in nature and (b) does not occur with any Repetition, Regularity or Continuity.

The most relevant exemptions to the Derivatives Business Conduct Rule are the Foreign Derivatives Adviser Exemption and the Foreign Derivatives Sub-Adviser Exemption. The Derivatives Business Conduct Rule does not extend to Certain Types Of Derivatives. Additionally, this requirement does not apply to transactions between affiliated entities unless the Canadian affiliate is considered an “investment fund” under Canadian securities law. Note that in certain limited circumstances additional exemptions may be available. Please see section 7.3(a)(i) for more information.

OIFs should also note:

- Quebec French Language Requirements apply when marketing/selling to clients in Quebec unless there is Consent to Contract in English.
- the CASL Requirements in respect of any marketing/selling by electronic means. There are Exceptions to the CASL Requirements; and
- Unsolicited Telecommunications Rules apply to all telemarketing calls (including to high net-worth individuals), subject to limited Exemptions from the Do Not Call List Rules.

Segregated managed accounts, single investor vehicles and family office undertakings

The marketing/provision of these vehicles will be subject to the same rules as set out under “IMAS” above. There are no additional rules or restrictions.

Definitions

The terms underlined above shall have the following meaning:

Accredited Investor Exemption: An offer to an ‘accredited investor’ is exempt from the Prospectus Requirement provided that the OFI complies with the Canadian Disclosure Requirement or the Canadian Wrapper Requirement and if the purchaser is an individual, the OFI, provide the purchaser with a prescribed form of risk acknowledgement in Form 45-106F9 (see section 7.1(a) of the memorandum for a link to this form). An “accredited investor” means any of the following:

- (a) a Canadian financial institution, or a Schedule III bank,
- (b) the Business Development Bank of Canada incorporated under the *Business Development Bank of Canada Act* (Canada),
- (c) a subsidiary of any person referred to in paragraphs (a) or (b), if the person owns all of the voting securities of the subsidiary, except the voting securities required by law to be owned by directors of that subsidiary,
- (d) a person registered under the securities legislation of a jurisdiction of Canada as an adviser or dealer,

- (e) an individual registered or formerly registered under the securities legislation of a jurisdiction of Canada as a representative of a person referred to in paragraph (d),
 - (e.1) an individual formerly registered under the securities legislation of a jurisdiction of Canada, other than an individual formerly registered solely as a representative of a limited market dealer under one or both of the *Securities Act* (Ontario) or the *Securities Act* (Newfoundland and Labrador),
- (f) the Government of Canada or a jurisdiction of Canada, or any crown corporation, agency or wholly owned entity of the Government of Canada or a jurisdiction of Canada,
- (g) a municipality, public board or commission in Canada and a metropolitan community, school board, the Comité de gestion de la taxe scolaire de l'île de Montréal or an intermunicipal management board in Québec,
- (h) any national, federal, state, provincial, territorial or municipal government of or in any foreign jurisdiction, or any agency of that government,
- (i) a pension fund that is regulated by the Office of the Superintendent of Financial Institutions (Canada), a pension commission or similar regulatory authority of a jurisdiction of Canada,
- (j) an individual who, either alone or with a spouse, beneficially owns financial assets having an aggregate realizable value that before taxes, but net of any related liabilities, exceeds \$1 000 000,
- (j.1) an individual who beneficially owns financial assets having an aggregate realizable value that, before taxes but net of any related liabilities, exceeds \$5 000 000,
- (k) an individual whose net income before taxes exceeded \$200 000 in each of the 2 most recent calendar years or whose net income before taxes combined with that of a spouse exceeded \$300 000 in each of the 2 most recent calendar years and who, in either case, reasonably expects to exceed that net income level in the current calendar year,
- (l) an individual who, either alone or with a spouse, has net assets of at least \$5 000 000,
- (m) a person, other than an individual or investment fund, that has net assets of at least \$5 000 000 as shown on its most recently prepared financial statements,
- (n) an investment fund that distributes or has distributed its securities only to:
 - (i) a person that is or was an accredited investor at the time of the distribution,
 - (ii) a person that acquires or acquired securities in the circumstances referred to in sections 2.10 [Minimum amount investment], or 2.19 [Additional investment in investment funds], or
 - (iii) a person described in paragraph (i) or (ii) that acquires or acquired securities under section 2.18 [Investment fund reinvestment],
- (o) an investment fund that distributes or has distributed securities under a prospectus in a jurisdiction of Canada for which the regulator or, in Québec, the securities regulatory authority, has issued a receipt,
- (p) a trust company or trust corporation registered or authorized to carry on business under the Trust and Loan Companies Act (Canada) or under comparable legislation in a jurisdiction of Canada or a foreign jurisdiction, acting on behalf of a fully managed account managed by the trust company or trust corporation, as the case may be,

- (q) a person acting on behalf of a fully managed account managed by that person, if that person is registered or authorized to carry on business as an adviser or the equivalent under the securities legislation of a jurisdiction of Canada or a foreign jurisdiction,
- (r) a registered charity under the Income Tax Act (Canada) that, in regard to the trade, has obtained advice from an eligibility adviser or an adviser registered under the securities legislation of the jurisdiction of the registered charity to give advice on the securities being traded,
- (s) an entity organized in a foreign jurisdiction that is analogous to any of the entities referred to in paragraphs (a) to (d) or paragraph (i) in form and function,
- (t) a person in respect of which all of the owners of interests, direct, indirect or beneficial, except the voting securities required by law to be owned by directors, are persons that are accredited investors,
- (u) an investment fund that is advised by a person registered as an adviser or a person that is exempt from registration as an adviser,
- (v) a person that is recognized or designated by the securities regulatory authority or, except in Ontario and Québec, the regulator as an accredited investor, or
- (w) a trust established by an accredited investor for the benefit of the accredited investor's family members of which a majority of the trustees are accredited investors and all of the beneficiaries are the accredited investor's spouse, a former spouse of the accredited investor or a parent, grandparent, brother, sister, child or grandchild of that accredited investor, of that accredited investor's spouse or of that accredited investor's former spouse.

Adviser Registration Requirement: Relevant to Portfolio Management and Investment Advice. Subject to the business trigger for registration, the investment adviser registration requirement is relevant where an OFI is advising a Fund in Canada or advising accounts in Canada. Advisers are required to be registered as a 'portfolio manager', being an adviser that is permitted to advise with respect to Securities, unless a registration exemption is available.

Alberta Fee: In Alberta there is the \$1,400 fee payable for filing either the Form 31-103F2 or the annual notice required in respect of the International Dealer Exemption or the International Adviser Exemption.

BC Fee: In British Columbia there is the \$1,400 fee payable for filing either the Form 31-103F2 or the annual notice required in respect of the International Dealer Exemption or the International Adviser Exemption.

CASL Requirements: Canada's Anti-Spam Legislation (CASL) regulates the sending of a commercial electronic message (CEM) to an electronic address. This is defined broadly to capture any message that has, as one of its purposes, the encouragement of participation in a commercial activity. The CASL Requirements apply to electronic messages sent from or received in Canada and therefore apply to international senders who send CEMs into Canada. CASL may impose administrative and other penalties that are set out in more detail in section 8.1. CASL prohibits sending, causing or permitting to be sent CEMs to an electronic address without consent, and prescribes message form, content and unsubscribe requirements for CEMs, subject to limited exceptions. There are two types of consent: express and implied. This is set out in more detail in section 8.1.

Canadian Disclosure Requirement: A Canadian wrapper is not required, where:

- (a) the issuer is not a Canadian corporation, or headquartered in Canada, and neither the issuer nor any selling security holder is located in or has significant connections to Canada;
- (b) sales in Canada are limited to investors who qualify as Permitted Clients and also qualify as Accredited Investors, and who are not individuals (natural persons);

- (c) sales in Canada are made by Canadian registered securities dealers or by non-Canadian dealers who have taken the necessary steps to rely on the International Dealer Exemption in each province where securities are being sold;
- (d) there is a concurrent registered or unregistered offering of the same class of securities being made in the United States, being made with an offering document, and the same offering document is being used in Canada; and
- (e) the Canadian purchaser has received the required notice of the use of the Canadian Wrapper Exemption (set out in Appendix 2 to the Memorandum).

Please note that the above conditions are cumulative.

Canadian Wrapper Requirement: Where the Canadian Disclosure Requirement cannot be complied with, this requirement applies to an offering document such as a prospectus qualified in a non-Canadian jurisdiction or an offering memorandum that has been prepared primarily for delivery to and review by a prospective purchaser so as to assist the prospective purchaser to make an investment decision.

Where the Canadian Disclosure Requirement cannot be complied with, no offering document, whether preliminary or final, should be sent to prospective investors in Canada unless it includes a wrapper that contains disclosure required by Canadian law. The wrapper consists of a few short pages of additional information directed to Canadian investors. Combining the wrapper with the offering document creates a Canadian Offering Memorandum. The wrapper also contains deemed representations and warranties which serve the same function as an investor representation letter. Please note that one wrapper can be used for both Ontario, Quebec, British Columbia and Alberta, provided it contains the required disclosure. Please see Appendix 1.A. for the applicable wording of the wrapper.

Certain Types of Derivatives: The Derivatives Business Conduct Rule does not extend to certain types of “derivatives” that are determined under the local derivatives determination rules to not be derivatives. There are slight differences between the provincial product determination rules, but generally the product determination rule deems the following types of “derivatives” not to be derivatives for purposes of the rule:

- gaming contracts regulated by Canadian or foreign gaming control legislation;
- insurance or annuity contracts entered into with licensed insurers in Canada or outside of Canada;
- physically settled spot FX transactions where settlement occurs within two business days;
- physical settled commodity contracts (excluding cash);
- deposits with Canadian banks, trust companies or credit unions; and
- exchange-traded derivatives traded on an exchange that is recognized, or exempt from registration, by a securities regulatory authority in Canada, or an exchange that is regulated in a foreign jurisdiction by a signatory to the International Organization of Securities Commissions’ Multilateral Memorandum of Understanding (excluding derivatives trading facilities).

Consent to Contract in English

- Where an OFI does not have a physical establishment or employees in Quebec, an OFI can contract in English with a Quebec client if an OFI has their consent to do so.
- Where an OFI is contracting with a retail client in Quebec, a non-negotiable agreement that is not governed by the Derivatives Act or the Securities Act must be provided at least in French. It may be provided in English as well, but the retail client has the ability to decide which version to execute and, in case of a discrepancy between the versions, the most favourable terms for the retail client will prevail.
- Contracts with a Quebec government entity can be in English only where the entity consents to contracting in English and the contract satisfies **one** of the following conditions:

- it is entered into outside Quebec (meaning that the acceptance of the agreement by the government entity is received by the counterparty in a jurisdiction other than Quebec, and there is no provision in the agreement that deems the agreement entered into in Quebec);
- it is entered into with a clearing house; or
- it is entered into on a platform that makes it possible to trade in a derivative, a security or other moveable property.
- In the following situations such a contract can be entered into first in English, and then translated into French, and the parties can stipulate that the English version governs:
 - where documents to be transmitted under an agreement are produced by third parties in English;
 - where documents to be transmitted under an agreement will be used outside of Quebec, or where exchanges under the agreement take place with an establishment outside of Quebec; and
 - where the agreement is drafted by an entity without an establishment in Quebec.

In the following situations such a contract can be entered into first in English, and then translated into French, and the parties can stipulate that the English version governs:

- where documents to be transmitted under an agreement are produced by third parties in English;
- where documents to be transmitted under an agreement will be used outside of Quebec, or where exchanges under the agreement take place with an establishment outside of Quebec; and
- where the agreement is drafted by an entity without an establishment in Quebec.

Costs/Timescales: It should be emphasized that registrations are much more difficult and expensive to obtain and maintain than registration exemptions. Registration exemptions can be obtained immediately upon filing the required notification form. An entity must apply for a registration, which can take 9-12 months to obtain. Costs for obtaining a registration exemption are typically less than \$5,000. Costs for obtaining a registration can range from \$50,000 to \$200,000, on average. Registrations include requirements for registration of individuals (supervisory/compliance officers and dealing and advising representatives), proficiency requirements for registered individuals, minimum insurance and capital requirements, client disclosure and know-your-client requirements, complaint handling and dispute resolution requirements, restrictions on providing margin to clients and financial reporting to regulators. However, most registrations are available to foreign entities (including for example OFIs) and so may be of assistance in marketing and sales activities depending on the circumstances.

For detail of the requirements applicable to the different types of registration, please refer to section 10 of the Memorandum.

CRTC: Canadian Radio and Telecommunications Commission.

Dealer Registration Requirement: An OFI is required to register as a dealer, or make use of an available exemption, if the OFI engages in the business of trading in Securities in Canada with Repetition, Regulation or Continuity. This is referred to as the “business trigger” for registration.

Trading is broadly defined under Canadian securities laws to include not only the sale or disposition of a Security for valuable consideration, but also any act, Solicitation or conduct which is directly or indirectly in furtherance of the sale or disposition of a Security.

Merely holding oneself out, directly or indirectly, as being willing to engage in the business of trading in Securities may trigger the requirement to register as a dealer. Factors that may be indicative of carrying on the business of ‘trading’ in Securities include:

- engaging in activities similar to those conducted by a dealer;
- acting as an intermediary between a seller and buyer of Securities;
- carrying on dealing activities with repetition, regularity or continuity;
- receiving or expecting to receive compensation for carrying on dealing activities whether transaction or value based; and
- directly or indirectly Soliciting others in connection with dealing activities.

A person that both trades in Securities and acts as an investment fund manager will be caught by both the Dealer Registration Requirement and the Investment Fund Manager Registration Requirement, unless an exemption applies.

Derivatives Business Conduct Rule

A set of business conduct requirements that OFIs in the business of Trading or Advising In Certain Derivatives with Canadian resident clients need to comply with unless an exemption is available.

Among other things, the Business Conduct Rule prescribes rules for:

- **fair dealing** - acting fairly, honestly and in good faith with a derivatives party,
- **conflicts of interest** - identifying all material conflicts of interest, and material conflicts of interest that the derivatives firm in its reasonable opinion would expect to arise, between the derivatives firm (including each individual acting on behalf of the derivatives firm) and a derivatives party,
- **know your derivatives party** - obtain facts necessary to verify the identity of a derivatives party (including certain beneficial owners thereof), status as an insider of a publicly traded issuer, possession of material non-public information, and derivatives party’s creditworthiness (if the derivatives firm will have credit risk); all such information must be kept current,
- **handling complaints** - document and promptly respond to each complaint made about any product or service offered by the derivatives firm or an individual acting on its behalf,
- **tied selling** - not impose undue pressure on or coerce a person or company to obtain a derivatives-related product or service from a particular person or company as a condition of obtaining another product or service from the derivatives firm,
- **information and suitability** - obtain sufficient, and keep current, information regarding the derivatives party’s needs and objectives and ensure that a specific derivative and transaction are suitable for a derivatives party,
- **referral arrangements** - document in writing the terms of any referral arrangement and all referral fees, verify the qualifications of any person or company receiving the referral, and disclose prescribed information to the referred derivatives party,
- **disclosure and reporting**— delivering prescribed relationship disclosure information relating to the account, fees and the relationship with the derivatives firm, disclosing new fees or other account charges and fee increases, deliver prescribed pre-transaction disclosure (derivatives dealers), providing a daily valuation of each outstanding derivative on each business day (derivatives dealers), delivering a monthly/quarterly valuation statement (derivatives advisers); written confirmations of a transaction (derivatives dealers) ; quarterly derivatives party statements,
- **segregation and use of derivatives party assets** – subject to certain exceptions, a derivatives firm must segregate derivatives party assets and derivatives positions from the property and derivatives positions of the derivatives firm and other persons, hold initial margin at a “permitted depository”, and not use or invest initial margin without the derivatives party’s written consent and unless the derivatives firm has entered into a written agreement with the derivatives party whereby the derivatives firm assumes all losses resulting from its investment or use of initial margin,

- **compliance and recordkeeping** – must establish, maintain and apply policies and procedures to ensure compliance with securities legislation relating to trading and advising in derivatives, the management of risks relating to derivatives activities, and competency of individuals acting on behalf of the derivatives firm; must designate an individual as a “senior derivatives manager” (derivatives dealers) which must supervise the derivatives-related activities and prepare annual compliance reports; must timely report any non-compliance to the applicable securities regulator where the non-compliance creates or created a risk of material harm to a derivatives party or capital markets or is part of a pattern of material non-compliance (derivatives dealers); and must maintain records of its derivatives transactions and advising activities.

Eligible Derivatives Party

For purposes of the Derivatives Business Conduct Rule, an “eligible derivatives party” means any of the following:

- (a) a Canadian financial institution;
- (b) the Business Development Bank of Canada continued under the *Business Development Bank of Canada Act* (Canada);
- (c) a subsidiary of a person or company referred to in paragraph (a) or (b), if the person or company owns all of the voting securities of the subsidiary, except the voting securities required by law to be owned by directors of the subsidiary;
- (d) a person or company registered under the securities legislation of a jurisdiction of Canada as any of the following:
 - (1) a derivatives dealer;
 - (2) a derivatives adviser;
 - (3) an adviser;
 - (4) an investment dealer;
- (e) a pension fund that is regulated by the federal Office of the Superintendent of Financial Institutions or a pension commission or similar regulatory authority of a jurisdiction of Canada or a wholly-owned subsidiary of the pension fund;
- (f) an entity organized under the laws of a foreign jurisdiction that is analogous to any of the entities referred to in paragraphs (a) to (e);
- (g) the Government of Canada or the government of a jurisdiction of Canada, or any crown corporation, agency or wholly-owned entity of the Government of Canada or the government of a jurisdiction of Canada;
- (h) a government of a foreign jurisdiction or any agency of that government;
- (i) a municipality, public board or commission in Canada and a metropolitan community, school board, the Comité de gestion de la taxe scolaire de l'île de Montréal or an intermunicipal management board in Québec;
- (j) a trust company or trust corporation registered or authorized to carry on business under the *Trust and Loan Companies Act* (Canada) or under comparable legislation in a jurisdiction of Canada or a foreign jurisdiction, acting on behalf of a managed account managed by the trust company or trust corporation, as the case may be;

- (k) a person or company that is acting on behalf of a managed account if the person or company is registered or authorized to carry on business as either of the following:
 - (1) an adviser or a derivatives adviser in a jurisdiction of Canada;
 - (2) the equivalent of an adviser or a derivatives adviser under the securities legislation of a jurisdiction of Canada or a foreign jurisdiction;
 - (l) an investment fund if either of the following apply:
 - (1) the investment fund is managed by a person or company registered as an investment fund manager under the securities legislation of a jurisdiction of Canada;
 - (2) the investment fund is advised by an adviser registered or exempted from registration under securities legislation or under commodity futures legislation of a jurisdiction of Canada;
- (m) a person or company, other than an individual, that has net assets of at least \$25,000,000 as shown on its most recently prepared financial statements;
- (n) a person or company that has represented to the derivatives firm, in writing, that it is a commercial hedger in relation to the derivatives that it transacts with the derivatives firm;
- (o) an individual that beneficially owns financial assets, as defined in section 1.1 of National Instrument 45-106 *Prospectus Exemptions*, that have an aggregate realizable value before tax but net of any related liabilities of at least \$5,000,000;
- (p) a person or company, other than an individual, that has represented to the derivatives firm, in writing, that its obligations under derivatives that it transacts with the derivatives firm are fully guaranteed or otherwise fully supported, under a written agreement, by one or more derivatives parties referred to in this definition, other than a derivatives party referred to in paragraph (n) or (o); and
- (q) a qualifying clearing agency.

Exceptions to the CASL Requirements:

1. Exceptions to Consent and Form/Content

Exceptions under CASL generally provide relief from both the consent and form/content requirements. Relevant exceptions in this context include:

- (a) B2B exception: messages sent by an organization to another organization if (i) the organization has a "relationship" with the other organization, and (ii) the message concerns the "activities" of the organization to which the message is sent. The term "relationship" is not defined under CASL. The Federal Court has applied a high evidentiary requirement for establishing a "relationship" for the purposes of the B2B exemption since it is a complete exemption from CASL. .
- (b) Response to a request: messages sent in response to a request, inquiry, complaint or that are otherwise solicited.
- (c) Fax exception: messages sent by means of a facsimile to a telephone account.
- (d) Legal Obligation: messages sent to a person (i) to satisfy a legal or juridical obligation, (ii) to provide notice of an existing or pending right, legal or juridical obligation, court order, judgment or tariff, (iii) to enforce a right, legal or juridical obligation, court order, judgment or tariff, or (iv) to enforce a right arising under a law of Canada, of a province or municipality of Canada or of a foreign state.
- (e) Limited-access accounts: CASL does not apply to messages sent to a limited access secure and confidential account to which messages can only be sent by the person who provides the account to the recipient (for clarity, the communication must be one-way such that messages can only be sent by

the account provider, and the account holder is not able to send messages back). Such closed messaging systems may be found, for example, on financial services and online banking websites hosted by banks.

2. Other Relevant Exceptions to Consent

CASL also contains exceptions to consent, but not the form/content requirements for CEMs that solely:

- (a) facilitate, complete or confirm a commercial transaction;
- (b) provide warranty information about a service that the recipient uses or has purchased;
- (c) provide notification of factual information about i) the ongoing use or ongoing purchase by the recipient of a service offered under a subscription or similar relationship by the OFI, or ii) the ongoing subscription or similar relationship of the recipient; or
- (d) deliver a service that the recipient is entitled to receive under the terms of a transaction it previously entered into with the OFI.

Exemptions to the Do Not Call List Rules: Telemarketing calls are not subject to the "Do Not Call List Rules" (in Part II of the Unsolicited Telecommunications Rules) where they are made:

- to a business consumer;
- to persons with whom the organization has an existing business relationship (i.e., to a consumer who has purchased, leased, or rented a product or service from the telemarketer in the last eighteen (18) months; has a written contract with a telemarketer that is still in effect or expired within the last eighteen (18) months; or has made an inquiry or has submitted an application to a telemarketer about a product or service within the last six (6) months) and who has not made a do not call request in respect of the organization; and
- for the sole purpose of collecting information for a survey of members of the public.

Telemarketing calls may also be made to consumers on the DNCL if the consumer has provided express consent to be called. Such express consent must clearly evidence the consumer's authorization that a telemarketing call may be placed to them by or on behalf of the specific telemarketer, and must include the phone number to which the telemarketing call may be placed.

Note that when an exemption applies, the telemarketer must keep an internal do not call list and comply with the Telemarketing and ADAD Rules.

Exempt Distribution Report Requirement: If a Fund is sold to an investor in Ontario, Quebec, British Columbia or Alberta under certain exemptions from the Prospectus Requirement, including the Accredited Investors Exemption and the Minimum Investment Exemption, then the issuer or underwriter of the Security is required to file an exempt distribution report with the local securities regulator in each province the Fund is sold in. NI 45-106 requires the report to be filed within 30 days of the calendar year end (in respect of all distributions in the previous calendar year) for investment fund securities.

The form is the same in Ontario, Quebec, British Columbia and Alberta, and is filed on the SEDAR+ platform for all provinces.

The form requires disclosure of certain information concerning the issuer, the distribution and the investor. For example, the filer must disclose on the form the category of accredited investor under which the investor falls. It is therefore an important practice point for the OFI to confirm the category of accredited investor under which the investor falls at the time of distribution.

There are filing fees associated with the filing of exempt distribution report, and the calculation of filing fees differs in Ontario, Quebec, British Columbia and Alberta which are as follows:

- **Ontario** - \$350 per report.
- **Quebec** - based on the size of the distribution (greater of \$346 and (a) 0.025% of the net proceeds realized in the province for money market funds, or (a) 0.025% of the gross proceeds realized in the province for other issuers).
- **British Columbia** - based on the size of distribution (greater of \$200 and (a) 0.01% of gross proceeds realized in the province for money market funds, or (b) 0.03% of gross proceeds realized in the province for other issuers).
- **Alberta**- based on the size of distribution (greater of \$200 and (a) 0.02% of net proceeds realized in the province for money market funds, (b) 0.02% of gross proceeds realized in the province for other mutual funds, or (c) 0.025% of gross proceeds realized in the province for other issuers).

Foreign Derivatives Adviser Exemption (“FDAE”):

This exemption is available to non-Canadian OFIs that provide advice to Eligible Derivatives Parties (“EDPs”). All FDAE eligible entities may apply for the FDAE reliance by submitting a Form 93-101F1 ([link](#)) to the applicable Canadian securities regulator. Local counsel expect the reliance filing to be effective immediately upon filing, similar to the International Adviser Exemption.

An OFI may rely on the FDAE and be exempt from all requirements under the Derivatives Business Conduct Rule where it satisfies all of the following requirements:

- the derivatives adviser engages in the business of a derivatives adviser in a non-Canadian jurisdiction in which its head office or principal place of business is located;
- the derivatives adviser is registered, licensed or authorized, or otherwise operates under an exemption from registration, under the securities, commodity futures or derivatives legislation of a Specified Non-Canadian Jurisdiction to conduct the derivatives activities in the foreign jurisdiction that it proposes to conduct with the derivatives party;
- the derivatives adviser is subject to and complies with the securities, commodity futures or derivatives legislation of the Specified Non-Canadian Jurisdiction relating to the activities being conducted by the derivatives adviser with a derivatives party whose head office or principal place of business is in Canada;
- the derivatives adviser provides the securities regulator with prompt access to its books and records upon request with respect to its activities being conducted with a derivatives party whose head office or principal place of business is in Canada;
- written client disclosure containing the following has been delivered to the Canadian EDP:
 - (1) specifying the non-Canadian jurisdiction the derivatives adviser’s head office or principal place of business is located;
 - (2) stating that all or substantially all of the assets of the derivatives adviser may be situated outside of the local jurisdiction;
 - (3) stating that there may be difficulty enforcing legal rights against the derivatives adviser because of the above; and
 - (4) stating the name and address of the agent for service of process of the derivatives adviser in the local jurisdiction.

- the derivatives adviser must submit to the applicable Canadian securities regulator a completed Form 93-101F1 *Submission to Jurisdiction and Appointment of Agent for Service of Process* ([link](#)).
- There may be fees and annual maintenance filings required to maintain this exemption.
- The requirements in British Columbia for the FDAE are substantially similar to the other provinces but expressly set out the legal requirements in the Specified Non-Canadian Jurisdiction that must be complied with by the derivatives adviser.

Foreign Derivatives Sub-Adviser Exemption

An exemption from the Derivatives Business Conduct Rule for derivatives sub-advisers registered (or exempt from registration) in their home jurisdiction. This exemption requires that:

- a derivatives sub-adviser agreement must set out the specific duties and responsibilities of the sub-adviser vis a vis the derivatives dealer or adviser; and
- the derivatives dealer or adviser that ‘sponsors’ the derivatives sub-adviser’s advice to the derivatives firm’s clients remains liable to the client should the derivatives sub-adviser fail to exercise the required duty or standard of care.

There are no regulatory filings required or fees payable for a firm to rely on Foreign Derivatives Sub-Adviser Exemption.

International Adviser Exemption:

- may only advise on Foreign Securities, unless providing advice in respect of Canadian securities is incidental to provision of advice on a Foreign Security;
- may only advise Permitted Clients;
- no more than 10% of the aggregate consolidated gross revenue of the adviser and its affiliates may be derived from the portfolio management activities of the adviser in Canada;
- Certain conditions must be met, including:
 - o Must file a notice of submission to jurisdiction on Form 31-103F2;
 - o The firm’s head office or principal place of business must be in a foreign jurisdiction;
 - o The firm must be registered, or operate under an exemption from registration under the securities legislation of the foreign jurisdiction in which its head office or principal place of business is located in a category of registration that permits it to carry on the activities in that jurisdiction that registration as an adviser would permit it to carry on in Canada;
 - o The firm must engage in the business of an adviser in the foreign jurisdiction which its head office or principal place of business is located; and
- It must appoint an agent for service of process, provide client notice and be subject to annual filings with the Canadian regulator **in each of Ontario, Quebec, British Columbia and/or Alberta**, depending on where the IMAS are being marketed. The annual filings/fees differ as follows:
 - o **Quebec** – simple email to the securities regulatory authority advising that the OFI has and will continue to rely on the International Adviser Exemption. No fee payable.
 - o **Alberta** – simple email to the securities regulatory authority advising that the OFI has and will continue to rely on the International Adviser Exemption, the **Alberta Fee** is payable.
 - o **Ontario**, the annual filing is the filing of the Ontario Capital Markets Participation Fee.
 - o **British Columbia** – simple email to the securities regulatory authority advising that the OFI has and will continue to rely on the International Adviser Exemption, the **BC Fee** is payable.

International Dealer Exemption: An exemption available for dealers registered in their home jurisdiction. A dealer that relies on this exemption:

- must file a notice of submission to jurisdiction on Form 31-103F2;
- May only trade with Permitted Clients;
- May only trade securities issued by entities that are not incorporated or formed under Canadian law (“Foreign Securities”);
- Must give prescribed disclosure to clients and make an annual filing with the regulator in each of Ontario, Quebec, British Columbia and/or Alberta depending on where marketing activities are conducted.

The annual filings in:

- **Quebec, British Columbia and Alberta** – simple email to the securities regulatory authority advising that the OFI has and will continue to rely on the IDE.
- **Ontario**, the annual filing is the filing of the Ontario Capital Markets Participation Fee calculation on Form 13-502F4. The Form 13-502F4 is due each year before November 1st and is filed via the OSC online portal; and
- Does not need to register individual employees
- The above conditions are cumulative.

Fees

- **Ontario** - Ontario Capital Markets Participation Fee applies to an OFI using this exemption.
- **Alberta** – the Alberta Fee.
- **British Columbia** – the BC Fee.
- **Quebec/British Columbia** – No fee of this type is payable in Quebec.

International Sub-Adviser Exemption:

- A sub-adviser may provide advice in respect of any security, including a Canadian security;
- There are no regulatory filings required or fees payable for a firm to rely on the international sub-adviser exemption;
- A sub-adviser agreement must set out the specific duties and responsibilities of the sub-adviser vis a vis the registered dealer or adviser.
- The registered dealer or adviser that ‘sponsors’ the sub-adviser’s advice to the registered firm’s clients remains liable to the client should the sub-adviser fail to exercise the required duty or standard of care.

Investment Fund Manager Registration Requirement: Registration as an investment fund manager may be required, particularly if any marketing activity of a Fund in respect of which the firm acts as Investment Manager occurs in Canada with any Repetition, Regularity or Continuity. For clarity, general marketing of this investment fund manager services to Canadian investment fund providers will not, in itself, trigger the Investment Fund Manager Registration Requirement.

The term ‘investment fund manager’ refers to a person or company that directs the business, operations and affairs of an investment Fund.

In **Ontario and Quebec**, securities regulators consider a firm to be engaging in the business of an investment fund manager if the Fund has investors in the local province.

In **British Columbia and Alberta**, the Investment Fund Management Registration Requirement will only apply if the OFI directs or manages the business, operations or affairs of an investment fund from a Physical Place of Business/Head Office in British Columbia or Alberta. It is therefore unlikely to apply to an OFI cross-border marketing into British Columbia or Alberta. In circumstances where the OFI does not have a Physical Place of Business/Head Office in British Columbia or Alberta, they will need to register if they engage in the

activities that result in their directing or managing the business, operations or affairs of an investment fund in that province. Some of the relevant functions or activities of an investment Fund manager may include:

- establishing a distribution channel for the Fund;
- marketing the Fund;
- establishing and overseeing the Fund's compliance and risk management programs;
- overseeing the day to day administration of the Fund;
- retaining and liaising with the portfolio manager, the custodian, the dealers and other service providers of the Fund;
- overseeing advisers' compliance with investment objectives and overall performance of the Fund;
- preparing the Fund's prospectus or other offering documents;
- preparation and delivery of security holder reports;
- identifying, addressing and disclosing conflicts of interest;
- calculating the net asset value (NAV) and the NAV per share or unit; or
- calculating, confirming and arranging payment of subscriptions.

Fees/Filings

Ontario – A registered investment fund manager in Ontario must, on an annual basis, file the Ontario Capital Markets Participation Fee calculation on Form 13-502F4. The Form 13-502F4 is due each year before November 1st and is filed via the OSC online portal.

Quebec, Alberta and British Columbia – Registered Investment Fund managers must also pay other fixed annual registration fees in Quebec (\$2,071), Alberta (\$1,400) and British Columbia (\$1,400) and other provinces on an annual basis.

A person that both trades in Securities and acts as an investment fund manager will be caught by both the Dealer Registration Requirement and the Investment Fund Manager Registration Requirement, unless an exemption applies.

Minimum Investment Exemption: Offers with a minimum investment of \$150,000 are exempt from the Prospectus Requirement, provided that the investor is not an individual, purchases as principal and the purchase is of a security of a single issuer. The OFI must still comply with the Canadian Disclosure Requirement or the Canadian Wrapper Requirement.

No Solicitation Exemption: In Ontario and Quebec, this exemption is available to OFIs who are investment fund managers that do not “actively solicit” residents in the province (Ontario or Quebec) to purchase Securities in the Funds of which they are the manager. No regulatory filings required to rely on the exemption and no employees require registration. Active solicitation refers to intentional actions taken by the investment fund or the Fund manager to encourage a purchase of the Fund's securities, such as pro-active, targeted actions or communications that are initiated by an investment fund manager for the purpose of soliciting an investment.

Actions that are undertaken by an investment fund manager at the request of, or in response to, an existing or prospective investor who initiates contact with the investment fund manager would not constitute active solicitation.

Active solicitation can be direct (by the investment fund manager) or indirect (e.g. if the investment fund manager compensates others to solicit securities purchases);

Not Regarded as Being Carried Out from within Canada: A non-licensed foreign bank (or entity associated with a foreign bank) must structure its activities so they will not be regarded as being carried out from within Canada, or obtain the relevant authorisation. The Office of the Superintendent of Financial Institutions has issued several rulings on cross-border banking activities. From these rules, the following principles can be derived:

- (a) all transactions and contracts must be negotiated by the bank from outside of Canada,
- (b) all transactions and contracts must be closed outside Canada (written material sent or brought to Canada may not be signed by the Bank and should therefore contain a disclaimer that it does not construe an offer by the bank and if a contract is executed, the bank should sign last, from outside of Canada),
- (c) transactions must be funded from outside Canada;
- (d) the location of the foreign bank's operation/booking point must be outside Canada;
- (e) all business carrying functions must be executed from outside Canada, with some permitted exceptions for specialized activities, such as realizing on security; and
- (f) employees may not be permanently located in Canada, although occasional trips to Canada are permitted, provided the other guidelines set out above are followed and caution is exercised to ensure that the number and duration of such trips is limited.

OFI: A bank, asset manager or other offshore financial institution e.g. distributor, which is marketing or providing financial products or services.

Ontario Capital Markets Participation Fee: In Ontario, a firm relying on the International Dealer Exemption, the International Adviser Exemption, the Permitted Client Exemption or a registration, or a firm that is required to be registered as a dealer, adviser or investment manager but has not yet perfected one of the foregoing exemptions and is not otherwise registered, is required to pay an annual capital markets participation fee. The fees are due annually, no later than December 31 for international dealers, advisers and investment fund managers, registrants, and firms required to be registered. The fees are based on revenue attributable to "capital markets activities" in Ontario. A firm's Ontario Capital Markets Participation Fee is to be calculated in accordance with Form 13-502F4 Capital Markets Participation Fee Calculation. It is filed online via the OSC Portal. There is a minimum fee regardless of revenue.

Permitted Client means any of the following:

- (a) a Canadian financial institution or a Schedule III bank;
- (b) the Business Development Bank of Canada incorporated under the Business Development Bank of Canada Act (Canada);
- (c) a subsidiary of any person or company referred to in paragraph (a) or (b), if the person or company owns all of the voting securities of the subsidiary, except the voting securities required by law to be owned by directors of the subsidiary;
- (d) a person or company registered under the securities legislation of a jurisdiction of Canada as an adviser, investment dealer, mutual fund dealer or exempt market dealer;
- (e) a pension fund that is regulated by either the federal Office of the Superintendent of Financial Institutions or a pension commission or similar regulatory authority of a jurisdiction of Canada or a wholly-owned subsidiary of such a pension fund;
- (f) an entity organized in a foreign jurisdiction that is analogous to any of the entities referred to in paragraphs (a) to I;

- (g) the Government of Canada or a jurisdiction of Canada, or any Crown corporation, agency or wholly-owned entity of the Government of Canada or a jurisdiction of Canada;
- (h) any national, federal, state, provincial, territorial or municipal government of or in any foreign jurisdiction, or any agency of that government;
- (i) a municipality, public board or commission in Canada and a metropolitan community, school board, the Comité de gestion de la taxe scolaire de l'île de Montréal or an intermunicipal management board in Québec;
- (j) a trust company or trust corporation registered or authorized to carry on business under the Trust and Loan Companies Act (Canada) or under comparable legislation in a jurisdiction of Canada or a foreign jurisdiction, acting on behalf of a managed account managed by the trust company or trust corporation, as the case may be;
- (k) a person or company acting on behalf of a managed account managed by the person or company, if the person or company is registered or authorized to carry on business as an adviser or the equivalent under the securities legislation of a jurisdiction of Canada or a foreign jurisdiction;
- (l) an investment fund if one or both of the following apply:
 - (i) the fund is managed by a person or company registered as an investment fund manager under the securities legislation of a jurisdiction of Canada;
 - (ii) the fund is advised by a person or company authorized to act as an adviser under the securities legislation of a jurisdiction of Canada;
- (m) in respect of a dealer, a registered charity under the Income Tax Act (Canada) that obtains advice on the securities to be traded from an eligibility adviser, as defined in section 1.1 of National Instrument 45-106 Prospectus Exemptions, or an adviser registered under the securities legislation of the jurisdiction of the registered charity;
- (n) in respect of an adviser, a registered charity under the Income Tax Act (Canada) that is advised by an eligibility adviser, as defined in section 1.1 of National Instrument 45-106 Prospectus Exemptions, or an adviser registered under the securities legislation of the jurisdiction of the registered charity;
- (o) an individual who beneficially owns financial assets, as defined in section 1.1 of National Instrument 45-106 Prospectus Exemptions, having an aggregate realizable value that, before taxes but net of any related liabilities, exceeds \$5 million;
- (p) a person or company that is entirely owned by an individual or individuals referred to in paragraph (o), who holds the beneficial ownership interest in the person or company directly or through a trust, the trustee of which is a trust company or trust corporation registered or authorized to carry on business under the Trust and Loan Companies Act (Canada) or under comparable legislation in a jurisdiction of Canada or a foreign jurisdiction;
- (q) a person or company, other than an individual or an investment fund, that has net assets of at least \$25 million as shown on its most recently prepared financial statements;
- (r) a person or company that distributes securities of its own issue in Canada only to persons or companies referred to in paragraphs (a) to (q).

Permitted Client Exemption: In Ontario and Quebec, this exemption is available where all Securities of the investment funds managed by the Investment Fund Manager distributed in the local jurisdiction were distributed under an exemption from the prospectus requirement to Permitted Clients.

- Allows for solicitation by the investment fund manager or third parties on its behalf;
- Certain conditions must be met, including
 - Appointment of an agent for service;
 - Must file a notice of submission to jurisdiction on Form 32-102F1;
 - Must file with the local securities regulator a Notice of Regulatory Action (on Form 32-102F2) within 10 days of the date on which it begins to rely on the Permitted Client Exemption. Notice of any change would be required to be reported within 10 days of any change.
 - prescribed disclosure to clients of reliance on the exemption
 - an annual filing with the regulator in each of Quebec and Ontario depending on where the Fund is being marketed by November 1 of each year the total amount of assets under management attributable to securities beneficially owned by residents of the exempt jurisdiction (there is no prescribed format for this filing);

The Ontario Capital Markets Participation Fee applies to an OFI using this exemption. No fee of this type is payable in Quebec

Physical Place of Business/Head Office in British Columbia or Alberta: means a physical place of business of the OFI in British Columbia or Alberta or the head office of the OFI in British Columbia or Alberta. In circumstances where the OFI does not have a physical place of business or head office in British Columbia or Alberta, they will need to register if they engage in the activities that result in their directing or managing the business, operations or affairs of a Fund in that province

Prospectus Requirement: The offer and sale of a Fund (whether Open-Ended or Closed-Ended, there is no distinction under Canadian law) to investors in Ontario, Quebec, British Columbia and Alberta, respectively, requires a prospectus to be filed, approved and receipted by provincial securities regulators in each province that the OFI is marketing/selling the Fund, unless an exemption is available.

It should be noted that Canadian securities regulators have developed detailed rules and regulations that are applicable to Funds that are qualified by a prospectus that is filed with Canadian securities regulators, such as requirements that the Funds use a Canadian custodian. It would be extremely unusual for a Fund domiciled outside Canada to be qualified by a Canadian prospectus.

Quebec French Language Requirements

- There is a general obligation to respect the right of Quebec clients (retail, institutional and governmental) to be informed and served in French. Quebec clients may indicate a preference to be served in English, but if they do not, information and services should be provided to them in French.
- A more specific provision also provides that catalogues, brochures, folders, commercial directories, order forms and any other documents of the same nature, including website and social media pages that describe services offered in Quebec must be at least in French, and that no English version can be made available to the public in Quebec unless a French version is available on the same terms.

Please see section 8.6(a) of the Memorandum for more information.

Repetition, Regularity or Continuity: There is no guidance on what constitutes repetition, regularity or continuity under Canadian securities laws, however we would suggest that marketing on a regular basis, even if infrequent (i.e. fewer than four times per year) could be considered to occur with repetition, regularity or continuity.

Security: The definition of “security” under Ontario, Quebec, British Columbia and Alberta securities laws includes Fund units, shares and interests. The following is the definition of “security” in the Securities Act (Ontario):

“security” includes,

- (a) any document, instrument or writing commonly known as a security,
- (b) any document constituting evidence of title to or interest in the capital, assets, property, profits, earnings or royalties of any person or company,
- (c) any document constituting evidence of an interest in an association of legatees or heirs,
- (d) any document constituting evidence of an option, subscription or other interest in or to a security,
- (e) a bond, debenture, note or other evidence of indebtedness or a share, stock, unit, unit certificate, participation certificate, certificate of share or interest, preorganization certificate or subscription other than,
 - (i) a contract of insurance issued by an insurance company licensed under the Insurance Act, and
 - (ii) evidence of a deposit issued by a bank listed in Schedule I, II or III to the Bank Act (Canada), by a credit union or central to which the Credit Unions and Caisses Populaires Act, 2020 applies, by a loan corporation or trust corporation registered under the Loan and Trust Corporations Act or by an association to which the Cooperative Credit Associations Act (Canada) applies,
- (f) any agreement under which the interest of the purchaser is valued for purposes of conversion or surrender by reference to the value of a proportionate interest in a specified portfolio of assets, except a contract issued by an insurance company licensed under the Insurance Act which provides for payment at maturity of an amount not less than three quarters of the premiums paid by the purchaser for a benefit payable at maturity,
- (g) any agreement providing that money received will be repaid or treated as a subscription to shares, stock, units or interests at the option of the recipient or of any person or company,
- (h) any certificate of share or interest in a trust, estate or association,
- (i) any profit-sharing agreement or certificate,
- (j) any certificate of interest in an oil, natural gas or mining lease, claim or royalty voting trust certificate,
- (k) any oil or natural gas royalties or leases or fractional or other interest therein,
- (l) any collateral trust certificate,
- (m) any income or annuity contract not issued by an insurance company,
- (n) any investment contract,
- (o) any document constituting evidence of an interest in a scholarship or educational plan or trust, and
- (p) any commodity futures contract or any commodity futures option that is not traded on a commodity futures exchange registered with or recognized by the Commission under the Commodity Futures Act or the form of which is not accepted by the Director under that Act,

whether any of the foregoing relate to an issuer or proposed issuer.

Soliciting: The concept of “soliciting” is interpreted broadly. In companion policy guidance to NI 31-103, the following description applies to the “solicitation” business trigger:

“Contacting anyone to solicit securities transactions or to offer advice may reflect a business purpose. Solicitation includes contacting someone by any means, including advertising that proposes buying or selling securities or participating in a securities transaction, or that offers services or advice for these purposes.”

Specified Non-Canadian Jurisdiction: means any of Australia, Brazil, Hong Kong, Iceland, Japan, Republic of Korea, New Zealand, Norway, Singapore, Switzerland, United States of America, United Kingdom of Great Britain and Northern Ireland, and any member country of the European Union.

Trades through a Local Dealer Exemption: An OFI may use a local Canadian dealer as an intermediary to market/sell Funds to Canadian investors. In order to rely upon the exemption, the OFI must not solicit or

contact directly any purchaser or prospective purchaser in relation to the marketing or sale of Funds. There are no fees or filing requirements for this exemption. Please note that in using this exemption in respect of a retail client, the OFI would be prohibited from having contact with the retail client (i.e. it could only trade with the registered Canadian investment dealer).

Trading or Advising in Certain Types of Derivatives

In determining whether a person or company is in the business of Trading or in the business of advising in derivatives, a number of factors should be considered, including, without limitation:

- acting as a market maker in respect of derivatives;
- carrying on derivatives trading or advising activities with Repetition, Regularity or Continuity - regularly trading or advising in any way that produces, or is intended to produce, profits is generally considered to be for a business purpose;
- facilitation of trading or intermediation of transactions between third-party counterparties to derivatives contracts;
- receiving or expecting to receive compensation for carrying on derivatives transactions whether transaction or value based;
- directly or indirectly soliciting others in connection with derivatives transactions or services related thereto; and
- engaging in activities similar to a derivatives adviser or derivatives dealer; and
- providing derivatives clearing services.

Unsolicited Telecommunications Rules

The CRTC has established rules that OFIs conducting telemarketing calls, or hiring telemarketers to conduct such calls on their behalf must follow when initiating telemarketing calls:

There are three key sections in the rules:

- Part II of the Rules concerns the National Do Not Call List (DNCL), which enables Canadian consumers to add their phone number to a “do not call” list, and prohibits calls to phone numbers on the DNCL unless an exception applies or express consent is obtained;
- Part III of the Rules sets out the Telemarketing Rules that govern the manner in which telemarketing calls can be made; and
- Part IV sets out restrictions on the use of Automatic Dialing-Announcing Devices (ADAD).

Certain requirements vary when placing telemarketing calls to individuals (as may be the case with retail clients including high net-worth individuals) rather than businesses (i.e., small businesses, Institutional Clients).

Telemarketers who initiate telemarketing calls (and clients of telemarketers on whose behalf such calls are made) must register with the National Do Not Call List, regardless of whether or not such calls fall under the Exemptions to the Do Not Call List Rules and subscribe to and access the DNCL for non-exempt messages.

2. GUIDELINES FOR COMPLETING PART B OF THIS MEMORANDUM

Please check the boxes below to **confirm** you have followed each of these guidelines:

Please **do**:

- (a) let us know if there are **upcoming legislative changes** in relation to the Part B Memorandum Subject Matter **before** continuing to complete Part B. If the changes are major, we may ask you to delay work on completion of Part B until the changes are in force; ☒
- (b) **confirm** that the questions in Part B **cover** all the issues, requirements, restrictions, exemptions or workarounds that could apply to: (i) the cross-border **marketing** and **sale** of Funds or Investment Management & Advisory Services into your jurisdiction and (ii) the cross-border **provision** of Investment Advice or Arranging into your jurisdiction in connection with Funds or Investment Management & Advisory Services; ☒
- (c) provide **focused answers**, which deal only with issues/requirements/exemptions/conditions that are **relevant to a financial institution** (e.g. bank/securities firm/credit institution/hedge fund/investment fund/pension fund/insurance firm) – please **do not** provide theoretical answers that could never apply in practice to a financial institution; ☒
- (d) ensure that you **answer all of the questions** posed in Part B (please note that certain questions comprise several separate questions, all of which must be answered); ☒
- (e) use the **defined terms** in section 1.3 of this Part B; ☒
- (f) begin answers with **"Yes" or "No"**, where possible, followed up with a **simple and concise** explanation; ☒
- (g) where publicly available free of charge, please provide (i) **a website link to any guidance** (e.g. guidance issued by the competent regulator) referred to in your responses; and (ii) an **English translation** of any such guidance; and ☒
- (h) **complete Appendix 1 2 and 3 of this Part B**, which pull together all of the required and recommended legends, disclosures, risk factors and other forms of wording to be included in the communications referred to in this Part B. ☒

Please **do not**:

- (i) leave any answer **blank** – if a question is not applicable, please indicate this by stating "N/A" (and provide a brief explanation why it is not applicable); ☒
- (j) **modify** any question or the format of this Part B; ☒
- (k) qualify your answer with **additional factual assumptions** unless agreed with aosphere Limited; or ☒
- (l) **cross-refer** to answers to Part A of this Memorandum. Part A and Part B should be treated as separate standalone documents. ☒

3. SOURCES OF LAW; GUIDANCE; COMPETENT REGULATOR

Questions	Answers
(a) Please list the principal sources of law (whether based on specific legislative statutes, common/case law or equity (where applicable) or civil laws/codes and including constitutional laws) applicable to the cross-border marketing and sale of: (i) Funds; and (ii) Investment Management & Advisory Services, to investors located in your jurisdiction. Please include the date that the relevant law(s) entered into force.	The principal source of law is provincial securities law and laws and rules relating to electronic and telephone communications. Provincial securities law includes: (i) provincial securities and derivatives legislation, (ii) local rules applicable only in a particular province, (iii) multilateral instruments that apply in more than one province, but not all provinces and (iv) national instruments that apply in all Canadian provinces and territories. The following list includes the provincial securities laws that are specifically applicable to the cross-border marketing and sale of Funds and Investment Management & Advisory Services to investors located in Ontario and Quebec: Provincial Securities Legislation • Securities Act (Ontario) (“OSA”) • Commodity Futures Act Ontario (“CFA”) • Ontario Securities Commission Rule 32-506 (Under the Commodity Futures Act) Exemptions for International Dealers, Advisers and Sub-Advisers (the “CFA Exemption”) • Securities Act (Quebec) (“QSA”) • Derivatives Act (Quebec) (“QDA”) • Securities Act (British Columbia) (“BCSA”) • Securities Act (Alberta) (“ABSA”) • British Columbia Securities Commission Instrument 91-501 (BC) • Alberta Securities Commission Blanket Order 91-507 • Ontario Securities Commission Rule 45-501 Federal and Provincial Privacy Legislation • The federal Personal Information Protection and Electronic Documents Act, S.C. 2000, c.5 • Alberta’s Personal Information Protection Act, S.A. 2003, c.P-6.5 • British Columbia’s Personal Information Protection Act, S.B.C. 2003, c.63

- [Quebec’s An act respecting the protection of personal information in the private sector, R.S.Q., c.P-39.1](#)

Multilateral instruments

- [Multilateral Policy 31-202 – Registration Requirement for Investment Fund Managers](#) (“MP 31-202”) effective in both British Columbia and Alberta.
- [Multilateral Instrument– 32-102 - Registration Exemptions for Non-Resident Investment Fund Managers](#) (“MI 32-102”) effective in both Ontario and Quebec.
- In provinces other than Ontario and British Columbia, [Multilateral Instrument 45-107 Listing Representation and Statutory Rights of Action Disclosure Exemptions](#)

National Instruments

- [National Instrument 45-106 – Prospectus Exemptions](#) (“NI 45-106”)
- [National Instrument 31-103 – Registration Requirements, Exemptions and Ongoing Registrant Obligations](#) (“NI 31-103”)
- [Amendment to National Instrument 33-105 Underwriting Conflicts](#)
- [National Instrument - 81-102 Investment Funds](#)
- [National Instrument - 93-101 Derivatives: Business Conduct](#) (“NI 93-101”)

National Anti-Spam and Telecommunications Legislation

- [Canada’s Anti-Spam Legislation \(Statutes of Canada 2010, c 23\) and its associated regulations \(collectively, “CASL”\)](#)
- [The Federal Telecommunications Act \(S.C. 1993, c. 38\) and the CRTC Unsolicited Telecommunications Rules](#)

The following federal and provincial laws and rules applies to language rights:

- [Use of French in Federally Regulated Private Businesses Act \(Statues of Canada 2023, c. 15, s. 54\)](#), which has been enacted but is not currently in force
- Quebec’s [Charter of the French Language, CQLR c C-11](#)
- Quebec’s [Regulation respecting the language of commerce and business, CQLR, c C-11, r 9](#)
- Quebec’s [Regulations respecting the language of the civil administration, CQLF, c. C-11, r 8.1](#)

	It should be noted that Canadian securities regulators have developed detailed rules and regulations that are applicable to Funds that are qualified by a prospectus that is filed with Canadian securities regulators, such as requirements that the Funds use a Canadian custodian. It would be extremely unusual for a Fund domiciled outside Canada to be qualified by a Canadian prospectus. We have not included references to these rules and regulations because OFIs do not market or sell Canadian prospectus-qualified Funds on a cross-border basis.
(b) Please list any guidance (e.g. bulletins, codes of practice, guidelines, etc.) issued by the competent regulator(s), which is relevant to the subject matter referred to in section (a) above. Please indicate whether guidance has binding (i.e. legally enforceable) or other status.	Each of NI 31-103, MI 32-102 and NI 45-106 has a “companion policy” which provides interpretive guidance on the requirements of each regulation. Technically, these companion policies do not have the force of law, however securities regulators in Ontario, Quebec, British Columbia and Alberta often give significant weight to companion policy guidance. Provincial securities regulators have developed resources available on their websites to assist dealers, advisers and investment fund managers with interpreting and applying applicable securities laws. These resources are general in nature and apply to business all types of investors. In general, the resources, which include bulletins, notices, guidelines, frequently asked questions and similar resources, are not legally enforceable. Ontario resources can be found here. Quebec resources can be found here. British Columbia resources can be found here. Alberta resources can be found here. As noted in 7.1(a) below, OSFI has issued rulings regarding cross-border banking activities. Rulings do not have the force of law and are not necessarily binding on OSFI. They describe how OSFI has applied or interpreted provisions of law, regulations and guidelines, and they may provide guidance for other transactions where the relevant facts are the same or similar. <u>Anti-Spam and Telemarketing Guidance</u> While the following guidance is not legally enforceable in and of itself, it represents the interpretations of regulatory authorities: • Overview of Telemarketing in Canada • Telemarketer FAQs • CASL FAQs • Tips for compliance with spam and telemarketing rules • Interpreting the Electronic Commerce Protection regulations

	• Developing corporate compliance programs • CASL Frequently asked questions • CASL Guidance on Implied Consent • Guidelines on the Commission's approach to section 9 of CASL • Using toggling to obtain expressed consent • Keeping records of consent • Guide for businesses doing e-marketing (PIPEDA) • Guidelines for obtaining meaningful consent (PIPEDA) • Memorandums of understanding between the CRTC and other organizations • CRTC Guidance for financial dealers (investments and mutual funds) and advisors • CRTC Guidance for the insurance industry • Guidelines on privacy and online behavioural advertising (OPC) • Policy position on online behavioural advertising (OPC) • Lignes directrices 2023-1 –Consentement : critères de validité (CAI) (Guidelines on the validity criteria for consent ; no English version published)
(c) Please provide a website link to the English language version of any such sources of law or guidance referred to in section (a) or section (b) above, if publically available free of charge.	See hyperlinks in response to 3(a) and 3(b). The companion policies described in the response to 3(b) are available at the same website links as the regulations listed in the response to 3(a).
(d) Are there any announced future changes to the laws listed in section (a) above? If so, please: (i) contact us before continuing if the changes are significant; and (ii) provide brief details (including expected date of entry into force and what the anticipated scope of the changes is to the extent relevant).	There are no announced future changes to the securities laws in Ontario, Quebec, British Columbia and Alberta or to the federal BA that would have a significant impact on the cross-border marketing of Products and Services to (i) Institutional Clients and (ii) Retail Clients located in Ontario or Quebec. Finally, there are no announced future changes to CASL or to the Unsolicited Telecommunications Rules or private sector privacy legislation in Canada. Amendments to Quebec Law 25 are now fully in force. In June 2022, Québec adopted significant amendments to the Charter of the French Language, mandating new requirements for language of service and contracting in particular, with new private enforcement mechanisms.

	In June 2023, Canada adopted a new statute mandating French language service requirements for Federally regulated private businesses in Québec. Note that in September 2025, the securities regulators of Alberta and Ontario, together with other participating jurisdictions in Canada, published a notice and request for comment on a proposed new exemption to the prospectus requirement for self-certified investors. Comments are requested by 5 January 2026.
(e) Please provide the name of the competent regulator(s) .	• Ontario Securities Commission (“OSC”) – www.osc.gov.on.ca • Autorité des marchés financiers (Quebec)– (“AMF”) - https://lautorite.qc.ca/en/professionals • British Columbia Securities Commission – (“BCSC”) - www.bsc.bc.ca • Alberta Securities Commission– (“ASC”) - www.asc.ca • The Office of Superintendent of Financial Institutions – (“OSFI”) - www.osfi-bsif.gc.ca • Canadian Radio-television and Telecommunications Commission (“CRTC”) – www.crtc.gc.ca • Office of the Privacy Commissioner of Canada – https://www.priv.gc.ca/en/ • Office of the Information and Privacy Commissioner for British Columbia – https://www.oipc.bc.ca/ • Office of the Information and Privacy Commissioner of Alberta – https://oipc.ab.ca/ • Commission d'accès à l'information – https://www.cai.gouv.qc.ca/
(f) Please provide a link to the competent regulator's website (if any) – the English language version if available.	See response to 3(e) above.

4. [SECTION INTENTIONALLY LEFT BLANK]

5. PASSIVE MARKETING (REVERSE-ENQUIRY)

Questions	Answers
(a) Is marketing/selling of a Fund (whether Open-Ended or Closed-Ended) permitted following an unsolicited approach by an investor to an OFI?	Ontario, Quebec, British Columbia and Alberta: Marketing/selling a Fund without restriction is not permitted following an unsolicited approach, reverse enquiry or reverse solicitation by an investor to an OFI. Subject to the no solicitation exemption to the investment fund manager registration requirement described in section 7.1(a) below and in the final paragraph of this

section 5(a) below in respect of Ontario and Quebec, Canadian securities laws applicable to the marketing/selling of a Fund make no distinction between passive marketing (reverse-enquiry) and active forms of marketing.

As a general matter, in order to market/sell a Fund following a reverse enquiry, the OFI must: (i) make a registration or rely on an available registration exemption (described in section 7 below); and (ii) if providing offering materials, sell the Fund using either: (x) a prospectus that has been approved and receipted by the applicable Canadian securities regulator (in practice this is rare); or (y) a document that has been prepared primarily for delivery to, and review by, a prospective purchaser so as to assist the prospective purchaser to make an investment decision in respect of "securities" (defined in section 1.4 above and which includes units/shares/interests in Funds) being sold in a distribution to which the prospectus requirement would apply but for the availability of one or more exemptions contained in applicable securities laws (an "offering memorandum"). See section 7.1(a) below for a description of the use of an offering memorandum in the Canadian private placement regime (including the requirements for Canadian disclosure and reporting requirements).

Certain exemptions have filing/fee requirements. See section 7 below for more details.

In addition, an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are not regarded as being carried out from within Canada. See section 7.1(a) of the Memo for more details.

One caveat is that generic marketing, such statements about the OFI's track record, assets under management, etc., which may include posters, leaflets and other promotional material that is not tied to the marketing/selling of a specific Fund or group of Funds, is permitted without the need to rely on a registration or registration exemption or to comply with the Canadian private placement regime. Discussions regarding specific strategies are permitted, so long as the discussion of those strategies is not tailored to the investment needs of the audience.

While not directly connected to marketing/selling a Fund, it should be noted that securities laws in Ontario and Quebec require the investment fund manager of a Fund to seek registration or rely on a registration exemption if there are investors in the Fund located in the relevant province. See response to section 7 below for further details. One exemption from registration as an investment fund manager is the no solicitation exemption. The exemption is available to OFIs who are investment fund managers of Funds who have investors located in either Ontario or Quebec but that do not "actively solicit" residents in the province (Ontario or Quebec) to purchase securities. Active solicitation refers to intentional actions taken by the investment fund or the Fund manager

	to encourage a purchase of the Fund's securities. There is another registration exemption available to investment fund managers in cases where there has not been active marketing of a Fund. This is discussed in section 7 below. Please note that the requirement to register as an investment fund manager will only apply in British Columbia or Alberta if the OFI directs or manages the business, operations or affairs of a Fund from a physical place of business in British Columbia or Alberta or its head office is in British Columbia or Alberta. This requirement is therefore unlikely to apply to an OFI cross-border marketing into British Columbia or Alberta. In circumstances where the OFI does not have a physical place of business or head office in British Columbia or Alberta, they will need to register if they engage in the activities that result in their directing or managing the business, operations or affairs of a Fund in that province. To the extent that marketing may occur via electronic message(s), the CASL Requirements apply. CASL contains an exception from the consent and form/content requirements for messages sent in response to a request, inquiry or complaint, or that are otherwise solicited by the person to whom the message is sent. In order to continue to send CEMs after responding to the request or inquiry, or add an individual to a marketing list, additional authority under CASL will be required. The Unsolicited Telecommunication Rules will apply to all outbound calls for the purposes of solicitation.
Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant): (i) What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction?	Please see section 5(a) above.
(ii) Must a “reverse-enquiry”/“reverse-solicitation” relate to a <u>specific</u> Fund or can it be more general?	N/A
(iii) Does it make a difference if there is a pre-existing relationship with the investor?	N/A With respect to CASL, please see section 8.1(a) and (d), below.
(iv) Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/ “reverse-solicitation”?	N/A
(v) Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	N/A

(vi)	Does it matter if a third party intermediary made the approach on behalf of the investor?	N/A
(vii)	Does the investor need to be a particular type of investor eg a professional investor?	N/A
(viii)	Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/“reverse-solicitation”?	N/A
(b)	Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Funds that you think is relevant. For example:	N/A
(i)	are there particular compliance procedures which are advised?	N/A
(ii)	are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	N/A
(iii)	is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	N/A
(iv)	are there any registration/notification/approval/licensing requirements which apply in respect of the OFI following an unsolicited approach regarding a Fund by an investor to an OFI?	N/A – see 5(a) above for OFI requirements when marketing a Fund) With respect to Unsolicited Telecommunications requirements, see section 8.2 below.
(c)	Is marketing/selling of Investment Management & Advisory Services permitted following an unsolicited approach by an investor to an OFI? Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant):	Ontario, Quebec, British Columbia and Alberta: Marketing/selling Investment Management & Advisory Services without restriction is not permitted following an unsolicited approach, reverse enquiry or reverse solicitation by an investor to an OFI. Canadian securities laws applicable to Investment Management & Advisory Services make no distinction between passive marketing (reverse-enquiry) and active forms of marketing. In order to market/sell Investment Management & Advisory Services, the OFI must rely either make a registration or on an available registration exemption (described in section 7 below).

	In addition, an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are not regarded as being carried out from within Canada. See section 7.1(a) of the Memo for more details. One caveat is that generic marketing, such as statements about the OFI's track record, assets under management, etc., which may include posters, leaflets and other promotional material, is permitted without the need to rely on a registration or registration exemption. For CASL, see response to Question 5(a).
(i) What constitutes a “reverse-enquiry”/ “reverse-solicitation” within your jurisdiction?	N/A
(ii) Must a “reverse-enquiry”/“reverse-solicitation” relate to a <u>specific</u> Investment Management & Advisory Service or can it be more general?	N/A
(iii) Does it make a difference if there is a pre-existing relationship with the investor?	N/A
(iv) Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/“reverse-solicitation”?	N/A
(v) Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	N/A
(vi) Does it matter if a third party intermediary made the approach on behalf of the investor?	N/A
(vii) Does the investor need to be a particular type of investor e.g. a professional investor?	N/A
(viii) Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/“reverse-solicitation”?	N/A
(d) Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Investment Management & Advisory Services that you think is relevant. For example:	N/A

(i)	are there particular compliance procedures which are advised?	N/A
(ii)	are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	N/A
(iii)	is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	N/A

6. MARKETING/SELLING TO THE PUBLIC

Questions	Answers
6.1 Mutual Recognition of Funds/Passporting Schemes	
(a) Are there any existing or proposed regional arrangements for passporting or mutual recognition of Funds which facilitate the cross border marketing/selling of Funds into your jurisdiction (“ Arrangements ”)? Examples of such Arrangements would be the Association of Southeast Asian Nations (ASEAN) CIS Framework, the Asia-Pacific Economic Co-operation (APEC) Asia Region Funds Passport, the Hong Kong–China mutual recognition platform for Funds or the Switzerland-Hong Kong mutual recognition scheme.	No
(b) Please briefly describe any such Arrangements and the relevant rules, guidance or legislation. Please ensure that these sources are included in your responses to section 3 above.	N/A
(c) If the Arrangements are already in force, if possible, please comment on how widely they have been used and whether any Funds have been marketed or sold in your jurisdiction on the basis of the Arrangements. Please give an indication of costs and timescales of using such Arrangements.	N/A
(d) If the Arrangements are not yet in force, if possible, please comment on their current status and expected timeline for implementation.	N/A
(e) Does a Fund have to be both domiciled and managed in one of the participating jurisdictions in order to benefit from the Arrangements, as implemented in your jurisdiction?	N/A
(f) Is any local presence required in your jurisdiction or would the regulator in your jurisdiction need to approve a Fund in any way before marketing / selling can take place there on the basis of the Arrangements?	N/A

(g)	Do the Arrangements apply to both Open-Ended and Closed-Ended Funds ?	N/A
(h)	Are there any registration/notification/approval/ licensing requirements which apply in respect of the OFI marketing/selling such Funds in accordance with the Arrangements in your jurisdiction?	N/A
(i)	Where pursuant to this section 6.1 it is possible to market a Fund pursuant to the Arrangements in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for such Fund marketed to the public? If so, please provide recommended wording in Section D of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	N/A
6.2 Funds		
(a)	Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a Fund by an investor which is a member of the public . If applicable, please cross-refer to your answer to section (d) below.	Yes, the response to section 5(a) would apply where the unsolicited approach is made in respect of a Fund by an investor which is a member of the public.
(b)	Is active marketing/selling of a Fund (domiciled outside your jurisdiction) to the public in your jurisdiction permitted without restriction ?	No, there are restrictions. See response to section 6.2(d) below.
(c)	With reference to sections (a) and (b) above, if possible, please provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that are not “professional investors”.	In Canada, the “public” would be those investors that are not “accredited investors” as defined in NI 45-106 (see Section 1.4 for definition) in the context of the prospectus requirement. In the context of the registration requirement the Public would be those investors that are not “Permitted Clients” as defined in Section 1.4.
(d)	If the answer to section (b) above is “No”, are there certain requirements that either the OFI or the Fund (domiciled outside your jurisdiction) can fulfil so that active marketing/selling by the OFI of a Fund to the public in your jurisdiction is permitted?	Ontario, Quebec, British Columbia and Alberta: In order to market/sell a Fund to the public, as a general matter the OFI must (i) subject to the ‘business trigger’ described in Section 7.1(a) below, register in Canada (as described in section 7 below) and (ii) use a prospectus that has been approved and receipted by the applicable Canadian securities regulator. Registration and prospectus exemptions described in section 7 below are not available in order to market/sell a Fund to the Public, with the limited exception that an OFI may (x) trade securities with the public

In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	through a registered dealer (with the proviso that the OFI must not solicit or contact directly any purchaser or prospective purchaser in relation to the marketing or sale of the Fund) and (y) market/sell a fund to members of the public that are not accredited investors, so long as the purchaser invests a minimum of \$150,000 and is not an individual. These exceptions are exceedingly rare. In addition, an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are not regarded as being carried out from within Canada. See section 7.1(a) of the Memo for more details. Should an OFI choose to register in Ontario, the OFI would be subject to the Ontario Capital Participation Fee described in section 7.1 below. As noted in the response to section 3(b) above, Canadian securities regulators have developed detailed rules and regulations that are applicable only to Funds that are qualified by a Canadian prospectus, such as requirements that the Funds use a Canadian custodian. It would be extremely unusual for a Fund domiciled outside Canada to be qualified by a Canadian prospectus. As a general matter, we would not recommend that a Fund domiciled outside Canada be marketed or sold to the public in Canada, given the novelty and legal impediments to qualifying the Fund with a prospectus approved by Canadian securities regulators. For CASL and Unsolicited Telecommunications requirements, see Section 8.1 and 8.2.
(i) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	There would be no impact on this analysis if the Fund is regulated in a country other than Canada.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund.	There would be no impact if the marketing/sale was undertaken in respect of an Open-Ended or a Closed-Ended Fund.
(iii) the relevant criteria for determining whether investors are in your jurisdiction for the purposes of determining whether the Fund may be offered to the public.	For clients that are individuals, a client is “Canadian” (i.e. in the local jurisdiction) if he or she is ordinarily resident in Canada. Where the client is a corporation, partnership, investment fund, pension plan, government entity or charity, the determination of whether a client is “Canadian” is normally based on whether the client’s decision makers are located in Canada. If a client is organized in Canada but its investment decision makers are located outside Canada then it could be reasonable to conclude that the client is not a Canadian client and local Canadian securities laws do not apply. Alternatively, if a client is organized outside of Canada but its investment decision makers are located inside Canada, then local Canadian securities laws could apply.

	Common examples of when local Canadian securities laws would apply include situations where an OFI is providing Investment Management & Advisory Services to: • an investment fund formed under the laws of a Canadian province; • an individual ordinarily resident in Canada; • a family trust where the trustees are ordinarily resident in Canada; Canadian pension funds or Canadian government entities.
(iv) whether it is necessary to use a local intermediary in order to market/sell interests in a Fund to the public in your jurisdiction.	It is not necessary to use a local intermediary in order to market/sell interests in a Fund to the public in Canada. However, there is a registration exemption for an OFI that sells interests in a Fund through a Canadian registered dealer (the Trades through a Local Dealer exemption). See response to section 7.1(a) for more details.
(v) whether there is any requirement as to the language the Fund documentation needs to be in and are there any particular requirements that apply in connection to such documents?	Quebec: With respect to investors in Quebec, French language laws will apply. Generally, if one party to an agreement is outside of Quebec, there is an exemption from the French language contracting requirements. However, in any contract (or other express or implied agreement or arrangement) involving the provision of services, the recipient in Quebec should be expressly consenting to receive service in English. There is no “party outside Quebec” exemption for the requirement to provide services in French, but there is a “consent” exemption from the French language services requirement. In all cases, it is recommended that subscription documents contain language substantially similar to the following: <u>French Language Waiver.</u> The investor acknowledges and agrees that by considering the investment opportunity, and as applicable by purchasing securities of the issuer, it: (i) expressly wishes and requests that all communications and documents, as well as any agreement and form of order and confirmation, as applicable, be drafted in the English language only, <u>and that any related services be provided in English,</u> (ii) acknowledges that the issuer is from outside the Province of Québec and that any agreement related to a purchase securities, as applicable, is being formed outside of the Province of Québec, and (iii) acknowledges that certain essential terms of a potential investment are negotiated. <i>L’investisseur reconnaît et convient qu’en considérant l’occasion d’investissement, et, le cas échéant, en souscrivant à des titres de l’émetteur, il déclare: i) qu’il souhaite et demande expressément que toutes les communications, tous les documents, ainsi que toute entente et tout formulaire de demande et de confirmation, selon le cas, soient rédigés uniquement en anglais, et que tous les services connexes soient fournis en anglais, ii) qu’il reconnaît que l’émetteur est de l’extérieur de la province de Québec et que toute convention relative à la souscription de titres, le cas échéant, est conclue à l’extérieur de la</i>

	<i>province de Québec, et iii) qu'il reconnaît que les certaines modalités essentielles de l'occasion d'investissement sont négociées.</i>
(e) Where it is possible to market/sell a Fund pursuant to a regime outlined in 6.2(d), please briefly outline any applicable timescales, costs, initial and ongoing filing or other requirements.	While it possible, there is a significant amount of cost, time and resources required to market a fund pursuant to this regime and the requirements would be very fact-specific. Detailed discussions with local counsel would be warranted prior to pursuing such sales.
(f) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund to the public in your jurisdiction?	See section 7.1(a) below.
(g) Would your answer to section (b) above differ if interests in the Fund being marketed/sold to the public constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	No. However, it should be noted that secondary market trading of exchange-listed Funds can occur without the need to comply with the Canadian private placement regime (described in the response to section 7.1 below), provided that the OFI is registered as a dealer or can rely upon a dealer registration exemption (as described in the response to section 7.1(a) below).
(h) Where pursuant to section 6.2(d) above it is possible to market a Fund to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for a Fund marketed to the public? If so, please provide recommended wording in Section C of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	N/A.
6.3 Investment Management & Advisory Services	
(a) Please confirm whether your response to section 5(c) would apply where the unsolicited approach in respect of Investment Management & Advisory Services is made by an investor which is a member of the public. If applicable, please cross-refer to your answer to section (b) or (d) below.	Yes, the response to section 5(c) would apply where the unsolicited approach is made in respect of Investment Management & Advisory Services is made by an investor which is a member of the public.
(b) Is marketing/selling of Investment Management & Advisory Services to the public in your jurisdiction permitted without restriction ?	No, there are restrictions. See response to section 6.3(d) below.
(c) With reference to sections (a) and (b) above, if possible, please provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that	See response to section 6.2(c) above. In Canada, the “public” would be those investors that are not “permitted clients” as defined in Section 1.4 of this memorandum.

are not “professional investors”. Please refer to section 6.2(c) if applicable.	
(d) If the answer to section (b) above is “No”, are there certain requirements that the OFI can fulfil so that marketing/selling by the OFI of Investment Management & Advisory Services to the public in your jurisdiction is permitted?	Ontario, Quebec, British Columbia and Alberta: In order to market/sell Investment Management & Advisory Services to the public, the OFI must (a) comply with the Adviser Registration Requirement or the Dealer Registration Requirement and register as a portfolio manager or dealer in Canada, depending on the activity that it is carrying out (and as described in the response to section 7.3(a) below) or (b) enter into a sub-advisory arrangement with a registered portfolio manager or dealer and market/sell Investment Management & Advisory Services in reliance upon the International Sub-Adviser Exemption. In addition: • an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are not regarded as being carried out from within Canada. See section 7.1(a) of the Memo for more details. • Any OFI that is in the business of trading or advising in derivatives with Canadian resident clients will need to comply with the Derivatives Business Conduct Rule unless there is an applicable exemption. Please note that when marketing/selling to the public the only available exemption is the Foreign Derivatives Sub-Adviser Exemption. Please see section 7.3 for more information. For CASL and Unsolicited Telecommunications requirements, see Section 8.1 and 8.2
(e) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services to the public and are there any particular requirements that apply in connection to such documents?	With respect to Quebec, see response to ss. 6.2(d)(iv) and 8.6(a) on Quebec French language laws.
(f) Where pursuant to section 6.3(d) above it is possible to market/sell Investment Management & Advisory Services to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials? If so, please provide recommended wording in Section C of Appendix 3 of this Memorandum.	With respect to Quebec, see response to ss. 6.2(d)(iv) and 8.6(a) on Quebec French language laws With respect to CASL, please see section 8.1, below.

7. PRIVATE PLACEMENT REGIME

Questions	Answers
7.1 Private Placement Regime (Funds) (a) Is active marketing/selling by an OFI of interests in a Fund (whether Open-Ended or Closed-Ended) to investors in your jurisdiction via a private placement regime permitted? In preparing your answer, please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Ontario, Quebec, British Columbia and Alberta: Yes, active marketing/selling by an OFI of interests in a Fund (whether Open-Ended or Closed-Ended) to investors in Ontario, Quebec, British Columbia and Alberta is permitted, so long as the OFI complies with the requirements of the Canadian private placement regime, including the prospectus requirement and the requirement to register as a dealer or investment fund manager, or makes use of an available exemption. Prospectus Requirement. Pursuant to the OSA, QSA, BCSA and ASA, the offer and sale of a Fund (whether Open-Ended or Closed-Ended, there is no distinction under Canadian law) to investors in Ontario, Quebec, British Columbia and Alberta, respectively, requires a prospectus to be filed, approved and receipted by provincial securities regulators in the two provinces (the “Prospectus Requirement”), <u>unless</u> an exemption from the Prospectus Requirement is available. Most exemptions from the Prospectus Requirement are located in NI 45-106 and, in Ontario, the OSA. For example, the most commonly used exemption from the Prospectus Requirement, which is available pursuant to NI 45-106 and the OSA, permits offerings to be extended to Canadian institutional and sophisticated investors that meet the definition of “accredited investor” (see Section 1.4 for definition). An offer to ‘accredited investors’ is exempt from the Prospectus Requirement provided that: (i) the OFI complies with the Canadian Disclosure requirement/Canadian Wrapper Requirement (detailed in the paragraph below) and, (ii) if the purchaser is an individual, the OFI provides the purchaser with a prescribed form of risk acknowledgement on Form 45-106F9. Other exemptions are also available provided certain conditions are met. For example, an exemption is available if the investor makes a minimum investment of \$150,000, is not an individual, purchases as principal and the purchase is of a security of a single issuer. Compliance with the Canadian Disclosure Requirement or the Canadian Wrapper Requirement is also required in relation to this exemption. Canadian Disclosure Requirement A Canadian wrapper is not required, where:

- (a) the issuer is not a Canadian corporation, or headquartered in Canada, and neither the issuer nor any selling securityholder is located in or has significant connections to Canada;
- (b) sales in Canada are limited to investors who qualify as Permitted Clients and also qualify as Accredited Investors, and who are not individuals (natural persons);
- (c) sales in Canada are made by Canadian registered securities dealers or by non-Canadian dealers who have taken the necessary steps to rely on the International Dealer Exemption in each province where securities are being sold;
- (d) there is a concurrent registered or unregistered offering of the same class of securities being made in the United States, being made with an offering document, and the same offering document is being used in Canada; and
- (e) the Canadian purchaser has received the required notice of the use of the Canadian Wrapper Exemption (set out in Appendix 2 to the Memorandum).

Please note that the above conditions are cumulative.

Canadian Wrapper Requirement

Where the Canadian Disclosure Requirement cannot be complied with and an OFI decides to offer Fund securities in Ontario, Quebec, British Columbia and Alberta in reliance upon an exemption from the Prospectus Requirement, the OFI should provide an offering document, such as a prospectus qualified in a non-Canadian jurisdiction or an offering memorandum, to a prospective purchaser so as to assist the prospective purchaser to make an investment decision. Where the Canadian Disclosure Requirement cannot be complied with, no offering document, whether preliminary or final, should be provided to Canadian prospective purchasers unless it includes a Canadian "wrapper" as some of the contents of the wrapper are mandatory disclosure required by Canadian law. The wrapper consists of a few short pages of additional information directed to Canadian investors. Combining the wrapper with the offering document creates a Canadian Offering Memorandum. The wrapper also contains deemed representations and warranties which serve the same function as an investor representation letter. The exact wording of the wrapper will depend on the Fund being marketed, including the provinces covered by the offering and advice should be sought from local counsel on a case-by-case basis.

Exempt Distribution Report Requirement

If a Fund is sold to an investor in Ontario, Quebec, British Columbia or Alberta under certain exemptions from the Prospectus Requirement, including the Accredited Investors Exemption and the Minimum Investment Exemption, then the issuer or underwriter of the Fund is required to file

an exempt distribution report with the local securities regulator in each province the Security is sold in. NI 45-106 requires the report to be filed within 30 days of the calendar year end (in respect of all distributions in the previous calendar year) for investment fund securities. The form is the same in Ontario, Quebec, British Columbia and Alberta. In all jurisdictions, the form is filed through the SEDAR+ filing system. The form requires disclosure of certain information concerning the issuer, the distribution and the investor. For example, the filer must disclose on the form the category of accredited investor under which the investor falls. It is therefore an important practice point for the OFI to confirm the category of accredited investor under which the investor falls at the time of distribution.

There are filing fees associated with the filing of exempt distribution report, and the calculation of fees differs in Ontario and Quebec. In Ontario the filing fee is \$350 per report. In Quebec, the filing fee is based on the size of the distribution (greater of \$346 and (a) 0.025% of the net proceeds realized in the province for money market funds, or (a) 0.025% of the gross proceeds realized in the province for other issuers). In British Columbia, the filing fee is based on the size of distribution (greater of \$200 and (a) 0.01% of gross proceeds realized in the province for money market funds, or (b) 0.03% of gross proceeds realized in the province for other issuers). In Alberta, the filing fee is based on the size of distribution (greater of \$200 and (a) 0.02% of net proceeds realized in the province for money market funds, (b) 0.02% of gross proceeds realized in the province for other mutual funds, or (c) 0.025% of gross proceeds realized in the province for other issuers). Please also note the other fees payable, notices and filings described elsewhere in section 7.

Registration Requirement

Under the OSA, QSA, BCSA, ASA and NI 31-103, a firm is required to register as a dealer or investment fund manager, or make use of an available exemption, if the firm engages in the business of trading in securities in Canada or engages in the business of an investment fund manager with "repetition, regularity or continuity". We call this the "business trigger" for registration. In general, regulators consider factors such as whether the firm is engaging in activities similar to other registrants, intermediating trades between sellers and purchasers, conducting dealing or advising activities repeatedly, receiving compensation or soliciting.

The concept of "soliciting" is interpreted broadly. In companion policy guidance to NI 31-103, the following description applies to the "solicitation" business trigger:

"Contacting anyone to solicit securities transactions or to offer advice may reflect a business purpose. Solicitation includes contacting someone by any means, including

	advertising that proposes buying or selling securities or participating in a securities transaction, or that offers services or advice for these purposes.” The concept of “soliciting” under Canadian securities laws would apply to marketing activities in respect of particular securities. General marketing or promotional activities (for example, to promote an OFI’s brand) would not be considered solicitation in Canada. The registration requirements under Canadian securities laws have broad extraterritorial scope and apply to dealings with investors resident or domiciled in Canada whether such dealings are conducted by personnel from outside Canada or within Canada. A registration or registration exemption may be required if the OFI is soliciting in Ontario, Quebec, British Columbia or Alberta with repetition, regularity or continuity. In general, registration or a registration exemption would not be necessary if: (a) the solicitation does not relate to a specific Fund or Investment Management & Advisory Service, and is more general in nature and (b) does not occur with any repetition, regularity or continuity. There is no guidance on what constitutes repetition, regularity or continuity under Canadian securities laws, however we would suggest that marketing on a regular basis, even if infrequent (i.e. less than four times per year) could be considered to occur with repetition, regularity or continuity. In respect of marketing/selling a Fund and subject to the ‘business trigger’ described above, any person or company engaging in, or holding themselves out as engaging in the business of ‘trading’ in securities must register as a dealer and any person or company acting as an investment fund manager must register as an investment fund manager. A person that both trades in securities and acts as an investment fund manager must register in both categories i.e. as a Dealer and Investment Fund Manager (or rely upon a registration exemption in one or both categories). In British Columbia and Alberta, the Investment Fund Management Registration Requirement will only apply if the OFI directs or manages the business, operations or affairs of a Fund from a physical place of business in British Columbia or Alberta or its head office is in British Columbia or Alberta. This requirement is therefore unlikely to apply to an OFI cross-border marketing into British Columbia or Alberta. In circumstances where the OFI does not have a physical place of business or head office in British Columbia or Alberta, they will need to register if they engage in the activities that result in their directing or managing the business, operations or affairs of a Fund in that province. It should be emphasized that registrations are much more difficult and expensive to obtain and maintain than registration exemptions. Registration exemptions can be obtained immediately upon filing the required notification form. An entity must apply for a registration, which can take
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9-12 months to obtain. Costs for obtaining a registration exemption are typically less than \$5,000. Costs for obtaining a registration can range from \$50,000 to \$200,000, on average. Registrations include requirements for registration of individuals (supervisory/compliance officers and dealing and advising representatives), proficiency requirements for registered individuals, minimum insurance and capital requirements, client disclosure and know-your-client requirements, complaint handling and dispute resolution requirements, restrictions on providing margin to clients and financial reporting to regulators. However, most registrations are available to foreign entities (including for example OFIs) and so may be of assistance in marketing and sales activities, depending on the circumstances.

Registering as a dealer

Subject to the ‘business trigger’ where a person is engaged in the business of ‘trading’ in securities, there is a requirement to register as a dealer, unless an exemption applies.

Trading is broadly defined under securities laws to include not only the sale or disposition of a security for valuable consideration, but also any act, solicitation or conduct which is directly or indirectly in furtherance of the sale or disposition of a security.

Merely holding oneself out, directly or indirectly, as being willing to engage in the business of trading in securities may trigger the requirement to register as a dealer. Factors that may be indicative of carrying on the business of ‘trading’ in securities include:

- Engaging in activities similar to those conducted by a dealer;
- Acting as an intermediary between a seller and buyer of securities;
- Carrying on dealing activities with repetition, regularity or continuity;
- Receiving or expecting to receive compensation for carrying on dealing activities whether transaction or value based; and
- Directly or indirectly soliciting others in connection with dealing activities.

Please see above for a definition of ‘soliciting’.

The exemptions to the dealer registration requirement that are most useful to an OFI are as follows:

- International Dealer Exemption (“**IDE**”) (Sec. 8.18 of NI 31-103):
 - Applicable to dealers registered in their home jurisdiction;
 - Must file a notice of submission to jurisdiction on [Form 31-103F2](#);
 - May only trade with “**Permitted Clients**” (see Section 1.4 above for definition);

- May trade securities issued by entities that are not incorporated or formed under Canadian law (“**Foreign Securities**”);
- Must give prescribed disclosure to clients and make an annual filing with the regulator in each of Ontario, Quebec, British Columbia and Alberta, depending on where the Fund is being marketed. The annual filings in Quebec, British Columbia and Alberta are a simple email to the securities regulatory authority advising that the OFI has and will continue to rely on the IDE. In Ontario, the annual filing is the filing of the capital markets participation fee calculation on Form 13-502F4. The Form [13-502F4](#) is due each year before November 1st and is filed via the [OSC online portal](#); and
- No IDE employees need to be registered.
- These conditions are cumulative.
- Note that the Ontario Capital markets Participation Fee is payable in respect of this exemption. No fee of this type is payable in Quebec. In Alberta and British Columbia, there is a \$1,400 fee payable for filing either the Form 31-103F2 or the annual notice. See discussion further below in this Section 7.1(a) regarding this fee.
- Trades Through a Local Dealer Exemption (Section 8.5 of NI 31-103)
 - An OFI may use a local Canadian dealer as an intermediary to market/sell Funds to Canadian investors.
 - In order to rely upon the exemption, the OFI must not solicit or contact directly any purchaser or prospective purchaser in relation to the marketing or sale of Funds.
 - There are no fee or filing requirements associated with this exemption.

Registration as an investment fund manager

Applied to marketing/selling a Fund and subject to the business trigger (described above) registration as an investment fund manager may be required, particularly if any marketing activity occurs with any repetition, regularity or continuity. The term ‘investment fund manager’ refers to a person or company that directs the business, operations and affairs of a Fund. In Ontario and Quebec, securities regulators consider a firm to be engaging in the business of an investment fund manager if the fund has investors in the local province.

In British Columbia and Alberta, the Investment Fund Management Registration Requirement will only apply if the OFI directs or manages the business, operations or affairs of a Fund from a physical place of business in British Columbia or Alberta or its head office is in British Columbia or Alberta. This requirement is therefore unlikely to apply to an OFI cross-border marketing into

British Columbia or Alberta In circumstances where the OFI does not have a physical place of business or head office in British Columbia or Alberta, they will need to register if they engage in the activities that result in their directing or managing the business, operations or affairs of a Fund in that province. Some of the relevant functions or activities of an investment Fund manager may include:

- establishing a distribution channel for the Fund;
- marketing the Fund;
- establishing and overseeing the Fund’s compliance and risk management programs;
- overseeing the day to day administration of the Fund;
- retaining and liaising with the portfolio manager, the custodian, the dealers and other service providers of the Fund;
- overseeing advisers’ compliance with investment objectives and overall performance of the Fund;
- preparing the Fund’s prospectus or other offering documents;
- preparation and delivery of security holder reports;
- identifying, addressing and disclosing conflicts of interest;
- calculating the net asset value (NAV) and the NAV per share or unit; or
- calculating, confirming and arranging payment of subscriptions

There are exemptions from registration for investment fund managers in Ontario and Quebec, as described below.

A registered investment fund manager in Ontario must, on an annual basis, file the capital markets participation fee calculation on Form 13-502F4. The Form [13-502F4](#) is due each year before November 1st and is filed via the [OSC online portal](#). Registered Investment Fund Managers must also pay other fixed annual registration fees in Quebec (\$2,071), British Columbia (\$1,400), Alberta (\$1,400) and other provinces on an annual basis.

No Solicitation Exemption (“IFM No-Solicitation Exemption”) (Sec. 3 of MI 32-102):

Available to OFIs who are investment fund managers that do not “actively solicit” residents in the province (Ontario or Quebec) to purchase securities in the Funds of which they are the manager. Active solicitation refers to intentional actions taken by the investment fund or the Fund manager to encourage a purchase of the Fund’s securities, such as pro-active, targeted actions or communications that are initiated by an investment fund manager for the purpose of soliciting an investment.

	Actions that are undertaken by an investment fund manager at the request of, or in response to, an existing or prospective investor who initiates contact with the investment fund manager would not constitute active solicitation. Active solicitation can be direct (by the investment fund manager) or indirect (e.g. if the investment fund manager compensates others to solicit securities purchases). No regulatory filings required or fees payable to rely on the exemption and no employees require registration. Permitted Client Exemption (“IFM Permitted Client Exemption”) (Sec. 4 of MI 32-102): • In Ontario and Quebec, this exemption is available where all securities of the Funds managed by the investment fund manager distributed in the local jurisdiction were distributed under an exemption from the prospectus requirement to Permitted Clients (see Section 1.4 above for definition). • Allows for solicitation by the investment fund manager or third parties on its behalf; • Certain conditions must be met, including: ○ Appointment of an agent for service; ○ Must file a notice of submission to jurisdiction on Form 32-102F1; ○ Must file with the local securities regulator a Notice of Regulatory Action (on Form 32-102F2) within 10 days of the date on which it begins to rely on the Permitted Client Exemption. Notice of any change would be required to be reported within 10 days of any change. ○ prescribed disclosure to clients of reliance on the exemption ○ an annual filing with the regulator in each of Quebec and Ontario depending on where the Fund is being marketed by November 1 of each year the total amount of assets under management attributable to securities beneficially owned by residents of the exempt jurisdiction (there is no prescribed format for this filing); ○ an investment fund manager relying on this exemption in Ontario must, on an annual basis, file the capital markets participation fee calculation on Form 13-502F4. See the section below for a further discussion of this fee. Ontario Capital Markets Participation Fee In Ontario, a firm relying on the international dealer exemption, the international adviser exemption, (please see section 7.3(a) below), the “permitted client” exemption for a non-resident investment fund manager, or required to be registered as a dealer, adviser or investment manager
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but has not yet perfected one of the foregoing exemptions and is not otherwise registered, is required to pay an annual Capital Markets Participation Fee under Ontario Securities Commission Rule 13-502 *Fees*.

The Form 13-502F4 is due 90 days after the IFM's financial year end and is filed via the OSC online portal.

Capital Markets Participation Fees are due annually, no later than December 31 for international dealers, advisers and investment fund managers and are based on revenue attributable to "capital markets activities" in Ontario.

A firm's Capital Markets Participation Fee is to be calculated in accordance with Form 13-502F4 *Capital Markets Participation Fee Calculation*.

There is a minimum fee regardless of revenue.

Currently Ontario is the only Canadian province that charges this type of fee, however, in Alberta and British Columbia, there is a \$1,400 fee payable for filing either a Form 31-103F2 or the annual notices required when relying on the International Dealer Exemption or the International Adviser Exemption.

Banking Authorisation Requirement

In addition, an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), must also consider Canadian banking laws. These banking laws will also apply if the OFI carries on business in Canada, either directly or via a branch in Canada. Regulation of banking is a federal responsibility in Canada and the primary source of legislation is the Bank Act (Canada) ("BA") and the regulations made thereunder. Under section 510 of the BA, a foreign bank or an entity associated with a foreign bank must not engage in any business, whether regulated by the BA or not, maintain a branch, or maintain a remote service unit, before having received proper authorisation from the Minister of Finance and the Superintendent of Financial Institutions (please note that the business trigger with regard to the BA is whether the business is perceived as being carried out from within Canada). As the BA prohibits all business activities from within Canada, by reference to Appendices 1 and 2, this would include the marketing and provision of all Products and all Services, although marketing on its own should not be considered to be "carrying on business". A non-licensed foreign bank (or entity associated with a foreign bank) must therefore structure its business activities so they will not be regarded as being carried out from within Canada, or obtain the relevant authorisation. The Office of the Superintendent of Financial Institutions ("OSFI") has issued several rulings on cross-border banking activities. From these rules, the following principles can be derived: (a) all transactions

	and contracts must be negotiated by the bank from outside of Canada, (b) all transactions and contracts must be closed outside Canada (written material sent or brought to Canada may not be signed by the Bank and should therefore contain a disclaimer that it does not construe an offer by the bank and if a contract is executed, the bank should sign last, from outside of Canada), (c) transactions must be funded from outside Canada; (d) the location of the foreign bank's operation/booking point must be outside Canada; all business carrying functions must be executed from outside Canada, with some permitted exceptions for specialized activities, such as realizing on security; and (e) employees may not be permanently located in Canada, although occasional trips to Canada are permitted, provided the other guidelines set out above are followed and caution is exercised to ensure that the number and duration of such trips is limited. For the definition of carrying on business in Canada from a BA perspective, it makes no difference whether the service is provided actively or on the Client's demand (i.e. reverse solicitation). If the foreign bank wished to establish a subsidiary or a branch in Canada, it would need to obtain authorization from the Minister of Finance and OSFI. Note that only banks, and not foreign bank branches, may take retail deposits in Canada. The licensing process is lengthy and complex and requires significant disclosures on the part of the applicant. Typically the process takes two to three years. Please note that if the OFI is providing Investment Advice or Arranging Services in connection with marketing/selling the Fund or Arranging Services it will need to register as an adviser and/or dealer. Please see section 7.3(a) and also section 8.8/8.9 below. Registering as an advisor is relevant where and OFI is advising a Fund or accounts in Canada. For CASL and Unsolicited Telecommunications requirements, see Section 8.1 and 8.2.
(i) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund. Where the rules of the private placement regime distinguish between Open-Ended or Closed-Ended Funds, please outline how the rules of your jurisdiction define an Open-Ended or a Closed-Ended Fund.	Canadian law does not distinguish between open and closed-ended Funds for marketing/sales and private placement purposes.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	No impact.
(iii) available exemptions which permit marketing/sale of Funds to investors (e.g. based on type of investor,	Please see 7.1(a) above.

	minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include a discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated. Please comment on both formal “black-letter law” exemptions and accepted practice.	
(iv)	the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g. the investor is incorporated, domiciled, has employees in your jurisdiction).	Please see response to section 6.2(d)(iii) above for the relevant criteria for determining whether an investor is in Canada (for the purposes of determining how the private placement regime applies).
(v)	any sensitivities depending on whether the investor is a potential or an existing client.	There is no distinction in the Canadian private placement regime between potential or actual/existing clients.
(b)	Are there registration/notification/approval/licensing requirements which apply in respect of a Fund before it can be marketed/sold to investors in your jurisdiction? Please outline what activity will trigger such requirements and the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator’s website).	Please note the requirements listed in section 7.1(a) above. There are no additional requirements in respect of the Fund itself. Prospectus Requirement As described in section 7.1(a) above, if the OFI decides to offer Fund securities in Ontario, Quebec, British Columbia and Alberta in reliance on an exemption from the Prospectus Requirement, the OFI must also provide prescribed Canadian disclosure. Please see section 7.1(a) for more details. Please also see section 7.1(a) in respect of the exempt distribution report.
(i)	Please outline any applicable time periods (e.g. the amount of time between the submission of an application and the issuance of an approval)	Please also see section 7.1(a) in respect of the exempt distribution report filing requirement.
(ii)	Are any fees payable, whether related to the: (A) initial notification/registration; or (B) on an ongoing basis?	Please also see section 7.1(a) in respect of the exempt distribution report filing fees, Ontario Capital Markets Participation Fee and fees for the international dealer exemption.
(iii)	Please could you provide link to the local regulator's website (even if in local language only) where	Ontario: http://www.osc.gov.on.ca/en/exempt-market.htm#reports-of-exempt-distribution

information and/or notification/approval forms are set out for marketing a Fund via the private placement regime.	British Columbia - https://www.bpsc.bc.ca/industry/registrant-regulation/compliance-toolkit/prospectus-exemptions-for-registrants Quebec - https://lautorite.qc.ca/en/general-public/investments/funds/prospectus/prospectus-exemptions Alberta - https://www.asc.ca/small-business/common-capital-raising-prospectus-exemptions#:~:text=The%20exemption%20in%20section%202.10,cost%20is%20at%20least%20%24150%2C000.
(iv) Is there a requirement as to the language the Fund documentation needs to be in when marketing/selling pursuant to the private placement regime and are there any particular requirements that apply in connection to such documents?	With respect to Quebec, see response to ss. 6.2(d)(iv) and 8.6(a) on Quebec French language laws
(c) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund in your jurisdiction? Please outline the practical steps required to fulfil any such requirements in particular: (i) please provide a link to relevant forms/information on the relevant regulator's website) (even if in the local language only); and (ii) are there any possible exemptions from such requirements?	Registration Requirement Yes, depending on the exemption from the registration requirement that the OFI is using in respect of the Dealer Registration Requirement and the Investment Fund Manager Registration Requirement (if applicable – please see section 7.1(a) for more information on this) then filings or fees may be required. If the OFI is using the International Dealer Exemption from registration as a dealer, the OFI will need to make an annual filing with the regulator in each of Quebec, Ontario, British Columbia and Alberta. Please note the Ontario Capital Markets Fee, the Alberta Fee and the BC Fee described in section 7.1(a) above in relation to this exemption. If the OFI is using the IFM Permitted Client Exemption from registration as an investment fund manager, the OFI will need to make an annual filing with the regulator in each of Quebec and Ontario. Please also note the Ontario Capital Markets Participation Fee described in section 7.1(a) above. For Unsolicited Telecommunications requirements, see Section 8.2.
(d)	
(i) Is it: (A) necessary ; or (B) permitted to use a local intermediary in order to market/sell interests in a Fund to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	No, it not necessary to use a local intermediary; however, the use of an intermediary may enable an OFI to use an exemption from the dealer Registration Requirement (e.g. the Trades through a Local Dealer Exemption).

(A) a licensed third party intermediary;	No impact on position.
(B) an unlicensed local third party intermediary; or	N/A
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	If the branch, representative office or other regulated place of business of the OFI is registered as a dealer, then the exemptions described in 7.1(a) are available. However, the process of registration is more onerous than the process of obtaining an exemption.
(ii) Where the key entity marketing/selling the Fund in your jurisdiction is in compliance with local licensing requirements, is it permitted for the sub-advisor/manager of the Fund to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone ?	Banking Authorisation Requirement There is no chaperone or equivalent concept under Canadian banking legislation. Please see our comments on permissible cross-border banking activities under Section 7.1(a). Securities Laws Provided the sub-advisor/manager is participating alongside the compliant key entity marketing/selling the Fund, then this would be permitted (i.e., chaperoning would be required). The sub-advisor/manager should limit their activities to describing their role and strategy in respect of the Fund, and should not engage in general Fund marketing activities.
(e) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services pursuant to the routes described in this section 7.3 and are there any particular requirements that apply in connection to such documents?	With respect to Quebec, see response to ss. 6.2(d)(iv) and 8.6(a) on Quebec French language laws
(f) Are there any other requirements (including any ongoing requirements) in order to comply with the rules/guidance applicable to the private placement regime in your jurisdiction for Funds not dealt with elsewhere in this Part B of the Memorandum? For example, are there any particular requirements that apply to a special category of investor in your jurisdiction which an OFI should bear in mind before marketing to such investors (i.e. based upon an investor being an insurance company, a sovereign wealth fund, an endowment, a foundation or a pension fund). Please do not refer to requirements applicable to retail investors which are dealt with in section 6 of this Memorandum.	There are no special requirements that apply to an OFI when marketing to any special categories of investors in Ontario, Quebec, British Columbia or Alberta. However, an OFI should be aware that some classes of investors do have investment restrictions. For example, pension funds are subject to ownership concentration limits and restrictions on the use of leverage. Investment funds are similarly limited in respect of the use of leverage or acquiring illiquid assets.

(g)	Would your answer to question 7.1 differ if interests in the Fund being marketed/sold constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	No.
UCITS Funds		
(h)	Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a UCITS Fund.	Yes, the response to section 5(a) would apply where the unsolicited approach is made in respect of a UCITS Fund.
(i)	Where it is possible to market/sell a Fund pursuant to a regime described in Section 7.1(a) or 6.2(d), would the type of Fund that can be marketed/sold include a UCITS Fund?	Yes.
(j)	If the answer to 7.1(i) is “yes”, please briefly outline or cross-refer to the relevant section if the information is contained elsewhere in this Memorandum:	
(i)	The notification/approval process (if any);	N/A
(ii)	Timescales;	See response to 7.1(a).
(iii)	Costs, including any fees:	See response to 7.1(a).
(A)	initially payable; and	See response to 7.1(a).
(B)	payable on an ongoing basis;	See response to 7.1(a).
(iv)	What language does the Fund documentation need to be in;	English or French. See response to 8.6(a) on Quebec French language laws.
(v)	Whether a local presence is required;	No.
(vi)	Whether local agents and/or distributors are required; and	The use of an intermediary may enable an OFI to use an exemption from the dealer Registration Requirement (e.g. the Trades through a Local Dealer Exemption). Local agents for service will need to be appointed if relying on the International Adviser Exemption or Foreign Derivatives Adviser Exemption or the IFM Permitted Client Exemption in each province and territory in which the Funds are sold.
(vii)	Initial and ongoing filing requirements.	Please see section 7.1(a) in respect of the filing of exempt distribution reports.

(k) Where it is possible to market/sell a UCITS Fund pursuant to the regime described in Section 7.1(a) or 6.2(d) in your jurisdiction are there any registration/notification/approval/ licensing requirements which apply in respect of the OFI marketing/selling the UCITS Fund in your jurisdiction?	Please note the requirements listed in section 7.1(a) above. There are no additional requirements in respect of the Fund itself. Prospectus Requirement As described in section 7.1(a) above, if the OFI decides to offer Fund securities in Ontario, Quebec, British Columbia and Alberta in reliance on an exemption from the Prospectus Requirement, the OFI must also provide prescribed Canadian disclosure. Please see section 7.1(a) for more details. Please also see section 7.1(a) in respect of the exempt distribution report.
(l) Where it is possible to market/sell a UCITS Fund pursuant to a regime described in Section 7.1(a) or 6.2(d) in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording on the written marketing materials. If so, please provide recommended wording in Section A of Appendix 1 of this Memorandum.	Yes - As described in section 7.1(a) above, if the OFI decides to offer Fund securities in Ontario, Quebec, British Columbia and Alberta in reliance on an exemption from the Prospectus Requirement, the OFI must also provide prescribed Canadian disclosure. Please see section 7.1(a) for more details.

7.2 Sensitivities based on Structure and/or Investment Strategy (Funds)

What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that **only** apply to **certain sorts of Fund** when they are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum, in which case please include a cross-reference to the applicable response.

(a) Are there particular **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund is **structured** as:
Please indicate your response by answering Yes/No for each type of fund structure.

OPEN-ENDED FUND			CLOSED-ENDED FUND		
	Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.		Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
corporate (unlisted)	No		corporate (unlisted)	No	

corporate (listed on an exchange including an ETF)	No	
limited partnership	Yes	In Ontario, there is a corporate registration requirement for a limited partnership from any jurisdiction and its general partner to file materials to the Ontario corporate registry (on the required forms for the LP and the GP) prior to issuing LP interests to Ontario investors.
contractual	No	
trust	No	
sub-fund of umbrella	No	
master/feeder	No	
Fund whose interests/units/shares are tokenised	Yes	See 7.2(b) crypto strategy response. The CSA's guidance on funds that hold crypto assets has not been extended to the tokenization of Fund interests/units/shares itself. It may possible to tokenize private fund interests/units/shares characterized as securities, but it is unlikely that a public fund would be receipted with tokenized interests.
other	No	

corporate (listed on an exchange including an ETF)	No	
limited partnership	Yes	In Ontario, there is a corporate registration requirement for a limited partnership from any jurisdiction and its general partner to file materials to the Ontario corporate registry (on the required forms for the LP and the GP) prior to issuing LP interests to Ontario investors.
contractual	No	
trust	No	
sub-fund of umbrella	No	
master/feeder	No	
Fund whose interests/units/shares are tokenised	Yes	See 7.2(b) crypto strategy response. The CSA's guidance on funds that hold crypto assets has not been extended to the tokenization of Fund interests/units/shares itself. It may possible to tokenize private fund interests/units/shares characterized as securities, but it is unlikely that a public fund would be receipted with tokenized interests.
other	No	

(b) Are there particular additional **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund's **investment strategy** is listed below, or involves investments in, those types listed below.

Please indicate your response by answering Yes/No for each type of fund investment or strategy.

OPEN-ENDED FUND			CLOSED-ENDED FUND		
	Yes ¹ / No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.		Yes ¹ / No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	Yes	In respect of Reporting Issuer Investment Funds - limits on use of derivatives for hedging and non-hedging purposes (leverage restricted, counterparty credit quality and exposure requirements for OTC derivatives), short selling and borrowing. Limited ability to transfer assets out of the fund’s custodial network. Securities lending, repos and reverse repos subject to prescriptive requirements. Can’t generally purchase securities on margin. 10% soft limit on illiquid investments and 15% hard limit. Open-ended funds which are “alternative mutual funds” have more flexibility in respect of leverage, derivatives, short selling and borrowing consistent with closed-ended funds. Please also note the Derivatives Business Conduct Rule and associated exemptions set out in more detail in section 7.3(a).	hedge fund strategy	Yes	In respect of Reporting Issuer Investment Funds – limits on use of derivatives for hedging and non-hedging purposes (exposure requirements for OTC derivatives), short selling and borrowing. Combined 50% net asset value short selling and borrowing limit. Aggregate exposure to derivatives, short selling and borrowing limited to 300% net asset value. 20% soft limit on illiquid investments and 25% hard limit. Limited ability to transfer assets out of the fund’s custodial network. Securities lending, repos and reverse repos subject to prescriptive requirements. Please also note the Derivatives Business Conduct Rule and associated exemptions set out in more detail in section 7.3(a).
private equity investments	Yes	In respect of Reporting Issuer Investment Funds - 10% issuer control restriction, and 10% issuer concentration restriction (20% for “alternative mutual funds”). Above restrictions also apply.	private equity investments	Yes	In respect of Reporting Issuer Investment Funds - 10% issuer control restriction, and 20% issuer concentration restriction. Above restrictions also apply.
real estate investments	Yes	In respect of Reporting Issuer Investment Funds - Real property purchases are prohibited. Mortgages (other than guaranteed mortgages) are prohibited. 10% guaranteed mortgage concentration limit. Loan syndications/participations prohibited if	real estate investments	Yes	In respect of Reporting Issuer Investment Funds - Real property purchases are prohibited. Mortgages (other than guaranteed mortgages) are prohibited. Loan syndications/participations prohibited if required to administer loan. Above restrictions also apply.

¹ “Reporting Issuer Investment Funds” in Canada (e.g., investment funds that are prospectus qualified in Canada or are posted for trading on a Canadian exchange) are subject to the investment restrictions set out in National Instrument 81-102 *Investment Funds*, as well as certain conflict of interest restrictions in local securities legislation. We have assumed that foreign funds will not be “reporting issuers” in Canada. Changes have been proposed to the investment restrictions applicable to both closed-ended and open-ended funds, which are not described here.

		required to administer loan. Above restrictions also apply.			
infrastructure investments	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply.		infrastructure investments	Yes In respect of Reporting Issuer Investment Funds - Above restrictions apply.
debt or equity instruments	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply.		debt or equity instruments	Yes In respect of Reporting Issuer Investment Funds - Above restrictions apply.
derivative investments	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply. Please also note the Derivatives Business Conduct Rule and associated exemptions set out in more detail in section 7.3(a).		derivative investments	Yes In respect of Reporting Issuer Investment Funds - Above restrictions apply. Please also note the Derivatives Business Conduct Rule and associated exemptions set out in more detail in section 7.3(a).
fund of funds strategy	Yes	In respect of Reporting Issuer Investment Funds - Can generally only invest in other Reporting Issuer Investment Funds (in the case of underlying “alternative mutual funds” or closed-ended funds, there is a 10% limit unless the top fund is an “alternative mutual fund”), or index participation units listed and traded in Canada or the U.S. Additional prescriptive requirements apply.		fund of funds strategy	Yes In respect of Reporting Issuer Investment Funds - Can generally only invest in other funds which comply with same restrictions applicable to closed-ended funds or are otherwise subject to the Canadian public investment fund rules, or index participation units listed and traded in Canada or the U.S. Additional prescriptive requirements apply. Above restrictions apply.
environmental, social and governance (ESG) strategy	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply. Consideration should also be given to CSA Staff Notice 81-334 - ESG-Related Investment Fund Disclosure (Revised March 2024) which sets out disclosure expectations for Reporting Issuer ESG funds.		environmental, social and governance (ESG) strategy	Yes In respect of Reporting Issuer Investment Funds - Above restrictions apply. Consideration should also be given to CSA Staff Notice 81-334 - ESG-Related Investment Fund Disclosure (Revised March 2024) which sets out disclosure expectations for Reporting Issuer ESG funds.
Sharia compliant strategy	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply.		Sharia compliant strategy	Yes In respect of Reporting Issuer Investment Funds - Above restrictions apply.
crypto-asset strategy	Yes	On July 16, 2025, amendments to NI 81-102 came into effect that apply to public reporting issuer		crypto-asset strategy	Yes On July 16, 2025, amendments to NI 81-102 came into effect that apply to public reporting issuer funds. The amendments and Companion Policy Changes intend to provide greater regulatory clarity with respect to certain

	funds. The amendments and Companion Policy Changes intend to provide greater regulatory clarity with respect to certain key operational matters regarding reporting issuer investment funds that seek to invest directly or indirectly in crypto assets (Public Crypto Asset Funds), such as: • criteria regarding the types of crypto assets that Public Crypto Asset Funds are permitted to purchase, use or hold, • restrictions on investing in crypto assets by Public Crypto Asset Funds or other types of reporting issuer investment funds, and • requirements concerning custody of crypto assets held on behalf of a Public Crypto Asset Fund. The amendments codify practices of existing Public Crypto Asset Funds, developed mainly through the prospectus review process, as well as codify exemptive relief previously granted to existing Public Crypto Asset Funds. The amendments and companion policy changes will provide investment fund managers with greater regulatory clarity concerning investments in crypto assets. The intent is to facilitate new product development while also ensuring that appropriate risk mitigation measures are built directly into the investment fund regulatory framework.
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	key operational matters regarding reporting issuer investment funds that seek to invest directly or indirectly in crypto assets (“Public Crypto Asset Funds”), such as: • criteria regarding the types of crypto assets that Public Crypto Asset Funds are permitted to purchase, use or hold, • restrictions on investing in crypto assets by Public Crypto Asset Funds or other types of reporting issuer investment funds, and • requirements concerning custody of crypto assets held on behalf of a Public Crypto Asset Fund. The amendments codify practices of existing Public Crypto Asset Funds, developed mainly through the prospectus review process, as well as codify exemptive relief previously granted to existing Public Crypto Asset Funds. The amendments and companion policy changes will provide investment fund managers with greater regulatory clarity concerning investments in crypto assets. The intent is to facilitate new product development while also ensuring that appropriate risk mitigation measures are built directly into the investment fund regulatory framework. Prior to the amendments above, additional guidance regarding liquidity risk management, lending, valuation, custody and staking expectations within the existing regulatory framework for Reporting Issuer
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	Prior to the amendments above, additional guidance regarding liquidity risk management, lending, valuation, custody and staking expectations within the existing regulatory framework for Reporting Issuer Investments Funds with a crypto-asset strategy were published in CSA Staff Notice 81-336 Guidance on Crypto Asset Investment Funds That Are Reporting Issuers. There are several Reporting Issuer Investment Funds that directly or indirectly provide retail investors with exposure to crypto-assets (for example, please see the following list); however, these Reporting Issuer Investment Funds may encounter challenges in complying with the existing rules applicable to Reporting Issuer Investment Funds and/or difficulty in having their prospectus documentation receipted by the Canadian Securities Administrators. However, when marketing/selling a crypto-asset strategy Fund in Canada, it is still helpful to consider the guidance provided by Canadian Securities Administrators/IIROC (now CIRO) staff on required disclosure for crypto-assets Reporting Issuers (made in the context of non-Fund Reporting Issuers) and acceptable marketing practices for crypto-asset trading platforms that are, or seeking to be, registered. As a practical matter, it will be difficult to market/sell a crypto-strategy Fund that is not a Reporting Issuer Investment Fund to retail investors in Canada due to the Prospectus Requirement and Dealer Registration Requirement. <i>Disclosure for Crypto-Asset Reporting Issuers</i> In CSA Staff Notice 51-363 Observations on Disclosure by Crypto Assets Reporting Issuers, the Canadian Securities Administrators provides
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	Investments Funds with a crypto-asset strategy were published in CSA Staff Notice 81-336 Guidance on Crypto Asset Investment Funds That Are Reporting Issuers. There are several Reporting Issuer Investment Funds that directly or indirectly provide retail investors with exposure to crypto-assets (for example, please see the following list); however, these Reporting Issuer Investment Funds may encounter challenges in complying with the existing rules applicable to Reporting Issuer Investment Funds and/or difficulty in having their prospectus documentation receipted by the Canadian Securities Administrators. However, when marketing/selling a crypto-asset strategy Fund in Canada, it is still helpful to consider the guidance provided by Canadian Securities Administrators/IIROC (now CIRO) staff on required disclosure for crypto-assets Reporting Issuers (made in the context of non-Fund Reporting Issuers) and acceptable marketing practices for crypto-asset trading platforms that are, or seeking to be, registered. As a practical matter, it will be difficult to market/sell a crypto-strategy Fund that is not a Reporting Issuer Investment Fund to retail investors in Canada due to the Prospectus Requirement and Dealer Registration Requirement. <i>Disclosure for Crypto-Asset Reporting Issuers</i> In CSA Staff Notice 51-363 Observations on Disclosure by Crypto Assets Reporting Issuers, the Canadian Securities Administrators provides disclosure guidance to crypto-assets reporting issuers (other than investment funds) on several material risks, including the safeguarding of crypto assets, use of crypto-asset trading platforms, and the specific risks linked to certain crypto-assets (e.g., the material risks linked to
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	disclosure guidance to crypto-assets reporting issuers (other than investment funds) on several material risks, including the safeguarding of crypto assets, use of crypto-asset trading platforms, and the specific risks linked to certain crypto-assets (e.g., the material risks linked to bitcoin and ether are likely significantly different than holding other, less-liquid, crypto-assets). <i>Acceptable Marketing Practices for Crypto-Asset Trading Platforms</i> In <u>CSA-IIROC Staff Notice 21-330 Guidance for Crypto-Trading Platforms: Requirements relating to Advertising, Marketing and Social Media Use (SN 21-330)</u>, the Canadian Securities Administrators and IIROC (now CIRO) staff provide guidance on acceptable advertising and marketing practices for crypto-asset trading platforms that are, or seeking to be, registered. SN 21-330 reminds these firms that they are subject to regulatory prohibitions against the use of false and misleading advertising and unsubstantiated claims. In addition to concerns with “gambling-style promotions”, schemes that included contests, promotions, bonuses and time-limited event to encourage investors to engage in trading or acting quickly, CSA/IIROC (now CIRO) staff flagged certain problematic statements (identified in Appendix A of SN 21-330) that should be avoided. <u>CSA Staff Notice 21-332 Crypto Asset Trading Platforms: Pre-Registration Undertakings – Changes to Enhance Canadian Investor Protection</u> CSA describes a change in practice in connection with CSA Staff’s expectation that crypto asset trading platforms that continue to operate in Canada while they seek registration and related exemptive
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	bitcoin and ether are likely significantly different than holding other, less-liquid, crypto-assets). <i>Acceptable Marketing Practices for Crypto-Asset Trading Platforms</i> In <u>CSA-IIROC Staff Notice 21-330 Guidance for Crypto-Trading Platforms: Requirements relating to Advertising, Marketing and Social Media Use (SN 21-330)</u>, the Canadian Securities Administrators and IIROC (now CIRO) staff provide guidance on acceptable advertising and marketing practices for crypto-asset trading platforms that are, or seeking to be, registered. SN 21-330 reminds these firms that they are subject to regulatory prohibitions against the use of false and misleading advertising and unsubstantiated claims. In addition to concerns with “gambling-style promotions”, schemes that included contests, promotions, bonuses and time-limited event to encourage investors to engage in trading or acting quickly, CSA/IIROC (now CIRO) staff flagged certain problematic statements (identified in Appendix A of SN 21-330) that should be avoided. <u>CSA Staff Notice 21-332 Crypto Asset Trading Platforms: Pre-Registration Undertakings – Changes to Enhance Canadian Investor Protection</u> CSA describes a change in practice in connection with CSA Staff’s expectation that crypto asset trading platforms that continue to operate in Canada while they seek registration and related exemptive relief file a pre-registration undertaking (a “PRU”) with the CSA. New PRUs include, among others, PRUs related to enhanced custody, rehypothecation restrictions, margin, excess working capital, retention of Chief Compliance Officers and prohibitions on trading proprietary tokens.
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		relief file a pre-registration undertaking (a “PRU”) with the CSA. New PRUs include, among others, PRUs related to enhanced custody, rehypothecation restrictions, margin, excess working capital, retention of Chief Compliance Officers and prohibitions on trading proprietary tokens.
private credit/non-bank lending strategy	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply.
other	Yes	

private credit/non-bank lending strategy	Yes	In respect of Reporting Issuer Investment Funds - Above restrictions apply.
other	Yes	

7.3 Private Placement Regime (Investment Management & Advisory Services)	
(a) Is it possible for an OFI to actively <u>market/provide</u> Investment Management & Advisory Services to investors in your jurisdiction and, if so, on what basis? Please note that the provision of the Investment Management & Advisory Services of Investment Advice and Arranging are specifically dealt with separately in sections 8.8 and 8.9. It is therefore not necessary to repeat this information here. In preparing your answers please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Yes, an OFI may actively market/provide Investment Management & Advisory Services to investors in Ontario, Quebec, British Columbia and Alberta provided that it can rely on an exemption from the relevant registration requirement. A registration or registration exemption may be required if the OFI is soliciting in Ontario, Quebec, British Columbia or Alberta with “repetition, regularity or continuity”. See section 7.1(a) above for a discussion regarding the meaning of this term. However, registration or a registration exemption would not be necessary if the solicitation does not relate to a specific Investment Management & Advisory Service or is more general in nature. In respect of Investment Management & Advisory Services, Portfolio Management and Investment Advice would be subject to the ‘adviser’ registration requirement and Execution of Orders on behalf of Clients and Arranging Services would be subject to the ‘dealer’ registration requirement. The Investment Fund Manager Registration Requirement is not relevant in this context. Please see section 7.1(a) for a description of the ‘dealer’ registration requirement and the relevant exemptions. In respect of the ‘adviser’ registration requirement and, subject to the “business trigger” (that factors for the business triggers are the same for advisers and dealers), this would be relevant where an OFI is advising a Fund in Canada or advising accounts in Canada. Advisers are required to be registered as a ‘portfolio manager’, being an adviser that is permitted to advise with respect to securities. Portfolio managers are required to have individuals who are designated and registered as their ultimate designated person (UDP) and their chief compliance officer (COO). An adviser would also be subject to proficiency requirements and capital and insurance requirements. Banking Authorisation Requirement In addition, an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are not regarded as being carried out from within Canada. See section 7.1(a) of the Memo for more details. Derivatives Business Conduct Rule (“BCR”)

Firms (including OFIs) engaging in the business of trading in derivatives as principal or agent or advising others in respect of certain OTC derivatives with Canadian counterparties or clients are subject to the BCR, unless otherwise exempt.

In determining whether a person or company is in the business of trading or in the business of advising in derivatives, a number of factors should be considered, including, without limitation:

- acting as a market maker in respect of derivatives;
- carrying on derivatives trading or advising activities with Repetition, Regularity or Continuity - regularly trading or advising in any way that produces, or is intended to produce, profits is generally considered to be for a business purpose;
- facilitation of trading or intermediation of transactions between third-party counterparties to derivatives contracts;
- receiving or expecting to receive compensation for carrying on derivatives transactions whether transaction or value based;
- directly or indirectly soliciting others in connection with derivatives transactions or services related thereto; and
- engaging in activities similar to a derivatives adviser or derivatives dealer; and
- providing derivatives clearing services.

Trading is broadly defined under Canadian securities laws and, in respect of derivatives, includes (1) entering into a derivative or making a material amendment to, terminating, assigning, selling or otherwise acquiring or disposing of a derivative, (2) a novation of a derivative, other than a novation with a clearing agency, and (3) any act, solicitation or conduct which is directly or indirectly in furtherance of (1) or (2).

Ad hoc or isolated instances of the activities discussed above may not necessarily result in a person or company being a derivatives dealer or, depending on the context, a derivatives adviser.

Among other things, the BCR prescribes rules for:

- **fair dealing** - acting fairly, honestly and in good faith with a derivatives party,
- **conflicts of interest** - identifying all material conflicts of interest, and material conflicts of interest that the derivatives firm in its reasonable opinion would expect to arise, between the derivatives firm (including each individual acting on behalf of the derivatives firm) and a derivatives party,

- **know your derivatives party** - obtain facts necessary to verify the identity of a derivatives party (including certain beneficial owners thereof), status as an insider of a publicly traded issuer, possession of material non-public information, and derivatives party's creditworthiness (if the derivatives firm will have credit risk); all such information must be kept current,
- **handling complaints** - document and promptly respond to each complaint made about any product or service offered by the derivatives firm or an individual acting on its behalf,
- **tied selling** - not impose undue pressure on or coerce a person or company to obtain a derivatives-related product or service from a particular person or company as a condition of obtaining another product or service from the derivatives firm,
- **information and suitability** - obtain sufficient, and keep current, information regarding the derivatives party's needs and objectives and ensure that a specific derivative and transaction are suitable for a derivatives party,
- **referral arrangements** - document in writing the terms of any referral arrangement and all referral fees, verify the qualifications of any person or company receiving the referral, and disclose prescribed information to the referred derivatives party,
- **disclosure and reporting**– delivering prescribed relationship disclosure information relating to the account, fees and the relationship with the derivatives firm, disclosing new fees or other account charges and fee increases, deliver prescribed pre-transaction disclosure (derivatives dealers), providing a daily valuation of each outstanding derivative on each business day (derivatives dealers), delivering a monthly/quarterly valuation statement (derivatives advisers); written confirmations of a transaction (derivatives dealers); quarterly derivatives party statements,
- **segregation and use of derivatives party assets** – subject to certain exceptions, a derivatives firm must segregate derivatives party assets and derivatives positions from the property and derivatives positions of the derivatives firm and other persons, hold initial margin at a “permitted depository”, and not use or invest initial margin without the derivatives party's written consent and unless the derivatives firm has entered into a written agreement with the derivatives party whereby the derivatives firm assumes all losses resulting from its investment or use of initial margin,
- **compliance and recordkeeping** – must establish, maintain and apply policies and procedures to ensure compliance with securities legislation relating to trading and advising in derivatives, the management of risks relating to derivatives activities, and

	competency of individuals acting on behalf of the derivatives firm; must designate an individual as a “senior derivatives manager” (derivatives dealers) which must supervise the derivatives-related activities and prepare annual compliance reports; must timely report any non-compliance to the applicable securities regulator where the non-compliance creates or created a risk of material harm to a derivatives party or capital markets or is part of a pattern of material non-compliance (derivatives dealers); and must maintain records of its derivatives transactions and advising activities. BCR requirements are applicable regardless of whether the firm maintains a registration or exemption from registration in the Canadian local jurisdiction. For CASL and Unsolicited Telecommunications requirements, see Section 8.1 and 8.2.
(i) available exemptions applicable to the marketing or provision of Investment Management & Advisory Services to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated. Please comment on both formal “black-letter law” exemptions and accepted practice.	There are exemptions to this requirement. The relevant exemptions are as follows: <u>International Adviser Exemption (“IAE”) (Sec. 8.26 of NI 31-103):</u> • may only advise on foreign Securities, unless providing advice in respect of Canadian securities is incidental to provision of advice on a foreign Security; • may only advise Permitted Clients (as previously defined in section 1.4); • no more than 10% of the aggregate consolidated gross revenue of the adviser and its affiliates may be derived from the portfolio management activities of the adviser in Canada; • Certain conditions must be met, including: ○ Must file a notice of submission to jurisdiction on Form 31-103F2; ○ The firm’s head office or principal place of business must be in a foreign jurisdiction; ○ The firm must be registered, or operate under an exemption from registration under the securities legislation of the foreign jurisdiction in which its head office or principal place of business is located in a category of registration that permits it to carry on the activities in that jurisdiction that registration as an adviser would permit it to carry on in Canada; ○ The firm must engage in the business of an adviser in the foreign jurisdiction which its head office or principal place of business is located; and ○ It must appoint an agent for service of process, provide client notice and be subject to annual filings with the Canadian regulator in each of Ontario, Quebec, British Columbia and/or Alberta, depending on where the IMAS are being marketed. The annual filings in Quebec, British Columbia and Alberta are a simple email to the

	securities regulatory authority advising that the OFI has and will continue to rely on the IAE. Fees Ontario - the annual filing is the filing of the capital markets participation fee calculation on Form 13-502F4. The Form 13-502F4 is due each year before November 1st and is filed via the OSC online portal. Alberta - In Alberta, there is a \$1,400 fee payable for filing either the Form 31-103F2 or the annual notice. British Columbia - In British Columbia, there is a \$1,400 fee payable for filing either the Form 31-103F2 or the annual notice. Quebec – no fee payable • No IAE employees need to be registered. <u>International Sub-Adviser Exemption (“Sub-Adviser Exemption”) (Sec. 8.26.1 of NI 31-103):</u> • A sub-adviser may provide advice in respect of any security, including a Canadian security; • There are no regulatory filings required or fees payable for a firm to rely on the international sub-adviser exemption; • A sub-adviser agreement must set out the specific duties and responsibilities of the sub-adviser vis a vis the registered dealer or adviser. • The registered dealer or adviser that ‘sponsors’ the sub-adviser’s advice to the registered firm’s clients remains liable to the client should the sub-adviser fail to exercise the required duty or standard of care. One important caveat is that reliance on an adviser registration or registration exemption in Canada is not required if the OFI advises a non-resident Fund but does not directly advise the Canadian investors in that Fund. There is no ‘look-through’ in Canadian securities law. Exceptions/exemptions to the Derivatives Business Conduct Rule The BCR does not extend to certain types of “derivatives” that are determined under the local derivatives determination rules to not be derivatives. There are slight differences between the provincial product determination rules, but generally the product determination rule deems the following types of “derivatives” not to be derivatives for purposes of the rule: (1) gaming contracts regulated by Canadian or foreign gaming control legislation; (2) insurance or annuity contracts entered into with licensed insurers in Canada or outside of Canada; (3) physically settled spot FX transactions where settlement occurs within two business days; (4) physical settled commodity
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contracts (excluding cash); (5) deposits with Canadian banks, trust companies or credit unions; and (6) exchange-traded derivatives traded on an exchange that is recognized, or exempt from registration, by a securities regulatory authority in Canada, or an exchange that is regulated in a foreign jurisdiction by a signatory to the International Organization of Securities Commissions' Multilateral Memorandum of Understanding (excluding derivatives trading facilities).

Commonly used available exemptions for derivatives advisers include the following:

Non-application of BCR requirements between affiliated entities. This exemption is available to all inter-affiliate derivative transactions, unless the Canadian affiliate is considered an "investment fund" under Canadian securities law. An "investment fund" means a mutual fund or a non-redeemable investment fund. A "mutual fund" means an issuer whose primary purpose is to invest money provided by its security holders and whose securities entitle the holder to receive on demand, or within a specified period after demand, an amount computed by reference to the value of a proportionate interest in the whole or in part of the net assets, including a separate fund or trust account, of the issuer. A "non-redeemable investment fund means an issuer, (a) whose primary purpose is to invest money provided by its security holders, (b) that does not invest, (i) for the purpose of exercising or seeking to exercise control of an issuer, other than an issuer that is a mutual fund or a non-redeemable investment fund, or (ii) for the purpose of being actively involved in the management of any issuer in which it invests, other than an issuer that is a mutual fund or a non-redeemable investment fund, and (c) that is not a mutual fund. No further action by the OFI is required to rely on this exemption.

Foreign Derivatives Adviser Exemption ("FDAE")

This exemption is available to non-Canadian OFIs that provide advice to EDPs. All FDAE eligible entities may apply for the FDAE reliance by submitting Form 93-101F1 ([link](#)) to the applicable Canadian securities regulator. We expect the reliance filing to be effective immediately upon filing, similar to the effectiveness of the international adviser exemption.

An OFI may rely on the FDAE and be exempt from all advising requirements under the BCR where it satisfies all of the following requirements:

- the derivatives adviser engages in the business of a derivatives adviser in a non-Canadian jurisdiction in which its head office or principal place of business is located;
- the derivatives adviser is registered, licensed or authorized, or otherwise operates under an exemption from registration, under the securities, commodity futures or derivatives legislation of a Specified Non-Canadian Jurisdiction (as defined below) to conduct the

	derivatives activities in the foreign jurisdiction that it proposes to conduct with the derivatives party; - the derivatives adviser is subject to and complies with the securities, commodity futures or derivatives legislation of the Specified Non-Canadian Jurisdiction relating to the activities being conducted by the derivatives adviser with a derivatives party whose head office or principal place of business is in Canada; - the derivatives adviser provides the securities regulator with prompt access to its books and records upon request with respect to its activities being conducted with a derivatives party whose head office or principal place of business is in Canada; - written client disclosure containing the following has been delivered to the Canadian EDP : (1) specifying the non-Canadian jurisdiction the derivatives adviser's head office or principal place of business is located; (2) stating that all or substantially all of the assets of the derivatives adviser may be situated outside of the local jurisdiction; (3) stating that there may be difficulty enforcing legal rights against the derivatives adviser because of the above; and (4) stating the name and address of the agent for service of process of the derivatives adviser in the local jurisdiction. - the derivatives adviser must submit to the applicable Canadian securities regulator a completed Form 93-101F1 <i>Submission to Jurisdiction and Appointment of Agent for Service of Process</i> (link). There may be fees and annual maintenance filings required to maintain this exemption. The requirements in British Columbia for the FDAE are substantially similar to the other provinces but expressly set out the legal requirements in the Specified Non-Canadian Jurisdiction that must be complied with by the derivatives adviser. “EDP” means any of the following: (a) a Canadian financial institution; (b) the Business Development Bank of Canada continued under the <i>Business Development Bank of Canada Act</i> (Canada); (c) a subsidiary of a person or company referred to in paragraph (a) or (b), if the person or company owns all of the voting securities of the subsidiary, except the voting securities required by law to be owned by directors of the subsidiary;
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	(d) a person or company registered under the securities legislation of a jurisdiction of Canada as any of the following: (1) a derivatives dealer; (2) a derivatives adviser; (3) an adviser; (4) an investment dealer; e) a pension fund that is regulated by the federal Office of the Superintendent of Financial Institutions or a pension commission or similar regulatory authority of a jurisdiction of Canada or a wholly-owned subsidiary of the pension fund; f) an entity organized under the laws of a foreign jurisdiction that is analogous to any of the entities referred to in paragraphs (a) to (e); g) the Government of Canada or the government of a jurisdiction of Canada, or any crown corporation, agency or wholly-owned entity of the Government of Canada or the government of a jurisdiction of Canada; h) a government of a foreign jurisdiction or any agency of that government; i) a municipality, public board or commission in Canada and a metropolitan community, school board, the Comité de gestion de la taxe scolaire de l'île de Montréal or an intermunicipal management board in Québec; j) a trust company or trust corporation registered or authorized to carry on business under the <i>Trust and Loan Companies Act</i> (Canada) or under comparable legislation in a jurisdiction of Canada or a foreign jurisdiction, acting on behalf of a managed account managed by the trust company or trust corporation, as the case may be; (k) a person or company that is acting on behalf of a managed account if the person or company is registered or authorized to carry on business as either of the following: (1) an adviser or a derivatives adviser in a jurisdiction of Canada; (2) the equivalent of an adviser or a derivatives adviser under the securities legislation of a jurisdiction of Canada or a foreign jurisdiction; (l) an investment fund if either of the following apply: (1) the investment fund is managed by a person or company registered as an investment fund manager under the securities legislation of a jurisdiction of Canada;
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	(2) the investment fund is advised by an adviser registered or exempted from registration under securities legislation or under commodity futures legislation of a jurisdiction of Canada; (m) a person or company, other than an individual, that has net assets of at least \$25,000,000 as shown on its most recently prepared financial statements; (n) a person or company that has represented to the derivatives firm, in writing, that it is a commercial hedger in relation to the derivatives that it transacts with the derivatives firm; (o) an individual that beneficially owns financial assets, as defined in section 1.1 of National Instrument 45-106 <i>Prospectus Exemptions</i>, that have an aggregate realizable value before tax but net of any related liabilities of at least \$5,000,000; (p) a person or company, other than an individual, that has represented to the derivatives firm, in writing, that its obligations under derivatives that it transacts with the derivatives firm are fully guaranteed or otherwise fully supported, under a written agreement, by one or more derivatives parties referred to in this definition, other than a derivatives party referred to in paragraph (n) or (o); and (q) a qualifying clearing agency. “Specified Non-Canadian Jurisdiction” mean any of Australia, Brazil, Hong Kong, Iceland, Japan, Republic of Korea, New Zealand, Norway, Singapore, Switzerland, United States of America, United Kingdom of Great Britain and Northern Ireland, and any member country of the European Union. <u>Foreign Derivatives Sub-adviser Exemption (“FSAE”)</u> • There are no regulatory filings required or fees payable for a firm to rely on the foreign derivatives sub-adviser exemption; • A derivatives sub-adviser agreement must set out the specific duties and responsibilities of the sub-adviser vis a vis the derivatives dealer or adviser; and • The derivatives dealer or adviser that ‘sponsors’ the derivatives sub-adviser’s advice to the derivatives firm’s clients remains liable to the client should the derivatives sub-adviser fail to exercise the required duty or standard of care. Please note that there are additional exemptions that would be relevant in limited circumstances where a non-Canadian OFI’s activities could amount to being in the business of trading derivatives
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in Canada, including where a firm is regularly offers (as counterparty) synthetic exposure to investments (or investment portfolios) through derivatives products; or (2) an adviser is effectively making a market in derivatives because of their portfolio management activities. In such circumstances, the following exemptions may be applicable:

Foreign Liquidity Provider Exemption.

This exemption is available to all non-Canadian OFIs facing a Canadian registered investment dealer or derivatives dealer client that is, in each case, transacting for their principal account where the following criteria are met:

- the transaction is made with a counterparty that is either a Canadian registered investment dealer or a derivatives dealer, that, in each case, is transacting as principal for its own account;
- except in British Columbia, the OFI is registered, licensed, authorized, or operates pursuant to an exemption or exclusion from a registration requirement as a derivatives dealer under the securities, commodities futures, or derivatives legislation of a non-Canadian jurisdiction where its head office or principal place of business is located; and OFI is not any of the following:
 - (1) a derivatives dealer whose head office or principal place of business is in Canada; or
 - (2) a derivatives dealer that is a Canadian financial institution.

No further action by the OFI is required to rely on this exemption. However, it would be recommended to document how the OFI satisfied itself that the transaction complied with the above criteria.

Foreign Derivatives Dealer Exemption (“FDDE”). This exemption is available to all non-Canadian OFIs that meet the following criteria that file for reliance on, and continuously maintain, the exemption. This exemption is also available for transactions with affiliated Eligible Derivatives Party (“EDP”) where one or more counterparty is an “investment fund” under Canadian securities law. All FDDE eligible entities may apply for the FDDE reliance by submitting Form 93-101F1 ([link](#)) to the applicable Canadian securities regulator. We expect the reliance filing to be effective immediately upon filing, similar to the effectiveness of the international dealer exemption.

An OFI may rely on the FDDE and be exempt from all dealing requirements under the BCR where it satisfies all of the following requirements:

- the entity has a head office or principal place of business in a Specified Non-Canadian Jurisdiction (as defined below);

	• the entity transacts only with, for or on behalf of, Canadian clients that are EDPs; • the entity is a derivatives dealer registered, licensed or authorized under the securities, commodity futures or derivatives legislation of a Specified Non-Canadian Jurisdiction, and permitted to conduct the derivatives activities in the non-Canadian jurisdiction that it proposes to carry on in Canada; • the entity is subject to and complies with the securities, commodity futures or derivatives legislation of the Specified Non-Canadian Jurisdiction relating to the activities it conducts with the Canadian EDP; • the entity provides the Canadian securities regulator with prompt access to its books and records upon request with respect to its Canadian client facing activities; • the entity engages in the business of a derivatives dealer in the non-Canadian jurisdiction in which its head office or principal place of business is located; and • written client disclosure containing the following has been delivered to the Canadian EDP: (1) specifying the non-Canadian jurisdiction the derivatives dealer's head office or principal place of business is located; (2) stating that all or substantially all of the assets of the derivatives dealer may be situated outside of the local jurisdiction; (3) stating that there may be difficulty enforcing legal rights against the derivatives dealer because of the above; and (4) stating the name and address of the agent for service of process of the derivatives dealer in the local jurisdiction. • the derivatives dealer must submit to the applicable Canadian securities regulator a completed Form 93-101F1 Submission to Jurisdiction and Appointment of Agent for Service of Process (link). There may be fees and annual maintenance filings required to maintain this exemption. The requirements in British Columbia for the FDDE are substantially similar to the other provinces but expressly set out the legal requirements in the Specified Non-Canadian Jurisdiction that must be complied with by the derivatives dealer.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g. the	See response to section 6.2(d) above for the relevant criteria for determining whether an investor is in Canada (for purposes of determining how the private placement regime applies).

investor is incorporated, domiciled, has employees in your jurisdiction).	
(iii) any sensitivities depending on whether the investor is a potential or an existing client.	There are no sensitivities depending on whether the investor is a potential or an existing client.
(b) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/providing Investment Management & Advisory Services to investors in your jurisdiction? Please outline the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator's website) plus any possible exemptions from such requirements.	Yes, please see section 7.3(a) above in respect of the International Adviser Exemption and FDAE. Please also note the response to section 7.1(c) below in respect of the exemptions to the 'dealer' registration requirement that an OFI is relying on.
(c)	
(i) Is it: (A) necessary ; or (B) permitted to use a local intermediary in order to market/provide Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	No, it is not necessary to use a local intermediary; however, please note that the use of a registered 'dealer' or 'adviser' as an intermediary may enable the Sub-Adviser Exemption to be used.
(A) a licensed third party intermediary;	A dealer registration exemption is available to an OFI that trades securities in Ontario, Quebec, British Columbia and Alberta (a) through an agent that is a registered dealer or (b) to a registered dealer purchasing as principal. See Sec. 8.5 of NI 31-103. See section 7.1(a) of the memorandum. An adviser registration exemption is available to an OFI if the OFI acts as a sub-adviser to a registered PM. See Sec. 8.26.1 of NI 31-103, as described in section 7.4(a) of this memorandum. Additionally, the Foreign Sub-Adviser Exemption is available from the Derivatives Business Conduct Rule for derivatives sub-advisers registered (or exempt from registration) in their home jurisdiction. Please see section (a) for more information.
(B) an unlicensed local third party intermediary; or	N/A
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	If the branch, representative office or other regulated place of business of the OFI is registered as a dealer or adviser, then the exemptions described in 7.4c)(i) are available. However, the process of registration is more onerous than the process of obtaining an exemption.

(ii) Where the key entity marketing/selling the IMAS in your jurisdiction is in compliance with local licensing requirements, is it permitted for a sub-advisor of an investment strategy e.g. sub-advisor of a Managed Account, to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	Banking Authorisation Requirement There is no chaperone or equivalent concept under Canadian banking legislation. Please see our comments on permissible cross-border banking activities under Section 7.1(a). Securities Laws There is no chaperone or equivalent concept <i>per se</i> under Canadian securities legislation in this context; however, the International Sub-Adviser Exemption may be available. See Section 7.3(a)(i).
(d) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services pursuant to the routes described in this section 7.3 and are there any particular requirements that apply in connection to such documents?	With respect to Quebec, see response to ss. 6.2(d)(iv) and 8.6(a) on Quebec French language laws.
(e) Are there any other requirements (including any ongoing requirements)?	Firms that rely on the IAE and FDAE must notify Canadian securities regulators on an annual basis of continued reliance on the exemption. Also, in Ontario, firms that rely on the IAE or FDAE must pay an annual capital markets participation fee that is determined by reference to the revenues earned by the OFI in Ontario. Please see section 7.1(a) above for a discussion of the Ontario Capital Markets Participation Fee.

7.4 Sensitivities based on Investment Strategy (Investment Management & Advisory Services)	
What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that only apply to certain sorts of Investment Strategy when Investment Management & Advisory Services are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum, in which case please include a cross-reference to the applicable response.	
(a) Are there particular additional requirements or restrictions which apply where an OFI wishes to market/provide Investment Management & Advisory Services using the private placement regime in your jurisdiction where the investment strategy is listed below, or involves investments in those types listed below. Please indicate your response by answering Yes/No for each type of investment or strategy.	

INVESTMENT MANAGEMENT & ADVISORY SERVICES		
	Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	No	
private equity investments	No	
real estate investments	No	
infrastructure investments	No	
debt or equity instruments	No	
derivative investments	Yes	Please note the Derivatives Business Conduct Rule as set out in section 7.3. As noted elsewhere in this survey, one of the conditions of the foreign derivatives adviser exemption to the BCR is the client receiving the advice on derivatives investments must be an “eligible derivatives party”.
fund of funds strategy	No	
environmental, social and governance (ESG) strategy	No	As noted elsewhere in this survey, one of the conditions of the international adviser exemption is that advice may only be in respect of foreign (i.e. non-Canadian securities). This restriction applies to each of the investment strategies noted above.
Sharia compliant strategy	No	As noted elsewhere in this survey, one of the conditions of the international adviser exemption is that advice may only be in respect of foreign (i.e. non-Canadian securities). This restriction applies to each of the investment strategies noted above
private credit/non-bank lending strategy	No	
other	No	

7.5 Investment Management & Advisory Services in respect of Single Investor Vehicles, Segregated Managed Accounts and Family Offices

This question focuses on investment structures and investment vehicles which may fall outside the definition of Fund.

(a) Please confirm whether the marketing or provision of the following investment structures/investment vehicles will be caught by the rules applicable to the marketing/provision of Investment Management & Advisory Services in your jurisdiction OR whether other domestic fund or marketing/offering restrictions will apply: (i) a Single Investor Vehicle, which makes investments into financial instruments or assets. (ii) a Segregated Managed Account, which makes investments into financial instruments or assets. (iii) a family office undertaking, which makes investments into financial instruments or assets. If other restrictions or rules apply, please outline (briefly) the position under local law and outline the key exemptions (if any).	Confirmed that the marketing or provision of Investment Management & Advisory Services in respect of Single Investor Vehicles, Segregated Managed Accounts and family office undertakings is caught by the rules applicable to the marketing/provision of Investment Management & Advisory Services in Ontario, Quebec, British Columbia and Alberta. There are no additional rules/restrictions in respect of these vehicles.
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8. MARKETING ACTIVITIES

Questions	Answers
The purpose of sections 5, 6 and 7 of Part B of this Memorandum is to identify to whom Funds or Investment Management & Advisory Services can be marketed or sold in your jurisdiction. This section 8 addresses particular requirements which may apply depending on how such products or services are marketed or sold. This section 8 also includes some questions on relating to specific scenarios that may be relevant to an OFI in relation to its cross-border activities.	
8.1 Written Materials	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through the distribution of written marketing materials (whether by email or by physical delivery of documents)?	There is no substantive differentiation under local securities law between marketing/selling of a Fund or Investment Management & Advisory Services to investors through (i) the distribution of written marketing materials (whether by email or by physical delivery of documents), (ii) telephone marketing, (iii) marketing during an in-person meeting (either fly-in or fly-out) or (iv) marketing via the Internet (including through virtual events/meetings). There are no licensing or regulatory restrictions in Ontario, Quebec, British Columbia or Alberta which apply specifically to marketing by any of these means. A registration or registration exemption may be required if the OFI is soliciting in Ontario, Quebec, British Columbia or Alberta with repetition, regularity or continuity. In general, registration or a registration exemption would not be necessary if: (a) the solicitation does not relate to a specific Fund or Investment Management & Advisory Service, and is more general in nature and (b) does not occur with any repetition, regularity or continuity. Please see section 7 above in respect of the registration requirements and the relevant exemptions. Please also note the Prospectus Requirement detailed in section 7.1(a) and in relation to Investment Management & Advisory Services, the Derivatives Business Conduct Rule set out in section 7.3. In addition, an OFI that is regulated as a bank in its home jurisdiction, or an OFI that is associated with a bank (in any jurisdiction), will be caught by the Foreign Bank Authorisation Requirement unless it can structure its activities such that they are not regarded as being carried out from within Canada. See section 3(a) of the Memo for more details. <u>CASL</u> Canada's Anti-Spam Legislation (CASL) regulates the sending of a "commercial electronic message" (CEM), which is defined broadly to capture any message that has, as one of its purposes, the encouragement of participation in a commercial activity. CASL applies to electronic messages sent from or received in Canada, and therefore applies to international senders who send CEMs

into Canada. CASL prohibits sending, causing or permitting to be sent CEMs to an electronic address without consent (express or implied), unless an exception applies. CASL contains a defence of due diligence, and the CRTC has published guidelines outlining the elements of what it expects in the context of a diligent approach to avoiding a violation.

There are two types of consent: express and implied.

Organizations seeking **express consent** must set out “clearly and simply” the following information in orally or writing:

- the purpose(s) for which consent is sought;
- the name of the organization seeking consent;
- the mailing address, and either a telephone number, an email address or the web address of the organization seeking consent; and
- a statement indicating that the person whose consent is sought can withdraw their consent.

Implied consent is deemed to exist in certain circumstances, including where the parties have an “existing business relationship” based on:

- (1) the purchase or lease of a service;
- (2) the acceptance of a business or investment opportunity;
- (3) a written contract; or
- (4) an inquiry or application by the recipient about (1), (2), or (3).

An existing business relationship lasts only for 2 years after scenarios (1)-(3), and for 6 months in the case of (4).

Implied consent is also deemed to exist in the following two scenarios:

(a) Conspicuous publication, where:

- the recipient has conspicuously published (or caused to be conspicuously published) their electronic address and the publication is not accompanied by a statement that the person does not wish to receive unsolicited CEMs at the electronic address; and
- the message is relevant to the recipient’s business, role, functions, or duties in a business or official capacity.

We highlight that good record-keeping to evidence this publication of contact information is important.

(b) Direct disclosure, where:

- the recipient disclosed their electronic address to the sender (or the person who causes the message to be sent) without indicating a wish not to receive unsolicited messages; and
- the message is relevant to the recipient’s business, role, functions or duties in a business or official capacity.

We highlight that good record-keeping to evidence this direct disclosure is important.

Each message sent under an express or implied consent must comply with CASL’s form/content requirements (see 8.1(c)) for details).

A. Exceptions to Consent and Form/Content

Exceptions under CASL generally provide relief from both the consent and form/content requirements. Relevant exceptions in this context include:

B2B exception: messages sent by an organization to another organization if (i) the organization has a “relationship” with the other organization, and (ii) the message concerns the “activities” of the organization to which the message is sent. The term “relationship” is not defined under CASL. It was judicially considered in 2020 by the Federal Court of Appeal in 3510395 Canada Inc. v. Canada (Attorney General) (“CompuFinder”). The Court held that an organization sending CEMs to businesses under the business-to-business exemption must satisfy a greater evidentiary burden than an organization sending CEMs to businesses under the “existing business relationship” (see above for a discussion of this exception). The Court also held that a contractual relationship with only a few employees for a very limited number of transactions will not constitute a “relationship” for the purpose of the business-to-business exemption, and the message must concern “activities” which the recipient organization has actually undertaken or plans to undertake in the future.

Response to a request: messages sent in response to a request, inquiry, complaint or that are otherwise solicited.

Fax exception: messages sent by means of a facsimile to a telephone account.

Legal Obligation: messages sent to a person (i) to satisfy a legal or juridical obligation, (ii) to provide notice of an existing or pending right, legal or juridical obligation, court order, judgment or tariff, (iii) to enforce a right, legal or juridical obligation, court order, judgment or tariff, or (iv) to enforce a right arising under a law of Canada, of a province or municipality of Canada or of a foreign state.

Limited-access accounts: CASL does not apply to messages sent to a limited access secure and confidential account to which messages can only be sent by the person who provides the account

	to the recipient (for clarity, the communication must be one-way such that messages can only be sent by the account provider, and the account holder is not able to send messages back). <u>B. Other Relevant Exceptions to Consent</u> CASL also contains exceptions to consent, but not the form/content requirements for CEMs that solely: • facilitate, complete or confirm a commercial transaction; • provide warranty information about a service that the recipient uses or has purchased; • provide notification of factual information about i) the ongoing use or ongoing purchase by the recipient of a service offered under a subscription or similar relationship by the OFI, or ii) the ongoing subscription or similar relationship of the recipient; or • deliver a service that the recipient is entitled to receive under the terms of a transaction it previously entered into with the OFI.
Please could you confirm whether your above response would apply to the following types of written marketing materials and, if applicable, note any particular considerations that would apply to that particular type of document:	
(i) offering memorandum (may also be referred to as the “private placement memorandum” or “information memorandum”);	Yes. See section 7.1(a) above for a description of the use of an offering memorandum in the Canadian private placement regime (including the requirements for Canadian disclosure and reporting requirements).
(ii) marketing presentation (may also be referred to as the “pitch book” or “marketing deck”). Such presentations may include: • Investment strategy/philosophy/process • Biographies of key investment team members • Track record • Case studies of specific investments • Operational infrastructure/list of service providers terms	Yes.
(iii) tear sheet (may also be referred to as the “fact sheet” or “profile”)	Yes, however, a “term sheet” could be considered an “offering memorandum” in circumstances where been prepared primarily for delivery to and review by a prospective purchaser so as to

Such tear sheets may include: • A brief description of strategy • Summary statistics • Terms • Service providers Please indicate if the analysis differs depending whether or not the tear sheet includes the name of a specific Fund(s) or services being marketed.	assist the prospective purchaser to make an investment decision in respect of securities being sold. In such case, See section 7.1(a) above for a description of the use of an offering memorandum in the Canadian private placement regime (including the requirements for Canadian disclosure and reporting requirements).
(b) Is it recommended or mandatory to include certain disclaimers/warnings in the written marketing materials? If so, please specify which type of written marketing materials will require such a disclaimer/warning, e.g. the offering document, presentations, pitch books, emails? Please provide recommended wording in Section A of each of Appendix 1, Appendix 2 and Appendix 3 of this memorandum, along with an indication of whether such wording is mandatory or recommended	There are no mandatory disclaimers or warnings to include in written marketing materials which are not the Offering memorandum. However, in relation to the marketing of a Fund, caution should be taken to clearly state that the marketing materials do not constitute an offering memorandum. We therefore recommend including the following disclaimer with marketing materials relating to a Fund: <i>Investments in securities of the type referenced in this [presentation] may only be made pursuant to applicable Canadian private placement offering documents, of which this material is not a part. Canadian private placement offering documents will be provided to you upon request for the purpose of any investment you may wish to make in any securities referenced herein.</i> For an offering memorandum provided pursuant to an exemption to the Prospectus Requirement, the Canadian Disclosure Requirement or the Canadian Wrapper Requirement applies. The exact requirements and wording of the disclosure will depend on the Fund being marketed and the circumstances of the offer, including the provinces covered by the offering, and advice should be sought from local counsel on a case-by-case basis. Additional legends and disclaimers are required for Canadian private placement offering documents, such as offering documents used to sell a Fund under a Canadian prospectus exemption.
(c) Are there rules regarding the form/content of written marketing materials (including as to how performance data should be portrayed)? Please also consider whether these rules distinguish between the type of investor that such materials will be presented to?	There are no rules regarding the form/content of written marketing materials. Investors should be permitted to purchase a Fund or receive Investment Management & Advisory Services from the OFI under an exemption from applicable registration and prospectus requirements in Ontario, Quebec, British Columbia or Alberta. In respect of CASL – For CEMs that are required to meet CASL’s form/content requirements, such messages must set out clearly and prominently:

	- the name by which the person who sent the message (and the person, if different, on whose behalf it is sent) carries on business; - the mailing address and either a telephone number, email address or web address of the sender or the person, if different, on whose behalf it is sent; and - a working unsubscribe mechanism (or a link to an unsubscribe mechanism on the world wide web) that can be readily performed. For example, the message may contain the following language: <i>[Company name]</i> <i>[Company mailing address + one of email address, or telephone number or web address]</i> <i>To unsubscribe from future marketing messages from [Company name], please click here: [unsubscribe button]. Please note that you may continue to receive transactional or account-related communications from us.</i> The unsubscribe mechanism must be set out clearly and prominently and: - be able to be “readily performed”; - be free to the consumer; - use the same electronic means by which the message was sent (unless not practicable); - specify an email address or a link to a web page to which the unsubscribe request may be sent that is valid for a minimum of 60 days after the message has been sent; and - take effect within 10 days of the unsubscribe request being sent. The sender must ensure that the contact information for the unsubscribe mechanism (i.e. electronic address or hyperlink) is valid for at least 60 days after the CEM has been sent.
(d) Does the regulator of your jurisdiction require the OFI to retain a record of the recipients of distributed marketing materials?	There is no express statutory requirement to maintain records under CASL, however, regulatory guidance sets out the expectation that records be kept to evidence compliance, and CASL’s regulatory authority will generally find that a violation has occurred after it receives a complaint unless the sender can show that they were permitted to send the messages (i.e., the burden is on

	the sender to prove they were permitted by CASL to send the message). See CRTC Developing Corporate Compliance Programs in Section 3(b).
(e) Are there any other considerations that an OFI should bear in mind before disseminating written marketing materials in your jurisdiction?	No.
8.2 Telephone	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through marketing by telephone?	Yes. The Canadian Radio-television and Telecommunications Commission (CRTC) has established Unsolicited Telecommunications Rules that telemarketers and organizations that hire telemarketers must follow when conducting telemarketing using telecommunications. There are four key sections in the Unsolicited Telecommunications Rules. Part II of the Rules concerns the National Do Not Call List (DNCL) Rules, which enables Canadian consumers to add their phone number to a “do not call” list, and prohibits calls to phone numbers on the “do not call” list unless an exception applies, or where express consent has been obtained. The DNCL Rules do not apply to telemarketing communications made to a business customer or where the caller has an existing business relationship with the recipient (see below). Part III of the Rules sets out the Telemarketing Rules that govern the manner in which telemarketing calls can be made, and Part IV sets out restrictions on the use of Automatic Dialing-Announcing Device (ADAD) devices. Please also note the other requirements set out in section 7 above. Further to the above, certain types of telemarketing calls are exempt from Part II (National DNCL Rules) of the Unsolicited Telecommunication Rules, including but not limited to telemarketing calls that are: • made to business consumers, • made for the sole purpose of collecting information for a survey of members of the public, • made to persons with whom there is an existing business relationship (i.e., to a consumer who has purchased, leased, or rented a product or service from the telemarketer in the last eighteen (18) months; has a written contract with a telemarketer that is still in effect or expired within the last eighteen (18) months; or has made an inquiry or has submitted an application to a telemarketer about a product or service within the last six (6) months) and the person has not made a do not call request.

	Telemarketers who initiate telemarketing calls (and clients of telemarketers on whose behalf such calls are made) must register with the National Do Not Call List, regardless of whether or not such calls fall under the National DNCL Exemptions set out in Part II of the Unsolicited Telecommunications Rules, and subscribe to and access the DNCL for non-exempt messages. Note that when an exemption applies, the telemarketer must keep an internal do not call list and comply with the Telemarketing and ADAD Rules.
(b) Do specific additional requirements or restrictions apply in respect of cold calling of such investors?	No. However, as set out above, the Canadian Radio-television and Telecommunications Commission (CRTC) has established rules that telemarketers and organizations who hire telemarketers must follow. These rules are called the Unsolicited Telecommunications Rules. The CRTC has specifically noted that investment or financial advisors must comply, when initiating telemarketing telecommunications with their existing clients, with Parts III and IV of the Unsolicited Telecommunications Rules. See the CRTC Telecom Regulatory Policy CRTC 2010-599 and Telecom Information Bulletin CRTC 2010-600. Further, investment or financial advisors must comply with Parts III and IV of the Unsolicited Telecommunications Rules when initiating telemarketing calls to prospective or former clients. In addition, telemarketers and organizations who hire telemarketers must comply with Part II (DNCL) of the Rules when initiating telemarketing calls to investors, unless a listed exception applies as set out in Section 8.2(a) above. Certain requirements vary when placing telemarketing calls to individuals (including individuals who are sophisticated or high net worth) rather than businesses. To minimize the risk of contravening the Unsolicited Telecommunications Rules, OFIs should avoid cold calling individual investors. See also response to Question 8.2(d).
(c) Is it recommended or required to make certain oral disclaimers/warnings during the course of the telephone call? If so, please describe the requirements that apply. Please also provide recommended wording in Section B of each of Appendix 1, Appendix 2 and Appendix 3 of this memorandum.	In respect of securities law, there are no mandatory oral disclaimers or warnings to make during the course of a telephone call. However, caution should be taken to clearly state that the purpose of the call is not to promote or solicit the purchase of a particular Fund security. Unless the OFI is sure that its activities will be conducted in accordance with the Registration and Prospectus requirements or an exemption thereto. There is no specific wording required by the Unsolicited Telecommunications Rules. However, a telemarketer initiating a telemarketing call is required to provide the following information in a clear manner upon reaching the intended party: 1. the name or fictitious name of the individual making the telecommunication;

	2. the name of the telemarketer, whether the telemarketing telecommunication is made on its own behalf or on behalf of a client of the telemarketer; and 3. the name of the client, when the telemarketing telecommunication is being made on behalf of a client of the telemarketer. Further, the following information must be provided, if requested by the recipient of the call 1. a phone number that allows access to an employee or other representative of the telemarketer for the purpose of asking questions, making comments about the telemarketing telecommunication, or making or verifying a do not call request; and 2. the name and electronic mail address or postal mailing address of an employee or other representative of the telemarketer to whom the consumer can write for the purpose of asking questions, making comments about the telemarketing telecommunication, or making or verifying a do not call request. See Unsolicited Telecommunications Rules and Compliance and Enforcement Regulatory Policy 2014-155
(d) Are there any other considerations that an OFI should bear in mind before conducting telephone calls with prospective investors in your jurisdiction? For example, is it mandatory that such telephone calls be recorded?	In respect of securities law, no. However, the prospective investors should be permitted to purchase a Fund or receive Investment Management & Advisory Services from the OFI under an exemption from applicable registration and prospectus requirements in Ontario, Quebec, British Columbia or Alberta. In respect of telemarketing requirements, telemarketers who initiate telemarketing calls (and clients of telemarketers on whose behalf such calls are made) must register with the National Do Not Call List, regardless of whether or not such calls fall under the National DNCL Exemptions set out in Part II of the Unsolicited Telecommunications Rules. When making non-exempt calls, telemarketers must also purchase a subscription to the DNCL for the area codes that will be called, download the numbers from the National DNCL and delete them from the calling lists. The version of the National DNCL that is used must not be older than 31 days. Telemarketers must also comply with the rules in Part III and IV of the Unsolicited Telecommunications Rules. Under privacy legislation, it is not mandatory to record calls, but there are requirements under Canadian privacy laws that apply where telephone calls are recorded. At a high level, individuals will need to be informed of (i) the fact that the call is being recorded, and (ii) the purposes for the call recording. Individuals will also need to provide their consent to the recording of the call and be provided with an alternative means of communication. Typically, organizations will inform

	individuals of other contact methods if they do not wish to be recorded (i.e. email) if it is not possible to continue the call without recording.
8.3 Fly-In Meetings	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through a Fly-In Meeting?	See response to 8.1(a) above. For CASL and Unsolicited Telecommunications, same as above.
(b) Are there any particular considerations that an OFI should bear in mind before conducting Fly-In Meetings with prospective investors? For example, is there a risk that frequent Fly-In Meetings may trigger some local licensing or regulatory requirements?	Frequent Fly-In Meetings do not trigger any special securities licensing requirements. However, taking trade instructions from clients or negotiating/executing contracts from within Canada could have Canadian tax consequences. In general, OFI representatives shouldn't take instructions or execute contracts while in Canada. For CASL and Unsolicited Telecommunications, same as above.
8.4 Fly-Out Meetings	
(a) Do the licensing and regulatory requirements of your jurisdiction continue to apply to any marketing activities in connection with Funds and Investment Management & Advisory Services which take place at a Fly-Out Meeting?	Yes. The registration requirements under Canadian securities laws have broad extraterritorial scope and apply to dealings with investors resident or domiciled in Canada whether such dealings occur outside Canada or within Canada and whether or not the meeting is induced by the OFI.
(b) If the answer to section (a) above is “ no ”, are there any courses of action which could result in the requirements of your jurisdiction having extra-territorial effect? For example, would it be possible for the OFI to induce the resident to leave your jurisdiction to attend a meeting in an offshore office of the OFI without triggering the application of the licensing and regulatory restrictions in your jurisdiction?	N/A.
8.5 Internet/Social Media	
(a) Please outline the requirements in your jurisdiction which apply to a webpage which is targeted towards investors located in your jurisdiction (e.g. by writing it in the language of your jurisdiction or	In general, there are no securities licensing or regulatory restrictions which apply when an OFI posts general promotional and marketing materials on web pages which are targeted towards investors that are not retail clients located in Ontario, Quebec, British Columbia and Alberta. If the OFI wishes to post marketing materials that promote a specific Fund or Investment

by sponsoring links generated when internet users in your jurisdiction search for particular terms via a search engine).	Management & Advisory Service to investors that are not retail clients located in Ontario, Quebec, British Columbia or Alberta, disclosure on the web pages should clearly state: (a) the materials are intended only for investors that are not retail clients and not for retail clients and (b) if applicable, that the OFI is conducting its activities in Ontario, Quebec, British Columbia and Alberta under exemptions from registration requirements (and prospectus requirements) and the website therefore does not constitute an offer to sell or provide a Fund or Investment Management & Adviser Services in circumstances where such exemptions are not available. See wording at Appendix 3 B. See response to 8.6(a) on Quebec French language laws. Interest-based advertising and the use of cookies or other tracking technologies to serve targeted ads are subject to consent and other obligations under Canadian privacy laws. See Section 8.5(d).
(b) Does your jurisdiction impose requirements/restrictions in respect of webpages which have not been targeted towards investors in your jurisdiction but which are accessible from your jurisdiction?	Yes, there could be regulatory restrictions <u>if</u> the marketing materials promote specific Funds or Investment Management & Advisory Services and are accessible widely in Ontario, Quebec, British Columbia and Alberta, including to retail clients. Securities regulators in Ontario, Quebec, British Columbia and Alberta consider it to be a violation of securities laws to market Funds or Investment Management & Advisory Services to retail clients where such products have not been qualified by a prospectus filed with the provincial securities regulator. There would not be regulatory restrictions for general promotional information concerning the OFI posted on the OFI's website. As set out in Section 6, by retail clients, we mean those investors that are not Accredited Investors (as defined in Section 1.44).
(c) If the answer to section (b) is “yes”, what steps could an OFI take to reduce the regulatory risk in your jurisdiction as regarding marketing materials posted on non-targeted webpages? For example, by requiring an investor or potential investor to verify suitability through acceptance of a disclaimer, provide confirmation that he is not located in your jurisdiction, by making the pages password protected or through use of a secure portal to regulate information available to users?	Requiring an investor or potential investor to verify suitability through acceptance of a disclaimer, or a provide confirmation that he is not located in Ontario, Quebec, British Columbia and Alberta would be appropriate ways to reduce regulatory risk. Another alternative is to restrict access to pages that promote specific Funds or Investment Management & Advisory Services to web site visitors that affirmatively check a box confirming that they are an Accredited Investor/Permitted Clients (as applicable). This helps ensure that if purchases of specific Funds or Investment Management & Advisory Services are solicited, then solicitation is only directed at investors that are eligible to purchase the Funds or Investment Management & Advisory Services on a private placement (prospectus exempt) basis.

(d) Please outline any requirements in your jurisdiction which apply to marketing activities which take place via social media (e.g. blogs, X Corp. (formerly known as Twitter), social networks (Facebook, LinkedIn), forums or photo/video-sharing platforms (e.g. YouTube, Instagram)) and which are targeted towards investors located in your jurisdiction e.g. (i) posts are written in the language of your jurisdiction or have direct relevance to investors in your jurisdiction or (ii) adverts are sponsored to appear on the user pages of investors based in your jurisdiction?	There are no specific requirements which apply to the use of social media to target investors located in Canada. See responses to 8.1(a), 8.5(b) and 8.5(c) for a general discussion of marketing using electronic means. Our answer applies equally here. Personal information (such as email lists) should not be shared with social media platforms for custom audience or lookalike retargeting unless consent has been obtained. CEMs sent to individuals on social media platforms (such as via direct messaging) may also be subject to CASL. In addition, we note that with respect to the use of cookies and other tracking technologies (i.e. online behavioural advertising) (“IBA”) Canadian privacy regulators take the view that the information involved in IBA will generally constitute personal information and therefore meaningful consent is required. Subject to Quebec-specific requirements noted below in this response, current regulatory guidance (which was updated in 2021) indicates that implied (opt-out) consent (i.e., a banner with pre-checked boxes or cookies defaulted on) can be considered acceptable as long as certain conditions are met, including: 1. Individuals are made aware of the purposes for the practice in a manner that is clear and understandable – the purposes must be made obvious and cannot be buried in a privacy policy; 2. Individuals are informed of these purposes at or before the time of collection and provided with information about the various parties involved in IBA; 3. Individuals are able to easily opt out of the practice – ideally at or before the time the information is collected; 4. The opt-out takes effect immediately and is persistent; 5. The information collected and used is limited, to the extent practicable, to non-sensitive information (avoiding information that is generally considered sensitive such as medical or health information, financial data, ethnic and racial origins, political opinions, genetic and biometric data, an individual’s sex life or sexual orientation, and religious/philosophical beliefs); and 6. Information collected and used is destroyed as soon as possible (or appropriately anonymized, which is a high threshold under Canadian privacy laws). In practice, while Canadian privacy laws do not prescribe the manner in which consent is obtained, a cookie banner containing a description of the purposes for which cookies are used and
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	a link to opt out/change preferences has become the common way to meet the implied consent requirements above. Note that implied consent cannot be relied upon when the information is sensitive. In addition, tracking technologies do not provide a way for individuals to effectively opt out must not be used (e.g., zombie cookies, super cookies, device fingerprinting, third party cookies disguised as first party cookies). Pursuant to recently amended privacy legislation in Quebec, organizations who collect personal information from an individual using technology that includes functions enabling the identification, location, or profiling of an individual, are required to first inform the individual of: (i) the use of such technology; and (ii) the means available to activate the functions that allow an individual to be identified, located or profiled. Section (ii) suggests that individuals are required to opt-in to the use of such tracking or profiling technologies (i.e., non-essential cookies must be deactivated by default). See response to 8.6(a) on Quebec French language laws.
(e) Does your jurisdiction impose requirements/restrictions in respect of social media content which has not been targeted towards investors in your jurisdiction but is nevertheless accessible from your jurisdiction?	No. See response to 8.5(b) above. Our answer applies equally here.
(f) Please set out any practical advice which OFIs should follow in order to reduce the regulatory risk in your jurisdiction regarding marketing activities conducted via social media. For example, is it recommended that all posts contain either the full recommended disclaimer or is it ok to include a link to such disclaimer instead? On X Corp. (formerly known as Twitter), is the use of images a possible solution to the problem of character limitation e.g. by posting a disclaimer as an attachment to a tweet?	There are no prescribed requirements for social media posts to include disclaimers. As a general matter, we recommend that social media be used for brand awareness and the general promotion of the OFI's business, instead of promoting specific Funds and Investment Management & Advisory Services. If this advice is followed, then disclaimers should not be necessary. Personal information (such as email lists) should not be shared with social media platforms for custom audience or lookalike retargeting unless consent has been obtained.
(g) Are there any legends, risk factors, disclosures and disclaimers which are required or recommended by local counsel for inclusion in	There are no required legends, risk factors, disclosures or disclaimers. However, if the OFI wishes to post marketing materials that promote specific Funds or Investment Management & Advisory

webpages and/or social media which contain marketing materials relating to Funds and/or Investment Management & Advisory Services and which may be accessed by investors located in your jurisdiction?	Services to investors that are not retail clients located in Ontario or Quebec, we recommend that disclosure on the web pages clearly state: (a) the materials are intended only for investors that are not retail clients and not for retail clients and (b) if applicable, that the OFI is conducting its activities in Ontario and Quebec under exemptions from registration requirements and the website therefore does not constitute an offer to sell or provide Funds or Investment Management & Advisory Services in circumstances where such exemptions are not available. See wording at Appendix 3 B.
(h) Please outline (or cross-refer) to any licensing/regulatory requirements in your jurisdiction which apply to virtual events/meetings (e.g. online web/video conferences/channels) involving marketing/selling activities relating to Funds and/or Investment Management & Advisory Services conducted with investors in your jurisdiction (e.g. virtual roadshows, presentations or promotional events).	There are no specific requirements which apply to the hosting of virtual events/meetings to target investors located in Canada. There is no substantive differentiation under local securities law between marketing/selling of a Fund or Investment Management & Advisory Services to investors through (i) the distribution of written marketing materials (whether by email or by physical delivery of documents), (ii) telephone marketing, (iii) marketing during an in-person meeting (either fly-in or fly-out) or (iv) marketing via the Internet (including through virtual events/meetings). See responses to 8.1(a), 8.5(b) and 8.5(c) for a general discussion of marketing/selling using electronic means. Our answer applies equally here.
(i) Is it recommended or mandatory to include certain disclaimers/warnings in the materials presented/disseminated by means of virtual events/meetings relating to Funds and/or Investment Management & Advisory Services?	Yes. Our answer in 8.5(g) applies equally here. See wording at Appendix 3 B.
8.6 General Marketing	
(a) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing by an OFI in your jurisdiction as follows: (i) general brand marketing that comprises the use of the OFI's corporate name, logo, slogan or design scheme; (ii) publishing articles e.g. thought leadership pieces or research papers; and (iii) general marketing materials which refer to awards/customer testimonials. Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	General marketing or promotional activities (for example, to promote an OFI's brand) would not be considered solicitation in Canada. General marketing activities are not subject to securities laws (including the Dealer, Investment Fund Manager and Adviser Registration requirements, the Prospectus Requirement and the Derivatives Business Conduct Rule) provided it does not refer to a specific Fund or Investment Management and Advisory Service and does not occur with Repetition, Regularity or Continuity in Ontario, Quebec, British Columbia and Alberta. The risk of triggering the registration requirements can be reduced where the activity does not take place with Repetition, Regularity or Continuity. An OFI should take care to avoid any false or misleading advertising, including in relation to marketing of awards/customer testimonials. Also, general advertising in Quebec (such as advertising in a Quebec newspaper or periodical) may be subject to Quebec French language laws. The OFIs should be aware that the language of commerce in Quebec is French, and Quebec's Charter of the French Language requires that

advertising to Quebec residents be in the French language (subject to certain exceptions where English or another language is permitted, provided that it complies with certain prominence requirements).

The Quebec Charter of the French Language was amended on June 1, 2022 to provide for a new general obligation to respect the right of Quebec clients (retail, institutional and governmental) to be informed and served in French. Quebec clients may indicate a preference to be served in English, but if they do not, information and services should be provided to them in French.

A more specific provision also provides that catalogues, brochures, folders, commercial directories, order forms and any other documents of the same nature, including website and social media pages that describe services offered in Quebec must be at least in French, and that no English version can be made available to the public in Quebec unless a French version is available on the same terms.

Invoices, receipts, acquittances and other documents of the same nature must also be made available in French, and such documents cannot be sent to a Quebec client in English unless a French version is also available on the same terms.

Provided an OFI do not have a physical establishment or employees in Quebec, an OFI can contract in English with a Quebec client if an OFI has their consent to do so. However, if an OFI is contracting with a retail client in Quebec, a non-negotiable agreement that is not governed by the Derivatives Act or the Securities Act must be provided at least in French. It may be provided in English as well, but the retail client has the ability to decide which version to execute and, in case of a discrepancy between the versions, the most favourable terms for the retail client will prevail.

Contracts with a Quebec government entity can be in English only where the entity consents to contracting in English and the contract satisfies one of the following conditions:

1. It is entered into outside Quebec (meaning that the acceptance of the agreement by the government entity is received by the counterparty in a jurisdiction other than Quebec, and there is no provision in the agreement that deems the agreement entered into in Quebec);
2. It is entered into with a clearing house; or,
3. It is entered into on a platform that makes it possible to trade in a derivative, a security or other moveable property.

Loan agreements and agreements whose object is the management of financial risks, including currency exchange or interest rate exchange agreements, contracts for the purchase or sale of

	options and futures contracts, entered into with a Quebec government entity in Quebec can be entered into in both English and French (those entered into outside Quebec, pursuant to the exemption set out the preceding paragraph, can be in English only). However, in the following situations such a contract can be entered into first in English, and then translated into French, and the parties can stipulate that the English version governs: 1. Where documents to be transmitted under an agreement are produced by third parties in English; 2. Where documents to be transmitted under an agreement will be used outside of Quebec, or where exchanges under the agreement take place with an establishment outside of Quebec; and, 3. Where the agreement is drafted by an entity without an establishment in Quebec. Failing to comply with any of these requirements can give rise to a complaint to the regulator, the Office québécois de la langue française, who can require the adoption of remedial measures. If the remedial measures are not carried out to the satisfaction of the regulator, a penal prosecution could occur, giving rise to fines of up to \$90,000 per day of non-compliance. Quebec residents also have the right to seek damages, including punitive damages, for a violation of their language rights, and such an action could be brought as a class action. Finally, if an OFI has the obligation to provide a French version of an agreement (non-negotiable agreements with retail clients that are not governed by the Derivatives Act or the Securities Act), failure to do so could result in the agreement being annulled by the Courts if the retail client applies for such relief. The analysis does not depend on the type of investor that is targeted. General marketing or promotional activities would not, on their own, trigger the Foreign Bank Authorisation Requirement. Caution should be exercised when coming in and conducting activities in Canada as the analysis is fact-based and the regulator will look at all touch-points to Canada should the matter come to their attention. It is also generally prudent for businesses to have awareness about in-person activities in a foreign jurisdiction.
(b) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves general awareness-raising of product lines or service lines including discussion of general strategies (but without reference to a specific Fund or Investment Management & Advisory Service).	General marketing activities should not refer to specific product lines or service lines. We generally discourage general marketing in a Canadian jurisdiction that focuses on the particular characteristics of a Fund or Investment Management & Advisory Service, even if anonymized. The analysis does not depend on the type of investor that is targeted. See response to section 6.2(d) above.

Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	
(c) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves discussions which refer to particular <i>characteristics</i> of a Fund or Investment Management & Advisory Service (e.g. investment strategies or ideas) without referring to the name of the relevant Fund or Investment Management & Advisory Service? An example of this type of marketing would include a tear sheet which while it may not include the name of the relevant Fund or Investment Management & Advisory Service, may include a brief description of strategy, terms, summary statistics (e.g. relating to AUM, performance, risk) and/or a list of key service providers. Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	We generally discourage general marketing in a Canadian jurisdiction that focuses on the particular characteristics of a Fund or Investment Management & Advisory Service, even if anonymized. See response to section 6.2(d) above.
(d) Are there any rules regarding the form/content of written marketing materials which contain the type of information referred to in 8.6(c) above e.g. tear sheets/snapshots of marketing presentations?	See our response to 8.1(c). Our answer applies equally here.
(e) Are there any licensing or regulatory restrictions which may apply when an employee of an OFI is a speaker at a finance-related event in your jurisdiction?	No changes to responses. Our answer applies equally here.
(f) Are there any restrictions in relation to solely distributing business cards (paper or electronic)? Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	No.
(g) Is it recommended or mandatory to include certain disclaimers/warnings in any general marketing materials presented/disseminated?	No.

8.7 Pre-Marketing	
(a) Is it permitted to conduct any “pre-marketing” activities in respect of a Fund in your jurisdiction to assess investor appetite either: (A) before committing to any registration/notification/approval/licensing requirements; or (B) during the relevant registration/notification/approval/licensing process? If so, please could you provide a definition of what would amount to permitted “pre-marketing” of a Fund.	There is no specific safe harbour for pre-marketing activities in respect of a Fund and it should generally not be distinguished from active marketing activities. See our response in 7.1(a). Our answer applies equally here.
(b) Where “pre-marketing” of a Fund is permitted in your jurisdiction, please could you outline the types of marketing activities which would fall within the scope of such permitted “pre-marketing”, distinguishing if relevant between:	N/A
(i) the types of materials that can be circulated (e.g. presentations, offering documents, subscription documents);	N/A
(ii) the status of the Fund (e.g. whether established or still under formation);	N/A
(iii) whether the documents are in draft or final form;	N/A
(iv) any specific “pre-marketing” activities to avoid on the basis that these will trigger the relevant requirements; and	N/A
(v) any other relevant considerations in your jurisdiction (e.g. number or type of investor to whom the “pre-marketing” is done).	N/A
(c) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI conducting pre-marketing of a Fund in your jurisdiction?	There is no specific safe harbour for pre-marketing activities in respect of a Fund and it should generally not be distinguished from active marketing activities. See our response in 7.1(a). Our answer applies equally here.
8.8 Investment Advice	
(a) Is it permitted for an OFI to provide Investment Advice in relation to a Fund or Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis?	An OFI is not permitted to provide Investment Advice to an investor in Ontario, Quebec, British Columbia or Alberta without relying upon a registration or registration exemption for advisers.

In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	The available adviser registration category and categories of registration exemptions are described in section 7.3(a) above. Any OFIs in the business of trading or advising in certain derivatives with Canadian resident clients should also note the Derivatives Business Conduct Rule when marketing/providing Investment Advice. Please see section 7.3 for more information.
(i) available exemptions which permit the provision of Investment Advice. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal “black-letter law” exemptions and accepted practice.	The available adviser registration category and categories of registration exemptions are described in section 7.3(a) above and please see section 7.3 for more information on the Derivatives Business Conduct Rule.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Investment Advice is permitted (e.g. investor is incorporated, domiciled, has employees in your jurisdiction).	See response to section 6.2(d) above for the relevant criteria for determining whether an investor is in Canada (for purposes of determining whether the provision of Investment Advice is permitted).
(b) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Investment Advice or not.	There are no sensitivities that turn on whether the investor is a potential or existing client or whether the investor solicited the Investment Advice or not (subject to the registration exemption for investment fund managers in Ontario and Quebec that is only available where there has been no active solicitation).
(c) Does the regulatory regime in your jurisdiction applicable to the marketing/provision of Investment Advice extend to advice in relation to portfolio construction and/or manager selection? If not, please could you briefly outline how the marketing/provision of advice in relation to portfolio construction/manager selection is regulated in your jurisdiction, if at all.	Generally yes; however, providing advice in respect of manager selection may not be caught in circumstances where the person providing advice on manager selection does not have the discretionary authority to appoint and terminate managers.
8.9 Arranging	
(a) Is it permitted for an OFI to provide Arranging services in relation to a Fund or Investment Management & Advisory Services with an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	An OFI is not permitted to provide Arranging services in relation to a Fund or Investment Management & Advisory Services with an investor in Ontario, Quebec, British Columbia or Alberta without relying upon a registration or registration exemption for dealers. The available dealer registration categories and categories of registration exemptions are described in 7.1(a) above.

	Any OFIs in the business of trading or advising in certain derivatives with Canadian resident clients should also note the Derivatives Business Conduct Rule when marketing/providing Arranging. Please see section 7.3 for more information.
(i) available exemptions which permit the provision of Arranging. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal “ black-letter law ” exemptions and accepted practice .	The available dealer registration categories and categories of registration exemptions are described in 7.1(a) above and please see section 7.3 for more information on the Derivatives Business Conduct Rule.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Arranging is permitted (e.g. investor is incorporated, domiciled, has employees in your jurisdiction).	See response to section 6.2(d) above for the relevant criteria for determining whether an investor is in Canada (for purposes of determining whether or not the provision of Arranging is permitted).
(b) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Arranging or not.	There are no sensitivities that turn on whether the investor is a potential or existing client or whether the investor solicited the Arranging or not.
8.10 Subscription Documentation and Relationship Management	
Sections (a) to (c) below look at scenarios relating to the provision by an OFI to an investor of either: • Fund subscription documentation; or • contracts relating to the provision of Investment Management & Advisory Service(s). In relation to sections (a) to (c) please can you briefly describe any relevant restrictions or considerations that apply or, if relevant, please cross-refer to other sections of the Memorandum. Are the below scenarios permitted?	
(a) The OFI provides/sends: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) to a potential investor:	Yes. Prospective investors should be permitted to purchase a Fund or receive Investment Management & Advisory Services from the OFI under an exemption from applicable registration and prospectus requirements in Ontario, Quebec, British Columbia or Alberta.

(i) where the OFI and the investor are <u>both</u> in your jurisdiction (e.g. at a Fly-In Meeting); or	Yes. Prospective investors should be permitted to purchase a Fund or receive Investment Management & Advisory Services from the OFI under an exemption from applicable registration and prospectus requirements in Ontario, Quebec, British Columbia or Alberta. However, taking trade instructions from clients or negotiating/executing contracts from within Canada could have Canadian tax consequences. In general, OFI representatives shouldn't take instructions or execute contracts while in Canada.
(ii) where the OFI is <u>outside</u> your jurisdiction but the investor is in your jurisdiction (e.g. the OFI sends the documentation via email/post).	Yes. Prospective investors should be permitted to purchase a Fund or receive Investment Management & Advisory Services from the OFI under an exemption from applicable registration and prospectus requirements in Ontario, Quebec, British Columbia or Alberta.
(b) The: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) is signed:	
(i) where the relevant signatories for <u>both</u> parties are <u>in</u> your jurisdiction (e.g. at a Fly-In Meeting); or	Taking trade instructions from clients or negotiating/executing contracts from within Canada could have Canadian tax consequences. In general, OFI representatives shouldn't take instructions or execute contracts while in Canada.
(ii) where the relevant signatories for the Fund or provider of the Investment Management & Advisory Service are <u>outside</u> your jurisdiction but the investor is <u>in</u> your jurisdiction (e.g. the signed documents are transmitted between the parties via email/fax/post/courier).	No additional considerations.
(c) Will the location where documentation is signed by either party as described in either section (b)(i) or (ii) above affect whether the contract is deemed "booked" in your jurisdiction?	Yes. Would be "booked" in Canada in the case of (b)(i). Would not be "booked" in Canada in the case of (b)(ii).
(d) This question 8.10(d) focuses on relationship management and/or investor relations activities, which are conducted between an OFI and an investor once such investor has invested in a Fund and/or engaged the OFI to provide an Investment Management & Advisory Service. Such activities would, for example, involve the OFI:	Relationship management/investor relations activities on a cross-border basis or at a Fly-In Meeting once an investor has invested in a fund and/or engaged the OFI to provide and Investment Management & Advisory Service should not raise any incremental concerns; however, OFI's will need to ensure that any such activities do not trigger any incremental dealer registration requirements that have not already been appropriately managed in a manner consistent with 7(a) above.

• updating the investor on its existing investments; and/or • providing account statements, transaction reports or periodic reports to the investor. Please confirm whether an OFI would be permitted to conduct such relationship management/investor relations activities: • on a cross-border basis; or • at a Fly-In Meeting in your jurisdiction. Alternatively, please describe any relevant restrictions or considerations that apply, if relevant cross-referring to other sections of the Memorandum. For the purposes of this question, please presume that the marketing/selling activities that underpin the relationship between the OFI and the investor were conducted pursuant to permitted means in your jurisdiction and/or were conducted in another jurisdiction before the investor re-located to your jurisdiction. Please also presume that the relationship management/investor relations activities will not involve any further marketing/selling of other funds/services outside the scope of the existing relationship.	
8.11 Requests for Proposals (RFPs)	
This question 8.11 looks at the scenario where an OFI is asked to respond to a request for proposal, request for information or similar process (an RFP) from an investor in your jurisdiction.	
(a) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of a Fund from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	The same considerations outlined in our response to 5(a) in respect of unsolicited inquiries apply equally here.
(b) Could the activity of responding to an RFP regarding a Fund fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Marketing/selling a Fund without restriction is not permitted following an unsolicited approach, reverse enquiry or reverse solicitation by an investor to an OFI. Our response in 5(a) applies equally here.

(c) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of an Investment Management & Advisory Service from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	The same considerations outlined in our response to 5(a) in respect of unsolicited inquiries apply equally here.
(d) Could the activity of responding to an RFP regarding an Investment Management & Advisory Service fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Marketing/selling Investment Management & Advisory Services without restriction is not permitted following an unsolicited approach, reverse enquiry or reverse solicitation by an investor to an OFI. Our response in 5(c) applies equally here.
8.12 Relocation of Investor	
(a) What restrictions, if any, might apply where an OFI has an investor that invested in a Fund and/or that received the OFI's Investment Management & Advisory Services while the investor was in another jurisdiction but that investor has now moved into your jurisdiction?	There is no safe harbour for investors that have migrated from another jurisdiction to a Canadian jurisdiction; however, the Prospectus Requirement and dealer registration requirement would not apply in respect of the original sale of interests of the Fund as there would have been no distribution in Ontario, Quebec or British Columbia at the time of the original sale. Subsequent sales of Fund securities once the investor is located in Canada would be subject to the Prospectus Requirement and could implicate the dealer registration requirement. See our responses in 7.1(a) and 7.3(a) which otherwise apply equally here as at the time the investor moves to the Canadian jurisdiction.
(b) Can the OFI continue to service that investor in respect of its original investment/relationship?	Yes, subject to compliance with the considerations described in our responses to 7.1(a) and 7.3(a) (as modified by our response in 8.12 (a)).
(c) If the OFI wished to conduct further marketing activities in respect of that Fund or Investment Management & Advisory Service with that investor, what considerations would apply? If appropriate, please cross-refer to other sections of the Memorandum in your response.	See our responses in 7.1(a) and 7.3(a) which apply equally here.
(d) Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc?	See our responses in 7.1(a) and 7.3(a) which apply equally here. The exemptions to the Prospectus Requirement may vary based on the type of investor.

9. [SECTION INTENTIONALLY LEFT BLANK]

10. LICENCE

Questions	Answers
If a licence is required in order to be able to engage in marketing/selling a Fund or Investment Management & Advisory Services, please explain in outline only: (a) The type of licence that would be required;	With the exception of the ID registration, none of the options described below require the OFI to have a presence in the local jurisdiction. <u>Investment Dealer Registration (“ID”) (Sec. 7.1 of NI 31-103):</u> • may trade in any security with any type of investor client (including professional investors and retail investors); • must become a member of the Canadian Investment Regulatory Organization (formerly Investment Industry Regulatory Organization of Canada) (“CIRO”), the self-regulatory organization that regulates IDs; • ID entity must be an entity incorporated under the laws of Canada; most OFIs seeking to register an ID will incorporate a Canadian subsidiary specifically for this purpose. Accordingly, this registration is not strictly relevant to an OFI seeking to do cross-border business only; • employees performing trading or sales activities in Canada must register as dealing representatives; • ID entity must register a UDP and CCO to oversee compliance; and • registered dealing representatives, executives, the UDP and the CCO must meet proficiency requirements (education & experience). <u>Exempt Market Dealer Registration (“EMD”) (Sec. 7.1 of NI 31-103):</u> • may trade in any security (other than a security listed or traded on any organized trading facility (whether Canadian or not), such as an exchange or ATS) in circumstances where the trade would be exempt from prospectus delivery requirements if it were a distribution in Canada. The most relevant exemption from the prospectus delivery requirement is for are trades with “accredited investors” (see Section 1.4 for definition); • EMD employees performing trading or sales activities must register as dealing representatives; • EMD must register an ultimate designated person (“UDP”) and a chief compliance officer (“CCO”) to oversee compliance; and

	• registered dealing representatives and the CCO must meet proficiency requirements (education & experience). <u>Portfolio Manager Registration (“PM”) (Sec. 7.2 of NI 31-103):</u> (relevant if the OFI cannot comply with the registration exemptions described above.) • may advise any type of client with regard to any type of security; • PM employees performing advising activities in Canada must register as advising representatives; • Portfolio Manager must register a UDP and a CCO to oversee compliance; and • registered dealing representatives and the CCO must meet proficiency requirements (education & experience). This, registration is available to foreign entities (including for example OFIs) and so may be of assistance in cross-border marketing and provision of Advice. <u>Investment Fund Manager Registration (“IFM”) (Sec. 7.3 of NI 31-103):</u> • may act as investment fund manager in respect of any investment fund security; • IFM must register an ultimate designated person (“UDP”) and a chief compliance officer (“CCO”) to oversee compliance; and • CCO must meet proficiency requirements (education & experience). With respect to Unsolicited Telecommunications, see section 8.2 above.
(b) What, if any, presence in your jurisdiction the OFI would need to establish in order to obtain the relevant licence, including:	See 10(a) above.
(i) any specific legal form requirements (e.g. a local company or a branch);	N/A
(ii) any requirement to list/register the local presence in a commercial registry or other local register;	As part of the securities registration processes, there will be an obligation to provide information to the Canadian Securities Administrators concerning the applicant which will involve disclosure of local addresses and agents for service (if any).
(iii) any limitations regarding ownership of the local presence;	No.
(iv) any substance requirements that apply to the local presence;	No.

(v) any requirements regarding locally employed staff (e.g. minimum number of directors and/or employees, any qualification or notification requirements that apply in respect of such staff); and	In respect of registration as an investment fund manager, practically, there needs to be some local presence to ensure certain fund structures are domiciled in Canada.
(vi) indication of time period and approximate costs to set up/establish local presence;	In respect of securities registrations, if staff are in remote locations, there may be questions on how the registered firm and/or the CCO can properly oversee and supervise the activities of registered personnel; however, there is no formal requirement for locally employed staff.
(c) An outline of the procedure involved in obtaining such licence including an indication of the time it would ordinarily take to obtain such licence; and	See 10(a) above.
(d) Please specify the approximate costs associated with obtaining such licence (please include initial application cost together with any ongoing fees).	Costs include both regulatory fees, and legal and accounting fees. Taken together, the combined costs for registration in a single category would begin at approximately \$50,000 and could exceed \$200,000 depending on the particular circumstances.

11. PENALTIES/SANCTIONS

Questions	Answers
(a) Is it the competent regulator that enforces the applicable laws and/or another body (e.g. the courts)?	The competent regulator (the OSC, the AMF, the BCSC or the ASC) enforces applicable securities laws. Enforcement decisions of the OSC, AMF, BCSC or ASC may be appealed to the courts. Please also note that a breach of the CASL allows the Canadian Radio Television Telecommunications Commission to apply sanctions. OSFI enforces the relevant provisions under the BA.
(b) Do the possible legal consequences of a breach of applicable laws in relation to the cross-border marketing and sale of Funds and Investment Management & Advisory Services into your jurisdiction include:	The OSC, AMF, BCSC and ASC possess broad, general enforcement powers. In our experience, the regulators generally do not use their general enforcement powers for breaches of the securities laws relating to the cross-border marketing Funds or Investment Management & Advisory Services, however such action is potentially possible given the broad nature of its statutory powers. If such enforcement action were to be taken, it would be hard to predict the types of sanctions. The most basic consequence for a licensed OFI if it does not comply with the applicable laws is for it to lose its license to carry on the securities activity in the province. Assuming the OFI is unlicensed, then the OFI could be banned from relying upon a registration exemption. For both licensed and unlicensed entities, fines could be levied for a breach of applicable law. For example, sanctions

could involve reprimands of the OFI, its directors or officers, or administrative penalties levied against the OFI of up to \$1 million. Further, offences under securities legislation could include penalties of up to \$5 million and be applied against the OFI and directors and officers. There would not likely be criminal or civil sanctions. Criminal offences in Canada are primarily concerned with AML offences, insider trading, fraud and market manipulation.

Where an offering memorandum contains a misrepresentation, a purchaser who purchases a security offered by the offering memorandum during the period of distribution has, subject to certain limitations, a right of action against the issuer and a selling security holder on whose behalf the distribution is made or may elect to exercise a right of rescission against the person or company referenced above.

OSFI has broad, general enforcement powers. However, while a violation of the doing business in Canada provisions under the BA can give rise to sanctions, the most likely result would be an order to cease carrying on the offending activity, absent any unusual facts or circumstances.

CASL applies to electronic messages sent from or accessed in Canada, and therefore applies to international senders who send CEMs into Canada. CASL permits the Canadian Radio-Television Telecommunications Commission (CRTC) to impose administrative monetary penalties of up to \$10 million per violation (i.e. per message). The legislation contains a private right of action that permits message recipients to bring an action on their own behalf, or on behalf of a class of recipients, seeking up to \$200 in statutory damages per violation, capped at \$1 million per day. The Canadian federal government announced in June 2017 that it has suspended the coming into force of the private right of action under the CASL, originally scheduled to come into force on July 1, 2017. The government's announcement does not indicate if or when the private right of action may take effect in the future, but it does note that a parliamentary committee will be asked to review CASL. Although the private right of action has been suspended, other provisions of CASL remain in force and are subject to enforcement by the CRTC and other regulators.

CASL is a highly prescriptive and technical statute, and minor deviations from the requirements can result in a violation. CASL contains a defence of due diligence, and the CRTC has published guidelines outlining the elements of what it expects in the context of a diligent approach to avoiding a violation. Practically speaking, issued penalties have been in the range of \$50,000 to \$200,000. Enforcement in this context is largely complaint based.

In respect of telemarketing, the CRTC has the legislative authority to impose administrative monetary penalties on any telemarketer that violates the Unsolicited Telecommunications Rules. The maximum penalty for a violation is \$1500 in the case of an individual and \$15000 in the case

	of a corporation. Penalties issued by the CRTC between 2023 to present (July 2025) have ranged from \$500 to \$400,000. A violation that continues for more than one day constitutes a separate violation for each day for which it continues. The CRTC may also prepare an investigation report, which can result in a notice of violation being issued to the telemarketer. A notice of violation is issued when the CRTC's Chief Compliance Officer believes, on reasonable grounds, that the telemarketer has committed a violation of the Rules. The notice of violation will identify the violation and set out the monetary penalty for that violation. The following factors can influence the penalty issued: 1. the nature of the violation; 2. the number and frequency of complaints and violations; 3. whether the penalty would incent compliance; and 4. the potential for future violation; and 5. the ability to pay. See Compliance and Enforcement Information Bulletin CRTC 2023-368 at para 124.
(i) criminal sanctions;	Unlikely – see above
(ii) other sanctions (e.g. fines, loss of licence, public censure);	Yes – see above
(iii) civil claims;	Yes – see above
(iv) the transaction to which the activity relates becoming void or voidable (and if voidable, at whose instigation)?	Yes – see above
(c) Please provide details of maximum penalties (e.g. fines). Please state whether these sanctions are applicable to the OFI and/or to directors, officers or employees of the OFI and/or both.	See above. BA Penalties: An entity is liable on summary conviction to a fine of not more than \$500,000 or on conviction on indictment, to a fine of not more than \$5,000,000. Directors, officers, agents or principal officers of the entity may also be liable (maximum of \$100,000 or 1 year imprisonment or both for summary conviction; maximum of \$1,000,000 or 5 years imprisonment or both)
(d) Please provide the 5 most recent examples (from published reports) of the competent regulator or courts taking action against an OFI in respect of a breach of applicable laws in relation to the cross-border marketing or sale/provision of Funds and Investment Management & Advisory Services to investors in your jurisdiction.	No recent examples are available. As noted in the response to 11(b) above, regulators rarely use their enforcement powers for these matters. In respect of the Unsolicited Telecommunications Rules, a Notice of Violation was issued against CUMIS General Insurance Company for sharing with National DNCL with certain of its affiliates. A \$275,000 fine was issued.

	Further, in respect of CASL, no recent examples are available. The Federal Court of Appeal's 2020 decision in <i>3510395 Canada Inc. v. Canada (Attorney General)</i> (CompuFinder) is the only detailed judicial consideration of CASL. It does not concern the activities of an OFI.
(e) Please comment on: (i) the attitude of the regulator, courts or other body responsible for enforcement of the applicable laws; and (ii) any accepted or tolerated market practice.	The OSC, AMF, BCSC and ASC have broad enforcement powers and are active in regulating the capital markets in the four provinces. The OSC, in particular, actively investigates and sanctions misconduct. In recent years, the primary target of investigations and enforcement proceedings are (a) Canadian public companies, (b) registered dealers and advisers headquartered in Canada, (c) small firms based in Canada that provide dealer and adviser services to individuals without obtaining the requisite registrations. It is uncommon for the OSC, AMF, BCSC or ASC to target non-Canadian firms (such as OFIs) that market to and do business with investors in Canada. The OSC, AMF, BCSC and ASC generally will defer to the securities regulators in the home jurisdictions of such non-Canadian firms. However, if the OSC, AMF, BCSC or ASC detect a breach of Canadian securities laws by a non-Canadian firm, the securities regulators in the home jurisdiction of the firm could be notified. There is a higher degree of scrutiny by the OSC, AMF, BCSC and ASC in relation to the cross-border marketing of Funds or Investment Management & Advisory Services to a retail client. It is more likely that the OSC, AMF, BCSC or ASC would choose to investigate and commence enforcement proceedings against an OFI if there were allegations of breaches of Ontario, Quebec, British Columbia or Alberta securities laws where such breach impacted retail clients. The possible legal consequences are the same, no matter whether the breaches impacted institutional investors or retail clients. OSFI has broad enforcement powers and is very active in connection with the regulation of the entities it oversees. Violations in connection with doing business in Canada by entities that are not under its direct supervision may not come to its attention absent a complaint (which could come from a customer, a competitor or another source). However, if such a violation did come to its attention, we would expect an investigation. With respect to CASL and the Unsolicited Telecommunications Rules, see above.

APPENDIX 1

DISCLAIMERS: OPEN-ENDED FUND

A: WRITTEN DISCLAIMERS

- (a) **There are a number of restrictions to consider and the wording that applies depend on the applicable restriction/exemption. Below we consider (a) the Dealer Registration Requirement and the Investment Fund Manager Registration Requirement; (b) the Prospectus Requirement; (c) wording to be used for compliance with the CASL Requirements; and (e) wording to be used when responding to a permitted reverse enquiry. Dealer Registration Requirement / Investment Fund Management Registration Requirement:**

There is no required wording for relying on an exemption to the Dealer Registration Requirement or the Investment Fund Manager Registration Requirement. However it is recommended that the OFI disclose to the recipient:

- whether it is relying on a registration or registration exemption to any of the applicable requirements; and
- whether any Funds described have been qualified by a prospectus filed with Canadian securities regulators.

(b) **Prospectus Requirement**

- (i) **Wording to be used when providing marketing materials marketing Funds confirming that documents do not constitute an offering memorandum for the purposes of the Prospectus Requirement:**

Caution should be taken to clearly state that the marketing materials do not constitute an offering memorandum. We therefore recommend including the following disclaimer with materials marketing a Fund:

Investments in [securities] of the type referenced in this document may only be made pursuant to applicable Canadian private placement offering documents, of which this material is not a part. Canadian private placement offering documents will be provided to you upon request for the purpose of any investment you may wish to make in any [securities] referenced herein.

- (ii) **Wording to be used when relying on an exemption to the Prospectus Requirement:**

Where the OFI is relying on an exemption to the Prospectus Requirement, the OFI will, however, still need to comply with the Canadian Disclosure Requirement or the Canadian Wrapper Requirement (as applicable).

- (iii) **Language to be used for compliance with the Canadian Wrapper Requirement in respect of the Prospectus Requirement**

OFFERS AND SALES IN CANADA

PRIVATE PLACEMENT

THIS OFFERING OF INTERESTS IS ONLY BEING MADE IN THE CANADIAN PROVINCES OF [ONTARIO / QUEBEC / BRITISH COLUMBIA / ALBERTA] (THE JURISDICTIONS) AND THEREIN ONLY TO THOSE PERSONS WHERE AND TO WHOM THEY MAY BE LAWFULLY OFFERED FOR SALE, AND ONLY BY PERSONS PERMITTED TO SELL SUCH INTERESTS.

THE FUND HAS NOT FILED A PROSPECTUS WITH ANY SECURITIES COMMISSION OR SIMILAR AUTHORITY IN CANADA IN RESPECT OF THE INTERESTS AND ACCORDINGLY, THE

INTERESTS ARE NOT QUALIFIED FOR SALE IN CANADA AND MAY NOT BE OFFERED OR SOLD DIRECTLY OR INDIRECTLY IN CANADA EXCEPT PURSUANT TO AN EXEMPTION FROM THE PROSPECTUS REQUIREMENTS OF CANADIAN SECURITIES LAWS. THE OFFERING OF INTERESTS IN CANADA IS BEING MADE SOLELY BY THIS MEMORANDUM AND NO PERSON HAS BEEN AUTHORISED TO GIVE ANY INFORMATION OR TO MAKE ANY REPRESENTATION OTHER THAN THOSE CONTAINED IN THIS MEMORANDUM. NO SECURITIES COMMISSION OR SIMILAR REGULATORY AUTHORITY IN CANADA HAS REVIEWED OR IN ANY WAY PASSED UPON THIS DOCUMENT OR THE MERITS OF THE INTERESTS, AND ANY REPRESENTATION TO THE CONTRARY IS AN OFFENCE. AN INVESTMENT IN THE INTERESTS IS NOT INSURED BY THE CANADA DEPOSIT INSURANCE CORPORATION OR ANY OTHER GOVERNMENTAL AGENCY, AND IS SUBJECT TO INVESTMENT RISKS. THIS MEMORANDUM IS NOT, AND UNDER NO CIRCUMSTANCES IS TO BE CONSTRUED AS, AN ADVERTISEMENT OR A PUBLIC OFFERING OF THE INTERESTS IN CANADA.

CURRENCY

ALL AMOUNTS IN THIS MEMORANDUM ARE EXPRESSED IN [●]. FLUCTUATIONS IN THE EXCHANGE RATE BETWEEN [●] AND THE CANADIAN DOLLAR WILL AFFECT THE CANADIAN DOLLAR EQUIVALENT OF THE OFFERING PRICE OF THE INTERESTS AND THE FINANCIAL INFORMATION CONTAINED IN THIS MEMORANDUM. IN ADDITION, THE FINANCIAL INFORMATION CONTAINED IN THIS MEMORANDUM HAS NOT BEEN PREPARED IN ACCORDANCE WITH CANADIAN ACCOUNTING STANDARDS.

Where the issuance is subject to resale restrictions (which is a fact specific analysis which will depend on the prospectus exemption being relied upon) the following wording should be included. Please note that if a distribution is issued pursuant to the accredited investor exemption, resale restrictions will apply.

RESALE RESTRICTIONS

THE DISTRIBUTION OF INTERESTS IN CANADA IS BEING MADE ON A PRIVATE PLACEMENT BASIS IN ACCORDANCE WITH APPLICABLE SECURITIES LAWS. AS A CONSEQUENCE, CERTAIN PROTECTIONS, RIGHTS AND REMEDIES PROVIDED BY SUCH SECURITIES LAWS WILL NOT BE AVAILABLE TO INVESTORS IN CANADA.

THE INTERESTS ARE SUBJECT TO RESTRICTIONS ON TRANSFER PURSUANT TO THEIR TERMS, AND ARE SUBJECT TO FURTHER RESTRICTIONS ON TRANSFER AND RESALE IN CANADA, AND IN SOME CASES OUTSIDE OF CANADA, UNTIL SUCH TIME AS: (A) THE APPROPRIATE RESTRICTED PERIODS HAVE BEEN SATISFIED; (B) A FURTHER STATUTORY EXEMPTION IS RELIED UPON BY THE INVESTOR; (C) AN APPROPRIATE DISCRETIONARY ORDER IS OBTAINED PURSUANT TO THE APPLICABLE SECURITIES LAWS; OR (D) A FINAL RECEIPT IS ISSUED BY THE RELEVANT SECURITIES REGULATORY AUTHORITY FOR A PROSPECTUS PREPARED WITH RESPECT TO DISTRIBUTION OF INTERESTS. PLEASE NOTE THAT AS THE FUND IS NOT A REPORTING ISSUER IN ANY CANADIAN JURISDICTION, THE APPLICABLE RESTRICTED PERIOD MAY NEVER EXPIRE AND IF NO FURTHER STATUTORY EXEMPTION MAY BE RELIED UPON, IF NO DISCRETIONARY ORDER IS OBTAINED, OR NO PROSPECTUS ISSUED FOR WHICH A RECEIPT IS OBTAINED, THIS COULD RESULT IN AN INVESTOR HAVING TO HOLD THE INTERESTS FOR AN INDEFINITE PERIOD OF TIME. NEITHER THE FUND, NOR THE [MANAGER/DISTRIBUTOR] ARE IN ANY MANNER RESPONSIBLE FOR ENSURING COMPLIANCE BY INVESTORS WITH ANY RESALE RESTRICTIONS. INVESTORS OF INTERESTS ARE ADVISED TO SEEK CANADIAN LEGAL ADVICE PRIOR TO ANY RESALE OF INTERESTS.

ACKNOWLEDGEMENTS

BY PURCHASING THE INTERESTS, AMONG OTHER THINGS, EACH PURCHASER RESIDENT IN CANADA WILL BE DEEMED TO HAVE CONFIRMED, CERTIFIED, REPRESENTED, WARRANTED TO AND AGREED FOR THE BENEFIT OF THE FUND, THE [MANAGER/DISTRIBUTOR], AND ANY OTHER DEALER WITH WHOM THE SUBSCRIPTION IS PLACED AS FOLLOWS:

- A. IT IS AUTHORISED TO CONSUMMATE THE PURCHASE OF THE INTERESTS;
- B. IT IS A RESIDENT OF ONE OF THE JURISDICTIONS;
- [C. IT IS AN ACCREDITED INVESTOR WITHIN THE MEANING OF SECTION 1.1 OF NATIONAL INSTRUMENT 45-106 – PROSPECTUS EXEMPTIONS (NI 45-106) OR SECTION 73.3 OF THE SECURITIES ACT (ONTARIO), AS APPLICABLE, AND HAS NOT BEEN CREATED OR USED SOLELY TO PURCHASE OR HOLD SECURITIES AS AN ACCREDITED INVESTOR AS DESCRIBED IN PARAGRAPH (M) OF THE DEFINITION OF ACCREDITED INVESTOR IN SECTION 1.1 OF NI 45-106;]
- D. IT IS A PERMITTED CLIENT AS DEFINED IN NATIONAL INSTRUMENT 31-103 REGISTRATION REQUIREMENTS, EXEMPTIONS AND ONGOING REGISTRANT OBLIGATIONS (NI 31-103);
- E. IT IS PURCHASING, OR IS DEEMED TO BE PURCHASING, THE INTERESTS AS PRINCIPAL, NOT AS AGENT, WITHIN THE MEANING OF NI 45-106, FOR INVESTMENT ONLY AND NOT WITH A VIEW TO RESALE OR DISTRIBUTION;
- F. IT IS ENTITLED UNDER APPLICABLE CANADIAN SECURITIES LAWS TO PURCHASE THE INTERESTS WITHOUT THE BENEFIT OF A PROSPECTUS QUALIFIED UNDER SUCH SECURITIES LAWS;
- G. [IT HAS REVIEWED THE TERMS UNDER THE HEADING “RESALE RESTRICTIONS” AS SET OUT ABOVE, AND IT ACKNOWLEDGES AND UNDERSTANDS THAT THE INTERESTS MAY NOT BE RESOLD WITHOUT AN EXEMPTION FROM THE REGISTRATION AND PROSPECTUS REQUIREMENTS OF APPLICABLE SECURITIES LAWS;]
- H. IT UNDERSTANDS AND ACKNOWLEDGES THAT (I) THE INTERESTS HAVE NOT BEEN AND WILL NOT BE QUALIFIED FOR DISTRIBUTION UNDER APPLICABLE CANADIAN SECURITIES LAWS, (II) IT IS BASING ITS INVESTMENT DECISION SOLELY ON THE FINAL VERSION OF THIS MEMORANDUM AND NOT ON ANY OTHER INFORMATION CONCERNING THE FUND, THE [MANAGER/DISTRIBUTOR], OR THE OFFERING OF THE INTERESTS; AND (III) NEITHER THE FUND, NOR THE [MANAGER/DISTRIBUTOR] ARE OBLIGATED TO FILE AND HAVE NO PRESENT INTENTION OF FILING WITH ANY SECURITIES REGULATORY AUTHORITY IN CANADA ANY PROSPECTUS IN RESPECT OF THE SALE OR RESALE OF THE INTERESTS;
- I. IF REQUIRED BY APPLICABLE SECURITIES LAWS, THE PURCHASER WILL EXECUTE, DELIVER AND FILE OR ASSIST THE FUND TO OBTAIN AND FILE SUCH REPORTS, UNDERTAKINGS AND OTHER DOCUMENTS RELATING TO THE PURCHASE OF THE INTERESTS BY THE PURCHASER AS MAY BE REQUIRED BY ANY SECURITIES COMMISSION OR OTHER REGULATORY AUTHORITY; AND
- J. IT UNDERSTANDS AND ACKNOWLEDGES THAT IF, AS A RESULT OF ANY INFORMATION OR OTHER MATTER WHICH COMES TO THE FUND’S ATTENTION, ANY DIRECTOR, OFFICER OR EMPLOYEE OF THE FUND, THE [MANAGER/DISTRIBUTOR], OR THEIR PROFESSIONAL ADVISORS, KNOWS OR SUSPECTS THAT AN INVESTOR IS ENGAGED IN MONEY LAUNDERING, SUCH PERSON IS REQUIRED TO REPORT SUCH INFORMATION OR OTHER MATTER TO THE FINANCIAL TRANSACTIONS AND REPORTS ANALYSIS CENTRE OF

CANADA AND SUCH REPORT SHALL NOT BE TREATED AS A BREACH OF ANY RESTRICTION UPON THE DISCLOSURE OF INFORMATION IMPOSED BY CANADIAN LAW OR OTHERWISE.

CONFIDENTIALITY; DISCLOSURE OF CERTAIN INFORMATION.

SHOULD YOU PURCHASE SECURITIES IN AN OFFERING INTO CANADA, YOU ACKNOWLEDGE THAT YOUR NAME AND OTHER SPECIFIED INFORMATION, INCLUDING THE NUMBER OF SECURITIES PURCHASED, MAY BE DISCLOSED TO CANADIAN SECURITIES REGULATORY AUTHORITIES. THIS INFORMATION WILL NOT BE PLACED ON THE PUBLIC FILE OF ANY CANADIAN SECURITIES REGULATORY AUTHORITY, HOWEVER, FREEDOM OF INFORMATION LEGISLATION MAY REQUIRE THE SECURITIES REGULATORY AUTHORITY TO MAKE THIS INFORMATION AVAILABLE IF REQUESTED, AND YOU CONSENT TO SUCH DISCLOSURE OF THIS INFORMATION. YOUR PERSONAL INFORMATION MAY BE COLLECTED ON BEHALF OF AND USED BY THE SECURITIES REGULATORY AUTHORITY IN YOUR JURISDICTION OF RESIDENCE UNDER THE AUTHORITY GRANTED IN SECURITIES LEGISLATION FOR THE PURPOSE OF THE ADMINISTRATION AND ENFORCEMENT OF SECURITIES LEGISLATION. IF YOU HAVE ANY QUESTIONS ABOUT THE COLLECTION AND USE OF THIS INFORMATION, CONTACT THE SECURITIES REGULATORY AUTHORITY IN YOUR JURISDICTION AT THE FOLLOWING ADDRESSES: (A) IN ONTARIO, ONTARIO SECURITIES COMMISSION, 20 QUEEN STREET WEST, 22ND FLOOR, TORONTO, ONTARIO M5H 3S8, TELEPHONE: (416) 593- 8314, TOLL FREE IN CANADA: 1-877-785-1555, FACSIMILE: (416) 593-8122, EMAIL: EXEMPTMARKETFILINGS@OSC.GOV.ON.CA, PUBLIC OFFICIAL CONTACT REGARDING INDIRECT COLLECTION OF INFORMATION: INQUIRIES OFFICER; (B) IN QUEBEC, AUTORITÉ DES MARCHÉS FINANCIERS, 800, SQUARE VICTORIA, 22E ÉTAGE, C.P. 246, PLACE VICTORIA, MONTRÉAL, QUÉBEC H4Z 1G3, TELEPHONE: (514) 395-0337 OR 1-877-525-0337, FACSIMILE: (514) 873-6155 (FOR FILING PURPOSES ONLY), FACSIMILE: (514) 864-6381 (FOR PRIVACY REQUESTS ONLY), EMAIL: FINANCEMENTDESSOCIETES@LAUTORITE.QC.CA (FOR CORPORATE FINANCE ISSUERS), FONDS_DINVESTISSEMENT@LAUTORITE.QC.CA (FOR INVESTMENT FUND ISSUERS), PUBLIC OFFICIAL CONTACT REGARDING INDIRECT COLLECTION OF INFORMATION: SECRÉTAIRE GÉNÉRALE; (C) IN BRITISH COLUMBIA, BRITISH COLUMBIA SECURITIES COMMISSION, P.O. BOX 10142, PACIFIC CENTRE, 701 WEST GEORGIA STREET, VANCOUVER, BRITISH COLUMBIA V7Y 1L2, INQUIRIES: (604) 899-6854, TOLL FREE IN CANADA: 1-800-373-6393, FACSIMILE: (604) 899-6506, EMAIL: FOI-PRIVACY@BCSC.BC.CA, PUBLIC OFFICIAL CONTACT REGARDING INDIRECT COLLECTION OF INFORMATION: PRIVACY OFFICER; AND (D) IN ALBERTA, ALBERTA SECURITIES COMMISSION, SUITE 600, 250 – 5TH STREET SW, CALGARY, ALBERTA T2P 0R4, TELEPHONE: (403) 297-6454, TOLL FREE IN CANADA: 1-877-355-0585, FACSIMILE: (403) 297-6156, PUBLIC OFFICIAL CONTACT REGARDING INDIRECT COLLECTION OF INFORMATION: FOIP COORDINATOR.

ENFORCEMENT OF LEGAL RIGHTS

THE FUND WAS ESTABLISHED UNDER THE LAWS OF A JURISDICTION OUTSIDE CANADA. THE FUND, [THE MANAGER/DISTRIBUTOR] AND THEIR RESPECTIVE DIRECTORS, OFFICERS, EMPLOYEES, AGENTS AND ALL OTHER REPRESENTATIVES (COLLECTIVELY, THE FUND ENTITIES) MAY BE LOCATED OUTSIDE CANADA, AND AS A RESULT, IT MAY NOT BE POSSIBLE FOR CANADIAN PURCHASERS TO EFFECT SERVICES OF PROCESS WITHIN CANADA UPON THE FUND ENTITIES. ALL OR A SUBSTANTIAL PORTION OF THE ASSETS OF THE FUND ENTITIES MAY BE LOCATED OUTSIDE CANADA AND, AS A RESULT, IT MAY NOT BE POSSIBLE TO SATISFY A JUDGMENT AGAINST THE FUND ENTITIES IN CANADA OR TO ENFORCE A JUDGMENT OBTAINED IN CANADIAN COURTS AGAINST THE FUND ENTITIES OUTSIDE CANADA.

STATUTORY RIGHTS OF ACTION

SECURITIES LEGISLATION IN CERTAIN OF THE PROVINCES AND TERRITORIES OF CANADA PROVIDES PURCHASERS WITH RIGHTS OF RESCISSION OR DAMAGES, OR BOTH, WHERE AN OFFERING MEMORANDUM OR ANY AMENDMENT THERETO CONTAINS A MISREPRESENTATION, AS SUCH TERM IS DEFINED IN THE VARIOUS CANADIAN SECURITIES LAWS. GENERALLY, A MISREPRESENTATION MEANS AN UNTRUE STATEMENT OF A MATERIAL FACT OR AN OMISSION TO STATE A MATERIAL FACT THAT IS REQUIRED TO BE STATED OR THAT IS NECESSARY TO MAKE ANY STATEMENT NOT MISLEADING OR FALSE IN THE LIGHT OF THE CIRCUMSTANCES IN WHICH IT WAS MADE; GENERALLY, A MATERIAL FACT MEANS A FACT THAT WOULD REASONABLY BE EXPECTED TO HAVE A SIGNIFICANT EFFECT ON THE MARKET PRICE OR VALUE OF THE INTERESTS. THESE REMEDIES MUST BE COMMENCED BY THE PURCHASER WITHIN THE TIME LIMITS PRESCRIBED AND ARE SUBJECT TO THE DEFENCES CONTAINED IN THE APPLICABLE SECURITIES LEGISLATION. PURCHASERS SHOULD REFER TO THE APPLICABLE PROVISIONS OF THE SECURITIES LEGISLATION OF THEIR PROVINCE OR TERRITORY FOR THE PARTICULARS OF THESE RIGHTS OR CONSULT WITH A LEGAL ADVISER.

THE FOLLOWING IS A SUMMARY OF THE STATUTORY RIGHTS OF RESCISSION OR DAMAGES, OR BOTH, UNDER SECURITIES LEGISLATION IN CERTAIN OF THE PROVINCES OF CANADA WHERE SUCH SUMMARY IS REQUIRED TO BE DISCLOSED UNDER THE RELEVANT SECURITIES LEGISLATION, AND AS SUCH, IS SUBJECT TO THE EXPRESS PROVISIONS OF THE LEGISLATION AND THE RELATED REGULATIONS AND RULES THEREUNDER, AND REFERENCE IS MADE THERETO FOR THE COMPLETE TEXT OF SUCH PROVISIONS. THE RIGHTS DESCRIBED BELOW ARE IN ADDITION TO, AND WITHOUT DEROGATION FROM, ANY OTHER RIGHT OR REMEDY AVAILABLE AT LAW TO PURCHASERS OF INTERESTS.

ONTARIO PURCHASERS

ONTARIO SECURITIES LAWS PROVIDE THAT WHERE AN OFFERING MEMORANDUM, SUCH AS THIS OFFERING MEMORANDUM, OR ANY AMENDMENT THERETO, CONTAINS A MISREPRESENTATION, AS SUCH TERM IS DEFINED IN ONTARIO SECURITIES LAWS, A PURCHASER WHO HAS PURCHASED INTERESTS OFFERED BY THE OFFERING MEMORANDUM DURING THE PERIOD OF DISTRIBUTION WILL HAVE, WITHOUT REGARD TO WHETHER THE PURCHASER HAS RELIED UPON THE MISREPRESENTATION AND EXCEPT AS PROVIDED BELOW, A STATUTORY RIGHT OF ACTION FOR DAMAGES OR FOR RESCISSION AGAINST THE FUND AND A SELLING INTERESTS HOLDER ON WHOSE BEHALF THE DISTRIBUTION IS MADE; IF THE PURCHASER ELECTS TO EXERCISE THE RIGHT OF RESCISSION, THE PURCHASER WILL HAVE NO RIGHT OF ACTION FOR DAMAGES AGAINST THE FUND OR ANY SELLING INTERESTS HOLDER. NO SUCH ACTION SHALL BE COMMENCED MORE THAN, IN THE CASE OF AN ACTION FOR RESCISSION, 180 DAYS AFTER THE DATE OF THE TRANSACTION THAT GAVE RISE TO THE CAUSE OF ACTION, OR, IN THE CASE OF ANY ACTION OTHER THAN AN ACTION FOR RESCISSION, THE EARLIER OF: (I) 180 DAYS AFTER THE PURCHASER FIRST HAD KNOWLEDGE OF THE FACTS GIVING RISE TO THE CAUSE OF ACTION, OR (II) THREE YEARS AFTER THE DATE OF THE TRANSACTION THAT GAVE RISE TO THE CAUSE OF ACTION. ONTARIO SECURITIES LAWS PROVIDE A NUMBER OF LIMITATIONS AND DEFENCES TO SUCH ACTIONS, INCLUDING:

- A. THE FUND OR ANY SELLING INTERESTS HOLDER WILL NOT BE LIABLE IF IT PROVES THAT THE PURCHASER PURCHASED THE INTERESTS WITH KNOWLEDGE OF THE MISREPRESENTATION;
- B. IN AN ACTION FOR DAMAGES, THE FUND WILL NOT BE LIABLE FOR ALL OR ANY PORTION OF THE DAMAGES THAT THE FUND OR ANY SELLING INTERESTS HOLDER PROVES DOES NOT REPRESENT THE DEPRECIATION IN VALUE OF THE INTERESTS AS A RESULT OF THE MISREPRESENTATION RELIED UPON; AND

C. IN NO CASE SHALL THE AMOUNT RECOVERABLE EXCEED THE PRICE AT WHICH THE INTEREST WERE OFFERED.

IN ADDITION, THESE RIGHTS ARE NOT AVAILABLE FOR A PURCHASER THAT IS:

A. A CANADIAN FINANCIAL INSTITUTION, MEANING EITHER:

I. AN ASSOCIATION GOVERNED BY THE COOPERATIVE CREDIT ASSOCIATIONS ACT (CANADA) OR A CENTRAL COOPERATIVE CREDIT SOCIETY FOR WHICH AN ORDER HAS BEEN MADE UNDER SECTION 473(1) OF THAT ACT; OR

II. A BANK, LOAN CORPORATION, TRUST COMPANY, TRUST CORPORATION, INSURANCE COMPANY, TREASURY BRANCH, CREDIT UNION, CAISSE POPULAIRE, FINANCIAL SERVICES COOPERATIVE, OR LEAGUE THAT, IN EACH CASE, IS AUTHORISED BY AN ENACTMENT OF CANADA OR A JURISDICTION OF CANADA TO CARRY ON BUSINESS IN CANADA OR A JURISDICTION OF CANADA;

B. A SCHEDULE III BANK, MEANING AN AUTHORISED FOREIGN BANK NAMED IN SCHEDULE III OF THE BANK ACT (CANADA);

C. THE BUSINESS DEVELOPMENT BANK OF CANADA INCORPORATED UNDER THE BUSINESS DEVELOPMENT BANK OF CANADA ACT (CANADA); OR

D. A SUBSIDIARY OF ANY PERSON REFERRED TO IN CLAUSES (A), (B) OR (C), IF THE PERSON OWNS ALL OF THE VOTING SECURITIES OF THE SUBSIDIARY, EXCEPT THE VOTING SECURITIES REQUIRED BY LAW TO BE OWNED BY DIRECTORS OF THAT SUBSIDIARY.

LANGUAGE OF DOCUMENTS

UPON RECEIPT OF THIS DOCUMENT, EACH CANADIAN INVESTOR HEREBY CONFIRMS THAT IT HAS EXPRESSLY REQUESTED THAT ALL DOCUMENTS EVIDENCING OR RELATING IN ANY WAY TO THE SALE OF THE INTERESTS DESCRIBED HEREIN (INCLUDING FOR GREATER CERTAINTY ANY PURCHASE CONFIRMATION OR ANY NOTICE) BE DRAWN UP IN THE ENGLISH LANGUAGE ONLY. PAR LA RÉCEPTION DE CE DOCUMENT, CHAQUE INVESTISSEUR CANADIEN CONFIRME PAR LES PRÉSENTES QU'IL A EXPRESSÉMENT EXIGÉ QUE TOUS LES DOCUMENTS FAISANT FOI OU SE RAPPORTANT DE QUELQUE MANIÈRE QUE CE SOIT À LA VENTE DES VALEURS MOBILIÈRES DÉCRITES AUX PRÉSENTES (INCLUANT, POUR PLUS DE CERTITUDE, TOUTE CONFIRMATION D'ACHAT OU TOUT AVIS) SOIENT RÉDIGÉS EN ANGLAIS SEULEMENT.

(iv) Wording to be used where the Canadian Disclosure Requirement is applicable:

The following is precedent language that can be customized (with the assistance of Canadian counsel) for situations where a Canadian wrapper is not required:

[name of dealer] is delivering this notice to you because we intend to rely on the exemption in section 3A.3 or 3A.4, as applicable, of National Instrument 33-105 Underwriting Conflicts (NI 33-105) from the underwriter conflicts of interest disclosure requirements of NI 33-105 for any distribution to you in the future of an eligible foreign security, as defined in NI 33-105.

If, in connection with a distribution of an eligible foreign security, as defined in Ontario Securities Commission Rule 45-501 Ontario Prospectus and Registration Exemptions, or as defined in Multilateral Instrument 45-107 Listing Representations and Statutory Rights of Action Disclosure Exemptions, we deliver to you an offering document that constitutes an offering memorandum under applicable securities laws in Canada, you may have, depending on the province or territory of Canada in which the trade was made to you, remedies for

rescission or damages if the offering memorandum (including any amendment thereto) contains a misrepresentation, provided that the remedies for rescission or damages are exercised by you within the time limit prescribed by the securities legislation of your province or territory. You should refer to any applicable provisions of the securities legislation of your province or territory for the particulars of these rights or consult with a legal advisor.

The [securities] described in the accompanying [prospectus / offering memorandum] (including any amendment thereto) may be sold only to purchasers purchasing, or deemed to be purchasing, as principal that are accredited investors, as defined in National Instrument 45-106 Prospectus Exemptions or subsection 73.3(1) of the Securities Act (Ontario), and are permitted clients, as defined in National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations. Any resale of the [securities] must be made in accordance with an exemption from, or in a transaction not subject to, the prospectus requirements of applicable securities laws.

Should you purchase securities in an offering into Canada, you acknowledge that your name and other specified information, including the number of securities purchased, may be disclosed to Canadian securities regulatory authorities. This information will not be placed on the public file of any Canadian securities regulatory authority, however, freedom of information legislation may require the securities regulatory authority to make this information available if requested, and you consent to such disclosure of this information. Your personal information may be collected on behalf of and used by the securities regulatory authority in your jurisdiction of residence under the authority granted in securities legislation for the purpose of the administration and enforcement of securities legislation. If you have any questions about the collection and use of this information, contact the securities regulatory authority in your jurisdiction at the following addresses: (a) in Ontario, Ontario Securities Commission, 20 Queen Street West, 22nd Floor, Toronto, Ontario M5H 3S8, Telephone: (416) 593- 8314, Toll free in Canada: 1-877-785-1555, Facsimile: (416) 593-8122, Email: exemptmarketfilings@osc.gov.on.ca, Public official contact regarding indirect collection of information: Inquiries Officer; (b) in Quebec, Autorité des marchés financiers, 800, Square Victoria, 22e étage, C.P. 246, Place Victoria, Montréal, Québec H4Z 1G3, Telephone: (514) 395-0337 or 1-877-525-0337, Facsimile: (514) 873-6155 (For filing purposes only), Facsimile: (514) 864-6381 (For privacy requests only), Email: financementdessocietes@lautorite.qc.ca (For corporate finance issuers), fonds_dinvestissement@lautorite.qc.ca (For investment fund issuers), Public official contact regarding indirect collection of information: Secrétaire générale; (c) in British Columbia, British Columbia Securities Commission, P.O. Box 10142, Pacific Centre, 701 West Georgia Street, Vancouver, British Columbia V7Y 1L2, Inquiries: (604) 899-6854, Toll free in Canada: 1-800-373-6393, Facsimile: (604) 899-6506, Email: FOI-privacy@bcsc.bc.ca, Public official contact regarding indirect collection of information: Privacy Officer; and (d) in Alberta, Alberta Securities Commission, Suite 600, 250 – 5th Street SW, Calgary, Alberta T2P 0R4, Telephone: (403) 297-6454, Toll free in Canada: 1- 877-355-0585, Facsimile: (403) 297-6156, Public official contact regarding indirect collection of information: FOIP Coordinator.

(c) Wording to be used for compliance with the CASL Requirements (in any non-CASL exempt CEM):

Please see section 8.1(a) for more information on the wording to be included when sending a commercial electronic message (CEM) unless an exception to the form and content requirements applies. For CEMs that are required to meet CASL's form/content requirements, such messages must set out clearly and prominently:

- the name by which the person carries on business;
- the mailing address and either a telephone number, email address or web address of the sender; and
- a working unsubscribe mechanism (or a link to an unsubscribe mechanism on the world wide web) that can be readily performed.

For example, the message may contain the following language:

[Company name]

[Company mailing address + one of email, web address]

To unsubscribe from future marketing messages from [Company name], please click here: [unsubscribe button]. Please note that you may continue to receive transactional or account-related communications from us.

The sender must ensure that the unsubscribe mechanism is valid for at least 60 days after the CEM has been sent.

There is no specific wording required if relying on an exception to CASL.

(d) Wording to be used when responding to a reverse enquiry:

Please see Appendix 1 section A. above. There is a limited No Solicitation Exemption (Ontario and Quebec only) to the Investment Fund Manager Registration Requirement but generally the same restrictions apply to passive and active marketing/selling activities.

B: ORAL DISCLAIMERS

There is no required wording for oral communications when relying on an exemption to the Dealer Registration Requirement or the Investment Fund Manager Registration Requirement. However it is recommended that the OFI disclose to the recipient:

- whether it is relying on a registration or registration exemption to any of the applicable requirements; and
- whether any Funds described have been qualified by a prospectus filed with Canadian securities regulators.

In respect of any cold-calling, the OFI must consider the Unsolicited Telecommunications Rules unless one of the Exceptions to the Do Not Call List rules under the Unsolicited Telecommunications Rules applies. Please see section 8.2 of the Memorandum for more information.

C: DISCLAIMERS – RETAIL INVESTORS

Recommended wording set out in Appendix 1 section A. above applies equally to Retail Investors although please note that it is difficult to structure activities via an exemption in respect of Retail Investors. Therefore in most cases it will not be possible to conduct the activity. This means that the wording set out in Appendix 1 section A. above is only relevant in a very limited number of scenarios. Please check with local counsel on a case-by-case basis

D: DISCLAIMERS – MARKETING PASSPORT/MUTUAL RECOGNITION SCHEME

N/A

APPENDIX 2**DISCLAIMERS: CLOSED-ENDED FUND****A: WRITTEN DISCLAIMERS**

Please see Appendix 1.A. which applies equally to Closed-Ended Funds.

B: ORAL DISCLAIMERS

Please see Appendix 1.B. which applies equally here.

C: DISCLAIMERS – RETAIL INVESTORS

Please see Appendix 1.C. which applies equally here. Please note that it is difficult to structure activities via an exemption in respect of Retail Investors. Therefore in most cases it will not be possible to conduct the activity. This means that the wording set out in Appendix 1 section C. above is only relevant in a very limited number of scenarios. Please check with local counsel on a case-by-case basis.

D: DISCLAIMERS – MARKETING PASSPORT/MUTUAL RECOGNITION SCHEME

N/A

APPENDIX 3**DISCLAIMERS: INVESTMENT MANAGEMENT & ADVISORY SERVICES****A: WRITTEN DISCLAIMERS**

There is no required wording. However it is recommended that the OFI disclose to the recipient whether it is relying on a registration or registration exemption. It is also recommended that it be clearly stated if the written materials contain generic information that is not tailored to the needs of the recipient. The OFI must also disclose if it has a financial or other interest in the subject of any written materials.

B: ORAL DISCLAIMERS

There is no required wording. However it is recommended that the OFI disclose to the recipient whether it is relying on a registration or registration exemption.

C: DISCLAIMERS – RETAIL INVESTORS

There are no recommended disclaimers, only the advice that an OFI that is not registered should not deal with retail investors or attempt to sell securities to retail investors that have not been qualified by a prospectus in Canada.

APPENDIX 4**DISCLAIMERS: OTHER****A: GENERAL MARKETING DISCLAIMER**

No disclaimer required, provided the materials do not refer to any specific Funds or Investment Management & Advisory Services and the activities do not occur with repetition, regularity or continuity in Alberta, British Columbia, Ontario and Quebec.

B: INTERNET DISCLAIMER

There are no required legends, risk factors, disclosures or disclaimers. However, if the OFI wishes to post marketing materials that promote specific Funds to investors located in Ontario, Quebec, British Columbia or Alberta, we recommend that disclosure on the web pages clearly state:

(a) the materials are intended only for institutional investors and not for retail investors; and

(b) if applicable, that the OFI is conducting its activities in Ontario, Quebec, British Columbia and Alberta under exemptions from registration requirements and the website therefore does not constitute an offer to sell Funds or Investment Management & Advisory Services in circumstances where such exemptions are not available. Please also see section 8.5.

C: VIRTUAL MARKETING - DISCLAIMER

Please see Appendix 3.B.